

REACH BEYOND



SUSTAINABILITY REPORT 2021



MIZUNO CREW 21

MIZUNO CREW 21 IS OUR GLOBAL
SUSTAINABILITY COMMITMENT
TO PROTECT OUR PLANET FOR
FUTURE GENERATIONS.

SUSTAINABILITY REPORT 2021



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Message from the President

We have a mission: If we want to leave a more sustainable world behind for future generations, while solving pressing social issues and ensuring our survival, we must work together. We must collaboratively make sustainable choices worldwide – and together, we can do it.

The novel coronavirus has had a tremendous impact on our lifestyles, as well as our shared international values. Despite the tragic loss of human life and constraints on global institutions, this pandemic provides us the opportunity to question what is important to us. Normalcy is gone, but in the face of adversity, I choose to see this challenge as an opportunity to reevaluate – what truly makes us happy.

As if 2020 wasn't hard enough, climate change's effects are worsening every year. Between torrential downpours of rain, forest fires, heavy snowfall, and overall shifting weather patterns worldwide, it's clear to see that the planet's average temperature reached record highs last year. The good news is that many countries are hard at work to control their greenhouse gas emissions, and the Japanese government is no exception. At the Climate Change Summit in April

2021, they announced their plans to cut these emissions by 46% by 2030 compared to 2013 levels.

While COVID-19 and climate change might seem like very different issues, they are in fact of the same. Both are forcing the world to work together to make a change – and evolving consumption trends make this clear. A new breed of ethical consumers is brewing, who choose to buy products that pose less harm to the environment while solving certain social challenges. Personally, I'm thrilled to see that society's values worldwide are, today, far more in line with the Sustainable Development Goals (SDGs) – adopted at the United Nations Summit in 2015.

The race to create more eco-friendly products, coupled with smarter use of resources, was strengthened by the launch of the “Crew21 Project” in 1991 – a global environmental conservation initiative. And since 2004, we've been involved in CSR procurement to improve human rights while giving domestic workers and international suppliers a better environment to work in. When it comes to building a sound supply chain, this isn't optional. It's essential. We've already achieved a lot, but we still have a lot of work to do. That's why we will keep working hard at these activities to uphold our promise of corporate social responsibility. I for one believe that we can't put a price on sustainability activities surrounding responsible corporate behavior. The actions we take in this regard will enhance our brand value, corporate status, and impact on society – especially if we keep our management strategy at heart. It is with this firm belief in mind that we at the Mizuno Group revised our Long Term Management Policies in 2020. Our promise to you is to keep doing our part to leave a more sustainable world behind for the future generations of tomorrow. This is why we also formulated the Action Principles for SDGs, coupled with a value creation story to further fuel these SDGs. In the 2021 Fiscal Year, we reviewed priority issues first identified in 2015 based on the value creation story's content. Achieving financial benefits is not our sole, primary goal. By expanding our existing business model to prioritize social contribution, we can focus on international sustainability initiatives while staying fully transparent regarding the three strategic sustainability areas we're focusing on. These are Environmental Conservation, Health through Sports, and Respect for Humanity.

Each and every one of us is entering a new era where rapid change is continuous. That's why I find sports an important area to focus on, with its promotion of diverse value coupled with the rising expectations surrounding sports globally. By leveraging the strengths the industry has developed, the Mizuno Group now have all we need to create new functions, materials, and technological capabilities. With these in tow, we can push the limits and quality of manufacturing while broadening our business pillar reach – without focusing solely on one business domain.

One of our key undertakings is to establish a new research and development innovation centre by FY2022. This new R&D base will empower us to innovate even further to solve pressing social challenges – and I firmly believe we can achieve this through the power of sports. As a business, our biggest strength is using the assets we have to develop new business activities, and we're ready to use this for the greater good of the world.

Since our foundation in 1906, the Mizuno Group have kept a certain corporate philosophy at heart: "Contributing to society through the advancement of sporting goods and the promotion of sports." More than a century on, we are still as devoted as ever to bringing people boundless joy and happiness through sports. As always, we stay on the pulse of emerging social trends and people's evolving needs.

In 2021, we were honored to celebrate our 115th anniversary – but we're still just getting started. Even in 2030, 2050, and beyond, the spirit of our corporate philosophy will live on. We will never stop working to create a more peaceful, sustainable, and joyful society built on the virtue of sports which will, in turn, position Mizuno for unstoppable growth as a brand and contributor to society.

We wouldn't be where we are today without our customers, and we can't wait to see what the next 115 years have to hold – with you by our side.

Akito Mizuno
President
Mizuno Corporation



Corporate Philosophy

Contributing to society through the advancement of sporting goods and the promotion of sports.

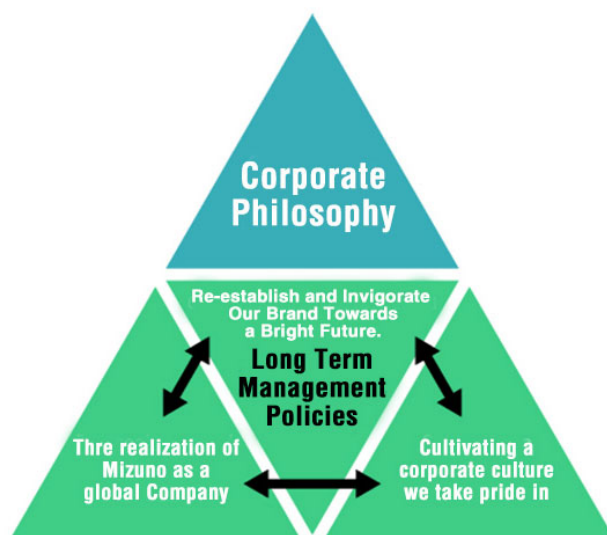
Sports provide diverse value and play a vital role in helping people to lead a prosperous and comfortable lifestyle.

Mizuno not only supports sporting activities by offering better sporting goods but also develops products and services that make the most of the value of sports and actively spread that in daily life.

We will contribute to making people around the world happy through the power of sports.

Long Term Management Policies

Long Term Management Policies



■ 1. Re-establish and Invigorate Our Brand Towards a Bright Future.

By utilizing our long history of successful innovations, we will transition forward into becoming a market-leading brand. Collaborating with our vast group of respected stakeholders and worldwide employees, Mizuno will contribute to social, economic and environmental sustainability through the power and effect of sports.

■ 2. Heighten, Strengthen and Enhance Mizuno's Brand Status Globally.

Building upon our strong corporate philosophy, Mizuno is capable of great worldwide growth. Growth that provides enhanced commercial and corporate value, as well as new opportunities to address social and environmental issues. It is through innovation, “Renkei” (Cooperation) and the focusing of our vast resources that we can target and combat these global issues.

■ 3. Cultivate and Encourage a Corporate Culture to Be Proud of.

By emphasizing our values of "Fair-Play", "Friendship" and having a "Fighting Spirit", we aim to contribute to social, economic and environmental sustainability. We will continue to diversify ourselves and foster a corporate culture in which employees feel motivated and passionate to create market-leading innovations.

Sustainability Basic Policy

The Mizuno Group promotes sustainability activities based on ISO 26000, a guideline on social responsibility, and based on “Sustainability Basic Philosophy” and “Action Principles for SDGs.” We aim to be a company that is trusted and needed by all stakeholders by actively working to realize a sustainable society and to preserve a beautiful global environment.

Sustainability Basic Philosophy

To help people lead a more affluent and comfortable life, we at the Mizuno Group will promote our business activities in good faith, by:

- Providing better sporting equipment, places and opportunities for playing sports to all, regardless of nation or race;
- Conducting business activities in a transparent and fair way, adhering to laws and regulations and respecting social norms in all countries and regions; and
- Proactively addressing labor and human-rights issues and global environmental problems towards the realization of a sustainable society.

Action Principles for SDGs

- Mizuno will contribute to social, economic and environmental sustainability, as well as the fulfillment of our relevant activities, in accordance to the United Nations’ appointed SDGs.
- Our contribution to social, economic and environmental sustainability will be the driving force and impelling cause to enrich and enhance both Mizuno’s brand values and overall corporate status.
- We will plan and create new businesses, by solving social and environmental issues, through innovation utilizing our business assets.

Mizuno Corporation Ethical Standards

In order to fulfill social responsibility, it is important to implement thorough measures for legal compliance and corporate ethics in all business activities of each employee. Aiming at enterprise which is necessary and reliable by all stakeholders, we determine Mizuno Corporation Ethical Standards as our behavioural guidelines.

Mizuno Corporation Ethical Standards

Officers and employees of Mizuno Corporation and its Group companies are conscious of the social responsibility of the corporation and act with due diligence to achieve the following:

1. Contribution to society

1.) Realizing our management concept of “Contributing to society through the advancement of sporting goods and the promotion of sports.”
2.) Making a positive contribution to the development of our economy, society, environment, sports and culture, thus adding to the development of international society, as well as meeting the requirements of our stockholders through creating revenue.

2. Compliance

1. Confirming that the company creates revenue by complying with social standards and ethics and observing all applicable laws and international regulations.
2. Ensuring actions by our corporation and its employees are consistent with the standard provided for by applicable laws. The company shall never be the cause of behaviour contrary to social standards.

3. Providing quality products and services

1. Endeavoring to supply products and services that add value for our customers.
2. Unceasingly striving to ensure the utmost safety of our products.

4. Preservation of the natural environment

1. Strive to develop and provide environmentally-conscious products /services.
2. Conduct business activities with global environmental protection in mind and strive for energy and resource conservation as well as pollution prevention, and waste product reduction
3. Establish and maintain an environment management system, and strive for its continual improvement.

5. Sensitive information

1. Thoroughly manage confidential information to prevent leaks, and do not illegally obtain confidential information of other companies.
2. The rules and regulations for any and all information received must be abided by and safe handling must be maintained as well as improved, whether it be private or work related personal information, images, written work etc.
3. Not engaging in insider trading.

6. Intellectual property

1. Implementing thorough measures for protecting intellectual property created by the company.
2. Respecting all third party intellectual property and not infringing on the intellectual property rights of others.

7. Consideration of stakeholders

1. Promoting cooperation with stakeholders and endeavoring to actively endorse a positive dialogue with them.
2. Disclosing our corporate information to stakeholders in an appropriate and timely manner.
3. Endeavoring to maintain close contact with, and contribute to, our local community.

8. Responding to organizations endangering society

1. Not allowing organizations endangering society to profit from the company's activities.
2. Never accepting unfair demands from organizations endangering society.

9. Working conditions and workplace environment

1. Complying with laws and regulations concerning labor including working conditions.
2. Endeavoring to maintain and improve a safe and sanitary working environment.
3. Requiring our suppliers to comply with labor laws and regulations and to provide a safe and sanitary working environment.

10. Respecting human rights

1. Respect the human rights and diversity of all people.
2. Not partaking in any discriminative activities, sexual harassment, persecution or mistreatment.
3. Not employing forced or child labor.
4. Guaranteeing the laborer's right to join a labor union and the right to negotiate with management.
5. Ensuring equal opportunity for employment.
6. Ensuring that employees who reports wrongful acts or breach of laws or regulations will not suffer any disadvantage.

11. Gifts and entertainment

1. Not giving unlawful gifts or offering questionable entertainment.
2. Not giving any gifts or offering entertainment which deviates from normal social practices or general business standards.

12. Promoting fair competition

1. Not making unreasonable or inappropriate requirements to our vendors and customers.
2. Complying with fair trade, fair competition and anti-monopoly laws and regulations.
3. Accurately displaying quality, content and other information for our products and services.

13. Enhancing corporate culture

1. Endeavoring to foster a corporate culture which values fair play, amity and friendly competition and to not permit any unfair acts.
2. Thoroughly employing a personnel system based on merit and establish a vigorous organization by fair evaluation and the appropriate placement of human resources.
3. Complying with this Mizuno Corporation Code of Conduct, ceaselessly promoting reformation and improvement and endeavoring to enhance our business structure by undertaking stringent self-regulation and internal assistance efforts.



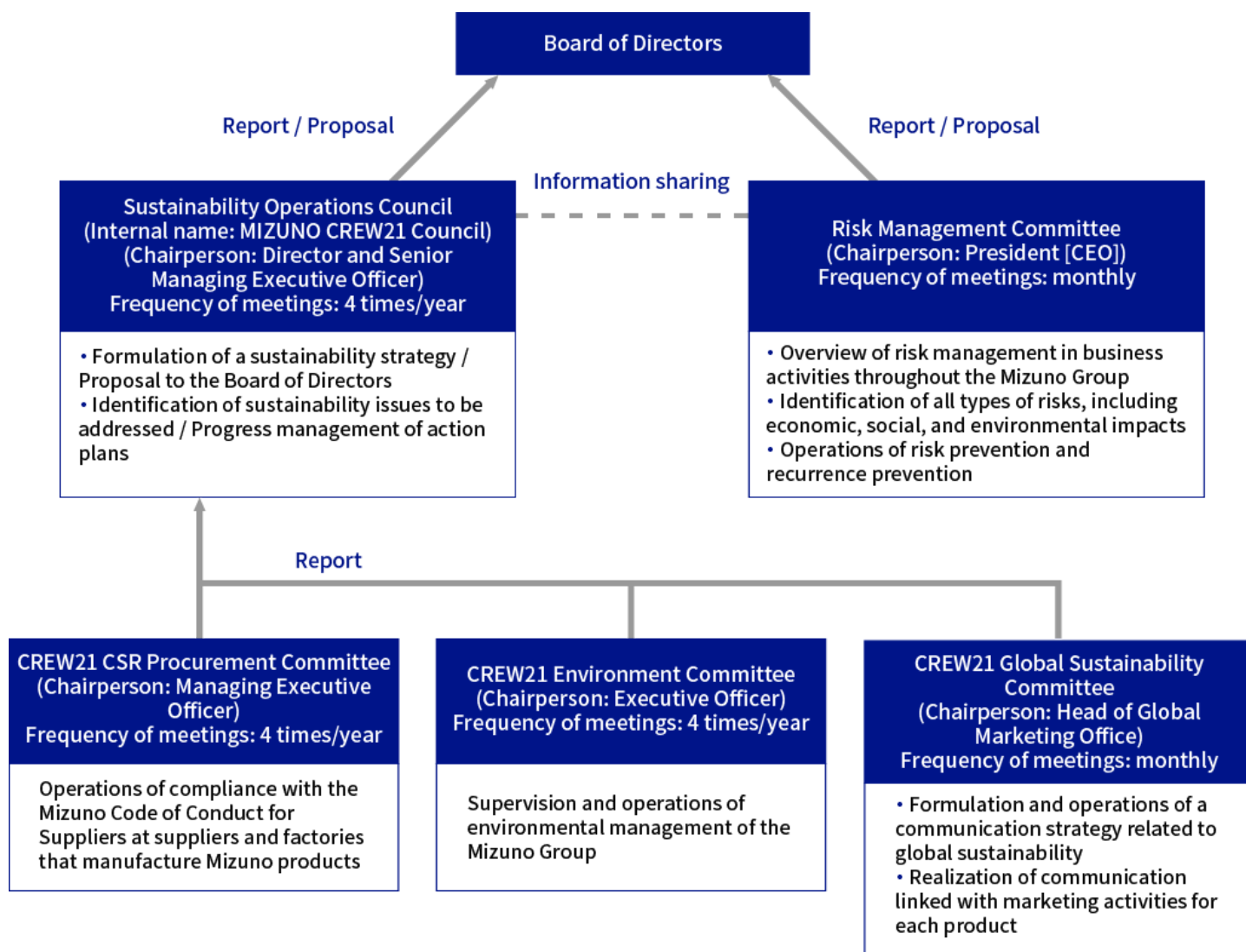
Sustainability Operations Structure

We hold a meeting of the Sustainability Operations Council (Internal name: MIZUNO CREW21 Council), chaired by the Director and Senior Managing Executive Officer, four times a year to discuss the corporate social responsibility of the Mizuno Group and its global sustainability policy, identify specific issues to be addressed, formulate action plans on the issues, set targets, and manage the progress of such targets. Important issues discussed by the Sustainability Operations Council are presented to the Board of Directors and are rolled out to all divisions and business bases of the Group after a resolution by the Board of Directors. Sustainability reports are deliberated and approved by the Sustainability Operations Council and are reported to the Board of Directors. The identification of ESG impacts and risk opportunities is also reported to the Board of Directors via the Sustainability Operations Council.

Moreover, the CREW21 CSR Procurement Committee, the CREW21 Environment Committee, the CREW21 Global Sustainability Committee, and the Risk Management Committee have been established as the subcommittees of the Sustainability Operations Council to deal with cross-departmental issues in the six identified areas of priority issues (materiality) related to social responsibility and sustainability. Under our Sustainability Operations Structure, each committee holds regular meetings to formulate more specific action plans, set targets, and manage the progress of such targets, and it reports and presents the meeting results to the Board of Directors as needed.

For the review of the risk management process related to ESG, deliberations are conducted by the Risk Management Committee, and the review results are reported to the Board of Directors via the Sustainability Operations Council

When the materiality was reviewed in FY 2020, deliberations were conducted by the Sustainability Operations Council in the review process, and approval was obtained from the Board of Directors.



Sustainability Operations Council(Internal name: MIZUNO CREW21 Council)

The Sustainability Operations Council has been established to integrate the Mizuno Group's social responsibility efforts related to the economy, society, and the environment with management strategy. Chaired by the Director and Senior Managing Executive Officer, the committee consists of the Executive Officer for product development, a Chairperson of each sustainability-related committee, the Senior Manager of the Corporate Planning Office, who supervises the overall business strategy, the Senior Manager of the Legal Affairs Office in charge of sustainability, the Senior Manager of the Human Resources & General Affairs Department, who is closely related to sustainability, the Senior Manager of the Quality Assurance Office, and a wide range of other members.

The Sustainability Operations Council discusses Mizuno's sustainability strategy, identifies specific issues to be addressed, formulates action plans on the issues, and sets targets. Important issues are presented to the

Board of Directors and are rolled out to all divisions and business bases of the Group after a resolution by the Board of Directors. Positioned above the CREW21 CSR Procurement Committee, the CREW21 Environment Committee, and the CREW21 Global Sustainability Committee, this committee deliberates on reports on important issues discussed by these lower-level committees.

CREW21 CSR Procurement Committee

Recognizing the impact of our manufacturing activities on people working in our factories and the local community, we have promoted CSR procurement activities since 2004 to secure the appropriateness of human rights protection, occupational safety and health, and environmental conservation at Mizuno product suppliers from the perspective of international standards.

To promote these activities, the CREW21 CSR Procurement Committee has been established. Chaired by the Managing Executive Officer and consisting of representatives from the production division, the factory division, the Quality Assurance Office, and other related divisions, the committee promotes compliance with the Mizuno Code of Conduct for Suppliers and discusses the implementation of CSR procurement audits.

In association with the reorganization of the organizational structure on April 1, 2021, the name of the committee was changed to the “CREW21 CSR Procurement Committee”.

CREW21 Environment Committee

Based on the recognition that all of our corporate activities have an impact on the environment, we launched the CREW21* Project, aimed at contributing to the global environment and its conservation, and established the Crew21 Committee, which discusses important policies, measures, and issues related to environmental conservation activities in the Mizuno Group, in September 1991. As of 2021, 30 years have passed since the launch of the project and committee.

Consisting of the Executive Officer responsible for environmental management and the heads of major divisions, including R&D, product development, production, facility services, logistics, retail sales, quality assurance, and human resources and general affairs, the committee formulates and revises the environmental policy, sets short-term, medium-term, and long-term environmental targets, and discusses specific measures to achieve the targets.

In association with the reorganization of the organizational structure on April 1, 2021, the name of the committee was changed to the “CREW21 Environment Committee”.

※ Crew21 stands for Conservation of Resources and Environmental Wave21.

CREW21 Global Sustainability Committee

In January 2021, the CREW21 Global Sustainability Committee was launched to promote sustainability activities on a global scale. Chaired by the Head of the Global Marketing Office, the committee is joined by the Director and Senior Managing Executive Officer and other officers from related divisions as observers.

The committee holds regular online meetings to formulate a communication strategy related to sustainability and specific plans linked with marketing for each product. Representatives from each region, each product division, and related management divisions gather to have discussions.

Risk Management Committee

The Risk Management Committee has been established as an advisory body to the Board of Directors based on the Risk Management Regulations. Chaired by the President (CEO), it consists of two Senior Managing Executive Officers and the heads of six divisions that oversee internal control.

The committee oversees risk management in business activities throughout the Mizuno Group, including each division of Mizuno Corporation and its subsidiaries, and plays a central role in identifying all types of risks, including economic, social, and environmental impacts, and developing and implementing relevant risk prevention measures.

In addition, the committee works to disseminate the concept of risk management throughout the Mizuno Group through information exchange with related departments and business bases on a daily basis and training programs. When the company faces a specific business risk, it strives to resolve issues at an early stage and prevent their recurrence in cooperation with a crisis management team established separately.

Stakeholder engagement

To contribute to the realization of a sustainable society and the conservation of a beautiful global environment while valuing “Fair play,” “Friendship,” and “Fighting spirit,” it is indispensable to cooperate with various stakeholders. We believe that it is important to listen sincerely to the requests, expectations, opinions, and evaluations of stakeholders, learn from them, and incorporate their feedback into our business activities.

Main stakeholders

* Issues are selected and addressed based on their relationship with business and their importance.

Stakeholders	Major communication opportunities	Specific examples of actions
Common	Website Year Book	• Preparation and publication of a Sustainability Report (once a year) • Publication of “Year Book,” a corporate brochure that includes information on the SDGs and sustainability (once a year)
Customers	Mizuno Call Center Social media	• Providing active support in which we contact silent customers to respond to their indirect complaints posted on our website
Employees	Gathering between management and employees Labor-management consultation	• Continuing to provide opportunities for direct communication between the President / executives and employees

Stakeholders	Major communication opportunities	Specific examples of actions
Supplier	Capacity building (once a year) On-site audit / Individual dialogue	• Holding of a CSR procurement seminar: As one of the capacity building initiatives, we hold the Mizuno CSR Procurement Seminar, targeting subcontracted factories that operate overseas factories. It was not held in FY 2020 due to the impact of COVID-19. • On-site audit (domestic): Mizuno's CSR staff visits a factory that employs foreign technical intern trainees to conduct a CSR audit. • Dialogue through attendance at an audit: Dialogue is conducted through attendance at an audit of major factories in a country where our operations have recently been launched to check the disparity between the law and what is done on-site and the difficulty level of correcting it. At the closing meeting, it is also checked to what extent the disparity can be corrected. Suppliers and on-site staff are asked to attend audits to share issues. • Dialogue with a factory subject to a follow-up audit: We repeatedly have individual meetings with a factory evaluated as C or D in an audit to closely check the progress and status of correction in preparation for a follow-up audit. • Dialogue before the commencement of business (production): We hold a briefing session on CSR procurement individually for a new supplier that starts business with us to explain Mizuno's policy and audits. • Explaining our CSR procurement policy and plans and global trends, and providing feedback on the audit results in the previous fiscal year at a regular meeting with major suppliers of the procurement division.

Stakeholders	Major communication opportunities	Specific examples of actions
Business partners	National Mizuno Meeting Policy presentation meeting / social gathering (held twice a year in line with an exhibition)	Not only the staff of the sales division but also the staff in charge of product planning attend a social gathering with business partners to communicate from different perspectives.
Local communities	Factory briefing session (risk communication) (once a year)	Mizuno Technics Corporation holds regular dialogue sessions on environmental conservation activities in its factories, inviting administrative officials and people from neighborhood associations in the areas where its factories are located.
Shareholders / Investors	General Meeting of Shareholders	Early dispatch of the notice of convocation of the General Meeting of Shareholders, preparation of an English version of the notice of convocation, and disclosure of them on the websites of the company and stock exchanges

Engagement example

We have set up a booth in the Osaka ATC Green Eco Plaza at the ATC (Asia and Pacific Trade Center), located in the neighborhood of our Osaka Head Office, to introduce our activities on the SDGs and sustainability. We also participate in events held at the ATC to provide opportunities to communicate with local residents.

Communication with suppliers

To promote CSR procurement activities, including ensuring the human rights and occupational safety and health of workers in subcontracted factories and promoting environmental conservation activities in the factories, we actively communicate with production-related suppliers and local staff. In the event of an audit, we hold a follow-up meeting to understand the current situation of the suppliers and provide the necessary advice.

Collaboration with labor unions – “Global Framework Agreement”

To work together to protect the human rights of workers in subcontracted factories and improve their working conditions, we held a regular information exchange meeting with UA Zensen and Mizuno Union online on January 18, 2021. They are signatories to the Global Framework Agreement*, which we signed in 2011. We reported the results of our CSR procurement initiatives in FY 2020 and our concerns, and UA Zensen provided information on the concerns and movements of labor unions.

* On October 1, 2020, we updated the content of the Global Framework Agreement signed with IndustriALL Global Union (I-ALL) in 2011.

Participation in outside initiatives

Participation in Outside Initiatives Relating to Sustainability

United Nations Global Compact	Signatory
Apparel and Footwear International RSL Management Group (AFIRM)	Member

Participation in outside initiatives relating to sustainability

Public-Private Partnership Platform for Local Development SDGs
Kansai SDGs Platform
Support for UNICEF’s Children’s Rights in Sport Principles
Sport for Tomorrow Consortium
Japan Platform for Migrant Workers towards Responsible and Inclusive Society (JP-MIRAI)

Organizations and Domestic and Overseas Advisory Institutions within which Mizuno holds positions

1. Governance organizations within which Mizuno holds positions

Association of Japan Sporting Goods Industries (JASPO)	Vice Chairman
Kansai Sporting Goods Industrial Association	Vice President
Mizuno Sports Promotion Foundation	President
Higashi Tax Payment Association	Vice President

2. Organizations operating projects or committees in which Mizuno participates

World Federation of the Sporting Goods Industry (WFSGI)	Board Member
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3. Organizations to which Mizuno has made more monetary contributions than expected by ordinary membership status

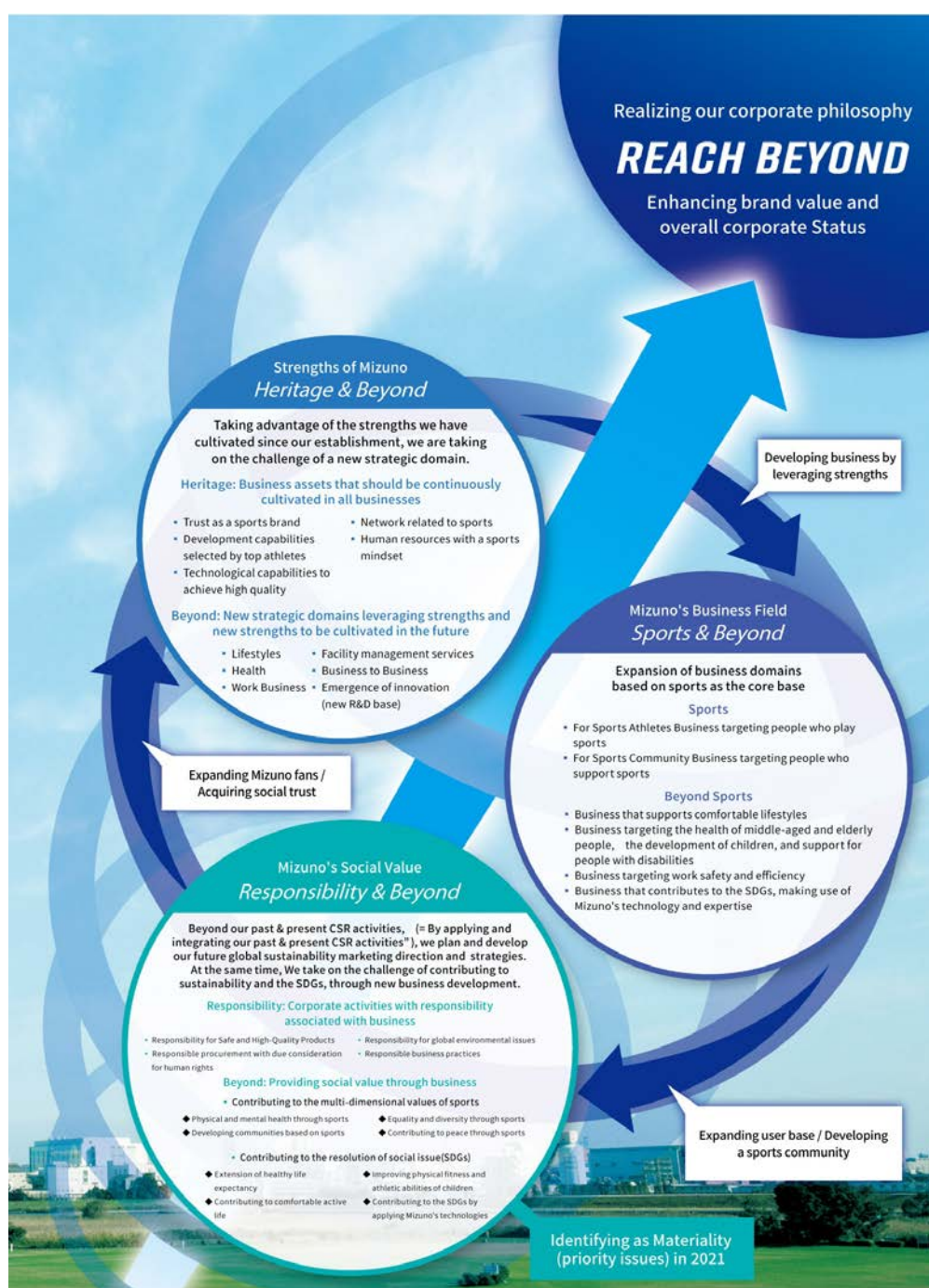
None.

4. Organizations whose membership is regarded as strategic

Osaka Sporting Goods Wholesalers Association
Study Group for Information Systems on Sporting Goods
Japan Golf Goods Association

Integrated Value Creation Stories

By 2030, the Mizuno Group will simultaneously create social and economic value by clarifying purpose of businesses that will lead to the resolution of sustainability in environmental and social issues, based on the three frameworks, which are 1)"Heritage & Beyond" as the strengths of Mizuno, 2)"Sports & Beyond," as Mizuno's business field and 3)"Responsibility & Beyond" as the social value provided by Mizuno.



[Identifying as Materiality \(priority issues\) in 2021](#)

[Please click here for details of the new materiality](#)

Materiality (priority issues)

Review of materiality



January 2020

After the second draft was deliberated by the Sustainability Operations Council and was modified by the Secretariat, the final draft was formulated.

January 2020

The final draft was deliberated and approved by the Board of Directors.

March 2020

The final draft was announced throughout the company at the administrator meeting.

April 2020

The Long Term Management Policies were revised. The Action Principles for SDGs were established.

July 2020

The Integrated Value Creation Stories was disclosed outside the company.

October 2020

The Sustainability Operations Council redefined materiality and deliberated on the review of the materiality based on the ideas organized at the formulation of the Integrated Value Creation Stories.

The review is still underway.

The first draft of targets and KPIs for new materiality, formulated by the Secretariat, is being carefully examined in cooperation with each business division toward their publication in FY 2022.

Mizuno's new materiality and major related SDGs

New materiality																						
Corporate activities with responsibility associated with business Responsibility	Responsibility for Safe and High-Quality Products more ▶	Ensuring of the safety and quality of products																				
		Communication related to products																				
		Customer service																				
	Responsible procurement with due consideration for human rights more ▶	CSR evaluation of suppliers before the commencement of business																				
		Understanding of the CSR status of suppliers and improvement efforts																				
		Efforts to prohibit and eliminate child labor and forced labor																				
	Responsibility for global environmental issues throughout the product lifecycle more ▶	Reduction of energy consumption and GHG emissions																				
		Reduction of hazardous chemical substances																				
		Reduction of waste																				
	Responsible business practices more ▶	Compliance / Anti-corruption																				
		Protection of intellectual property																				
		Protection of personal information																				
Providing social value through business Beyond	Contributing to the multi-dimensional values of sports more ▶	Physical and mental health through sports																				
		Developing communities based on sports																				
		Equality and diversity through sports																				
		Contributing to peace through sports																				
	Contributing to the resolution of social issue more ▶	Extending healthy life expectancy																				
		Improving physical fitness and athletic abilities of children																				
		Contributing to comfortable active life																				
		Contributing to the SDGs by applying Mizuno's technologies																				

46 issues applicable to Mizuno

When identifying priority issues (materiality) in 2015, we selected the following 46 issues. These issues were considered as applicable to us and were organized under six pillars at that time in reference to ISO 26000, the SDGs, the GRI G4 Guidelines, and other international standards deemed important as well as various reports from NGOs and research agencies.

This time, we reviewed the materiality based on these 46 issues. When reviewing the materiality, we sorted out social issues deeply related to our company and our past achievements. After much discussion on our strengths, business domains and social value provided by us with management and employees of related divisions according to the proposals of outside experts, we selected new materiality from the 46 issues.

Promotion of sports	CSR procurement	Environment
1. Improvement of the physical strength and athletic ability of children 2. Health promotion of the elderly through sports 3. Promotion of local sports through cooperation with schools and local communities 4. Support for promotion of sports for the disabled 5. Support for promotion of amateur sports 6. Training of sports instructors 7. Support for promotion of sports in developing countries	1. Environmental impacts of Tier 1 suppliers 2. Treatment of workers at Tier 1 suppliers 3. Other risks at Tier 1 suppliers 4. Prohibition and elimination of child labor 5. Environmental impacts of Tier 2 and Tier 3 suppliers 6. Treatment of workers at Tier 2 and Tier 3 suppliers 7. Understanding of other risks at Tier 2 and Tier 3 suppliers 8. Supplier capacity building 9. Disclosure of information on CSR efforts and ensuring of transparency of the information in the supply chain 10. Freedom of association and collective bargaining rights in the supply chain 11. Establishment of a complaint-handling mechanism in the supply chain 12. Disclosure of supplier information related to products	1. Reduction of greenhouse gas emissions 2. Reduction and proper control / disposal of waste 3. Reduction and proper control of chemicals hazardous to humans and the environment 4. Reduction of energy consumption 5. Increase in efficiency of water consumption and water consumption management 6. Research and development aimed at reducing the environmental impacts of products 7. Disclosure of information on the environmental impacts of products 8. Environmental considerations when holding sporting events 9. Collection and recycling of Mizuno's used products

Fairness in business practices	Product liability	Employment and human resource utilization
1. Enhancement of governance 2. Practice of compliance 3. Enhancement of internal control 4. Anti-corruption 5. Prevention of anti-competitive behavior 6. Protection of intellectual property 7. Protection of personal information	1. Product quality control 2. Provision of information on safe product use to consumers 3. Ensuring of the appropriateness of advertising materials 4. Ensuring of the appropriateness of product labeling 5. Responses to inquiries from consumers 6. Sincere responses regarding defective products	1. Fair evaluation system 2. Safety and health in workplaces 3. Realization of diverse working styles 4. Diversity 5. Wages and welfare of employees

Management approach for priority issues

Why are priority issues important? (reason for importance)

The value that sports can offer is multifaceted, and sports play an important role in our everyday life, helping us lead richer, healthier, and more pleasant lives. For instance, children need to make exercising a habit if they want to improve their physical strength and athletic ability. In addition, in times like today, where the national population is aging, sports can help extend our healthy life expectancy. To help more people recognize the value of sports, Mizuno will continue putting effort into promoting sports with the aim of maximizing the power of sports by applying its Group's knowledge, know-how, technology, and networks relating to sports.

Management policy

The promotion of sports, which Mizuno has been putting effort into, has always been about the following: 1) helping as many people as possible recognize the fun of sports and learn about the importance of playing fair, building friendships, and having a fighting spirit, which comprise the spirit of sports; and 2) collaborating with relevant organizations in helping resolve social issues by maximizing the possibilities of sports. Mizuno believes that putting effort into the promotion of sports will allow it to help contribute to creating a sustainable world where each and every one of us can shine.

Therefore, to enhance its social value through the promotion of sports, Mizuno recently reexamined its materiality and consequently decided to center its activities around the following themes: 1) contribution to the multi-dimensional value of sports and 2) contribution to the resolution of social issues.

To Contribute to the Multi-dimensional Value of Sports, Mizuno will put effort into the following three most important issues.

- Physical and mental health through sports
- Developing communities based on sports
- Equality and diversity through sports

Mizuno is also focusing strongly on its global activities for the promotion of sports that suit various countries and regions.

Management system

Mizuno has previously established the Sustainability Operations Council (internal name: MIZUNO CREW21 Council), which is chaired by the Director and Senior Managing Executive Officer. In addition to this committee, in January 2021, to further promote sports globally and also promote its unique sustainability activities, Mizuno established the CREW21 Global Sustainability Committee. The Director and Senior Managing Executive Officer and other officers from related divisions participate in the committee as observers. The committee is currently accelerating its activities, including holding regular online meetings attended by representatives of each region to decide which issues need to be addressed and how they should be addressed, as well as what the committee’s goals regarding each issue to be addressed should be.

[To learn about Mizuno’s, sustainability operations structure please click here.](#)

Performance highlights

■ Number of contracted sports facilities/number of facilities*

FY 2019	173 properties/1,061 facilities
FY 2020	176 properties/1,112 facilities

* As of April 2021



Materiality

Physical and mental health through sports

Our living environment is changing dramatically. The advancement of the information society and the automation of a variety of tasks have improved accessibility and the change in working patterns has made life more convenient and comfortable. On the other hand, people in general have come to lack sufficient exercise and not interact with one another in person as often as they used to, and these issues are believed to adversely affect the healthy development of the world.

Sports not only help us maintain our physical and mental health but also have the great power to create communication beyond the borders of countries and generations and to bring out the potential of people and regions. Mizuno will help create a rich and sustainable world where each and every one of us can shine, and it will do so by helping as many people as possible enjoy sports.

Proposing programs designed to help companies support employees to maintain good health

To help companies support employees to maintain good health, Mizuno designed a program called “Nagara Exercise 100” (100 exercises to perform while doing something else), which aims to resolve the lack-of-exercise issue by turning daily activities into light exercises.

Some of the reasons it may seem hard to make exercising a habit are that we tend to think we need to set aside a certain amount of time, be at a specific place to exercise, and do something special. Nagara Exercise 100 was developed based on the belief that daily life is full of opportunities to move our bodies and that there is nothing special we need to do in order to exercise.

Nagara Exercise 100 does not require using any special equipment, going to a gym, or setting aside time just to exercise. Mizuno categorized daily life into 25 scenes, and based on those scenes, it proposed exercises that can be done while doing something else. In addition, to introduce these exercises, Mizuno has developed a special website and held events and training sessions.

The concept of nagara exercise, which proposes that daily life itself can become an exercise if we could simply see it in a different way, is currently being offered in collaboration with various companies and organizations.

[Please click here for more details.](#)

Proposing a walking program that can help maintain and enhance good health

Mizuno offers a walking training program that can be enjoyed individually. The program introduces how shoes should be worn, what posture one should maintain when walking, how one should walk, and what kind of stretching exercises there are for our toes, and it is designed for the elderly, who may not like exercising.

The program was offered at 38 facilities in FY 2019 and welcomed 2,801 participants. In FY 2020, it was offered at 27 facilities and welcomed 2,866 participants.

Delivering videos of simple exercises that can be enjoyed at home

To help people feel good by exercising and thereby overcome the adverse effect that the novel coronavirus pandemic could have, Mizuno initiated an exercise video project with help from its instructors.

[Please click here for more details.](#)

Future issues to be addressed

To help people lead pleasant lives, Mizuno will adjust itself to the rapidly changing world and apply DX to its business to help people recognize how easy it is to make exercising a habit.



Materiality

Developing communities based on sports

Today, we are able to indirectly enjoy sports by watching real-time games and matches both in our own country and abroad thanks to the development of digital technology. However, since actually playing sports requires having equipment, a facility, teammates, and/or instructors, there are people who cannot play sports even if they want to.

Mizuno believes it needs to help create equal opportunities to play sports, regardless of age, physical disability, and place of residence, if it wants to help as many people as possible enjoy sports by maximizing the potential of sports. Therefore, Mizuno puts effort into improving the accessibility of sports and promoting regional sports. By doing so, Mizuno also aims to help people connect and communicate with one another through sports.

Regional sports promotion by top athletes

Holding Mizuno Victory Clinics

In 2007, Mizuno began promoting regional sports, with help from current and former male and female top athletes, by holding Mizuno Victory Clinics, which have top athletes give demonstrations and advice to help participants recognize the fun of sports.

About 300 current and former athletes of 20 types of sports, who participated in domestic and international sports competitions, including the Olympics and world championships, are registered as clinic instructors, and they directly pass on their skills and spirit to participants. In addition, Mizuno Victory Clinics aim to promote interaction between participants. Mizuno Victory Clinics, which welcome top athletes as instructors, not only promote regional sports but also provide athletes with opportunities to demonstrate their skills. The Clinics also serve as venues for top sports athletes and regional sports athletes to interact with one another.

In FY 2019, 89 Mizuno Victory Clinics were held. However, in FY 2020, Mizuno was only able to hold 24 Clinics nationwide due to the novel coronavirus pandemic.

Collaboration with municipalities in promoting regional sports

Regional sports not only help people improve their physical and mental health but also help residents build communities. Having the public, private, and education sectors put their ideas together allows activities to become more responsive to regional needs and thereby more effective. Mizuno collaborates with municipalities and universities in promoting regional sports.

Operating sports facilities

Creating opportunities for enjoying sports requires creating regional sports venues. In 2006, Mizuno was designated as a national sports facility management project participant. To promote interaction between community members and help them feel free to enjoy sports in their communities, Mizuno manages sports facilities and offers programs designed for people of all ages. As of April 2021, contract facilities total 1,112 in 176 regions nationwide.

Future issues to be addressed

While its influence could be temporary, the novel coronavirus pandemic is expected to cause a further decrease in children's physical strength. To help maintain and increase the number of people who play sports and help create a world where we can lead rich and healthy lives, Mizuno will continue to put effort into creating more opportunities for children to recognize that sports are not activities that require being at a school or a sports facility to enjoy but can be enjoyed anywhere.

Materiality

Equality and diversity through sports

Research into the development of products and services that will allow various people to enjoy exercising and playing sports together

Mizuno puts effort into conducting research into the development of products and services that will allow various people, regardless of their age, gender, and physical disability, to enjoy exercising and playing sports together. For instance, to allow as many people as possible to play sports, Mizuno conducts research into ways to run and walk with less physical burden and puts effort into developing products designed to enable easier running and walking.

In addition, to develop products that will reduce the burden placed on the human body, Mizuno pursues research of the following types.

- **Trolley bags that make walking easier (reduce wrist and arm burden)**

Mizuno's trolley bags allow walking straight despite small differences in level because their handles are L-shaped and transfer power equally to the wheels when the carrier leans forward to proceed. When the carrier is walking uphill, holding the L-shaped handle at an angle allows reducing 40% of his/her wrist muscle burden compared to when the handle is held vertically.

- **Support gear (reduces burden on individual body parts)**

Mizuno's support gear is equipped with built-in flex tube bones that reduce the wobbling of the knee and thereby ensure stability. In addition, because they are originally "dynamotion-fit" designed by Mizuno, they do not slip off easily and thereby can be comfortably worn.

- **Tights designed for people with knee osteoarthritis (reduce knee burden)**

Knee pain, which is common among women, occurs when great burden is placed on the inner side of the knee joint. To reduce knee burden, Mizuno developed a pair of tights to be worn by bending one's knees a little and pulling a strap, extending from near the malleolus of the ankle, from the outer side of the knee up all the way to the thigh, where the strap is to be fastened. The elasticity of the strap, extending from near the ankle, allows the knees to be pulled inward.

- **Earlobe-type pulse rate monitor “MiKuHa” (reduces heat risks)**

MiKuHa is an extremely accurate and convenient pulse rate monitor worn on the earlobe rather than on the wrist or chest, and it allows keeping track of one’s pulse rate on a smartphone. In addition to promoting its use in sports gyms to visualize exercise efficiency, Mizuno will promote the use of MiKuHa at workplaces and construction sites to help improve safety by helping maintain workers’ good health and detecting heat risks in solution collaboration with partner companies.



M i K u H a



MiKuHa being worn on a child’s earlobe

Support for sports for the physically challenged

To create opportunities for the physically challenged to actively enjoy sports, Mizuno puts effort into developing and offering sports equipment designed for the physically challenged and provides athletes and teams with support.

Development of a plate spring for sports prostheses

Mizuno collaborates with Imasen Engineering Corporation, a welfare equipment manufacturer, in developing track-and-field foot prostheses. In 2016, Mizuno and Imasen Engineering Corporation jointly developed a carbon sports foot prosthesis plate spring and subsequently began selling it through prosthesis and orthotics manufacturers nationwide. This carbon plate spring is designed for all kinds of short-distance track-and-field athletes, from beginners to top athletes, and it was developed by examining and reexamining the distribution of rigidity of the entire plate spring in order to respond to athletes’ need for plate-spring deformation and repulsion, and this was done based on data gathered by analyzing athletes’ motion when running, the relation between plate-spring deformation and load, and the plate-spring structure. In addition, effort was put into making the plate spring as light as possible so that it could be used with ease.



KATANAS (katana sigma), a sports plate spring jointly developed by Imasen

In September 2020, Mizuno and Imasen Engineering Corporation jointly developed another sports foot plate spring called KATANAS (katana sigma), which has a hole in the middle tip part of the plate spring. The hole, located above the part that comes into contact with the ground, which is also where the spike pins of this carbon plate spring are, allows reduction of air resistance by 31%.^{*1}The mass of this plate spring is about 15% lighter than that of previous models, and the moment of inertia, which indicates how easy/difficult it is to swing the plate spring, is about 10% smaller compared to that of previous models.^{*2}

Engineering Corporation
and Mizuno

To develop internationally competitive sports foot plate springs, Mizuno has been collaborating with Imasen Engineering Corporation in combining carbon designing and processing technology, often used in developing sports equipment, with other sports technology, including athlete motion analysis. To promote its products to athletes who are currently using products manufactured by overseas companies, Mizuno will put effort into increasing its lineup of products for top athletes.

*1. Compared with plate springs without an air hole. The comparison was based on an experiment conducted by Mizuno, using wind tunnel experimental equipment. In the experiment, the wind was set at 18.2 m/s, and participants swung out their prosthesis legs. Measurements were made when the foot plate springs, being swung, reached their maximum speed (when the foot plate springs were tilted forward 30 degrees perpendicular).

*2. Compared with previous models. The comparison was based on an experiment conducted by Mizuno, using a moment-of-inertia measuring instrument. In the experiment, measurements were made at a position 460 mm above ground and 80 mm forward from where the plate springs are attached, being set as the knee rotation axis.

An exercise program designed to stimulate the development of children

Mizuno offers a play-based exercise program for children who experience trouble (such as dropping things and/or having difficulty using scissors and knives) due to difficulty with performing movements accurately when playing sports and/or with everyday movements that require precision. This program aims to stimulate the development of children by helping them find out how they should move their bodies to improve their motor skills.



Expanding Mizuno's business that targets fans

Mizuno has designed and is implementing a project titled “Fanbassador Meeting,” which aims to develop absolutely new, fun, and convenient professional baseball fan goods in collaboration with fans.

Mizuno coined the term “fanbassador” because it wanted baseball fans to serve as ambassadors in sharing the fun of baseball with others from their own perspectives.

In the future, Mizuno will develop more projects, aiming to develop uniforms and other cheering goods by incorporating the perspective of not only professional baseball fans but also fans of other sports to make other sports more interesting as well.

Future issues to be addressed

Mizuno aims to create a world where everyone can enjoy sports by applying the technology and material that it developed in the sports industry.



Materiality

Contribution to peace through sports

The Mizuno Group has always wanted to help everyone around the world lead bright and healthy lives by taking part in sports. In FY 2020, during the novel coronavirus pandemic, The Mizuno Group was reminded of the importance of its business when it recognized the importance of moving our bodies, the fun in being able to play sports, the impressiveness of sports, and the courage that sports give us.

Mizuno has business locations in 12 countries and regions overseas, and it operates its Mizuno brand globally. We strongly drive its global activities regarding the promotion of sports that suit countries and regions. We aim to continue helping create a peaceful world with the power of sports and also aims to further help every adult and child around the world smile.

Participating in the Amsterdam Marathon Virtual Run

One of the most well-known activities aimed at promoting sports overseas is the Amsterdam Marathon, held in the Netherlands. Mizuno has been supporting the Amsterdam Marathon since 2000, and the marathon usually welcomes about 45,000 runners from more than 100 countries. The Amsterdam Marathon offers a full marathon, a half marathon, and an eight-kilometer run, allowing participants to choose and enjoy a run that best matches their running skills.

In FY 2020, the Amsterdam Marathon was held as a virtual run event due to the novel coronavirus pandemic. The virtual run welcomed about 6,000 participants from 104 countries, who enjoyed running individually yet together with a running app. Mizuno served as the main sponsor of the virtual run, and it offered T-shirts featuring the event and also sold shoes designed for the event. In addition, as charity events, Mizuno conducted a number of activities, including the donating of Mizuno competition T-shirts to organizations supporting young people playing sports.

This event, which connected sports lovers with digital technology during the coronavirus pandemic, became an important opportunity for promoting the value of sports to the world.

[Please click here for more details on this event.](#)



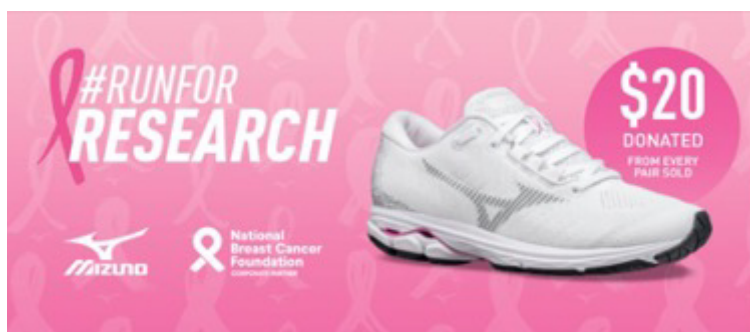


Amsterdam Marathon

To help all kinds of people, from children to adults, as well as beginners to those advanced, in Europe, the U.S., Australia, Taiwan, South Korea, and China, as well as other countries around the world, Mizuno co-hosts competitions and holds sports clinics relating to running, rugby, badminton and other sports.

Contributing to the pink ribbon campaign

Mizuno USA and Mizuno Australia sell special edition shoes called the Project Zero Wave Rider Waveknit. Part of the sales that come from selling these shoes is donated to and used at The National Breast Cancer Foundation (NBCF) for activities and research aimed at preventing deaths due to breast cancer by 2030.



Future issues to be addressed

To uphold its management principle of “Contributing to society through the advancement of sporting goods and the promotion of sports,” Mizuno will continue conducting activities designed to promote sports more globally.

Management approach for priority issues

Why are priority issues important? (reason for importance)

Mizuno aims to help resolve social issues relating to sports by developing business models aimed at helping achieve the UN's SDGs. Compared to other countries around the world, Japan has a relatively low sports participation rate. To deal with this situation, in its Sport Basic Plan, the Japan Sports Agency declared its aim of raising the percentage of adults who play sports more than once a week to about 65%. Achieving this aim requires creating an environment where all kinds of people, from children to elderly people, can enjoy sports.

Mizuno puts effort into helping children improve their physical strength and motor skills and also help elderly people extend their healthy life expectancy. The physical strength and motor skills of children has not improved ever since it declined in 1985, and for instance, Japan has seen an increase in the number of children who injure their face during daily life due to falling, being unable to break their fall with their hands. In addition, the number of children who become tired very quickly has increased as well. To help improve this situation, Mizuno has developed a fun exercise program for children to enjoy and has been offering it at its facilities and also shopping malls.

In addition, Mizuno has developed and offers an exercise program for elderly people to enjoy because it believes extending the healthy life expectancy of elderly people will help achieve the goal of creating a sustainable social security system.

Management policy

Mizuno has redefined the definition of the word “sports” in its Action Principles for SDGs that it established in 2020 and in section “1. Contribution to society” of its Mizuno Corporation Ethical Standards to include not only competitive sports but also opportunities to move our bodies in our daily lives. Based on its new definition of sports, Mizuno aims to develop business models aimed at helping resolve social issues with the power of sports to help achieve the UN's SDGs.

Therefore, to enhance its social value through the promotion of sports, Mizuno recently reexamined its materiality and consequently decided to center its activities around the following themes: 1) contribution to the multi-dimensional value of sports and 2) contribution to the resolution of social issues.

To Contribute to the Resolution of Social Issues, Mizuno will put effort into the following three most important issues.

- Extending the healthy life expectancy of elderly people
- Improving the physical strength and athletic ability of children
- Contributing to the UN’s SDGs by applying Mizuno's technologies

[Please click here to see Mizuno’s Action Principles for SDGs and its Mizuno Corporation Ethical Standards.](#)

Management system

Mizuno has an xPD Cross-departmental Committee, led by officers of its planning and development departments. The xPD Cross-departmental Committee holds regular meetings, attended by representatives of Mizuno’s R&D, as well as its apparel, footwear, and equipment departments. The Committee discusses matters essential to the achievement of a sustainable future including R&D prospects, future plans, and specific details of plans.

Performance highlights

■ Walking training sessions

FY 2019	The program was offered at 38 facilities and welcomed 2,801 participants.
FY 2020	The program was offered at 27 facilities and welcomed 2,866 participants.

■ Schools participating in Hexathlon events/number of events/number of participants

FY 2019	6 schools/120 events/4,000 participants
FY 2020	9 schools/17 events/1,446 participants



Materiality

Extension of healthy life expectancy through the maintenance of motor function among elderly people

With the Japanese population aging, sports are expected to play an important role in helping extend healthy life expectancy (the average life in good health without limitation of activity in daily life). To help people maintain the good quality of their lives and thereby also help reduce social burden, including medical bills, Mizuno Japan will put effort into helping extend Japan's healthy life expectancy, and it will do so by helping elderly people maintain their motor skills by enjoying sports.

Mizuno elderly people healthy exercise program

The Mizuno elderly people healthy exercise program was developed by Mizuno and is based on the three concepts of being doable, enjoyable, and maintainable.

LaLaLa Fit

LaLaLa Fit is a self-weight exercise program designed to help people train body parts, such as muscles and joints, which they use in their daily life. The program aims to help people reinforce their sense of balance by using Mizuno's functional tools and also use muscles that are not being used daily.

LaLaLa Circuit

LaLaLa Circuit allows people to train their balance, muscles, and brain at their own level and at their own pace with help from trainers. This program is designed for people who want to exercise hard. The program aims to activate both the body and the brain with a dual task exercise comprising a muscle workout using hydraulic machines and a rhythmic, aerobic exercise.

LaLaLa Circuit Lite

LaLaLa Circuit Lite aims to also activate the brain with a dual task exercise comprising self-weight training and a rhythmic, aerobic exercise. This program is designed for people who want to enjoy a light workout.

Regional collaboration in extending healthy life expectancy

To create exercising opportunities for people who may be thinking that going to a gym to work out may be harder than they imagine, Mizuno actively participates in care prevention projects and projects for specified health instructors, being implemented by municipalities across the nation. In particular, Mizuno coordinates groupwork activities aimed at helping participants build networks and also at encouraging visiting its designated management facilities to continue exercising.

Promoting the spread of Mizuno Active Leaders

Mizuno holds training sessions for everyone involved in administering elderly people exercise programs, which help participants become Mizuno Active Leaders able to help elderly people acquire a basic knowledge of the body, essential to exercising, instruct elderly people based on a training program, and give demonstrations. Training sessions for cultivating Mizuno Active Leaders grant completers with licenses, which certify that the holder is aware of what points he/she needs to be careful about when helping elderly people exercise and is able to instruct elderly people on how they should train their muscles and perform stretching exercises.

NPOs, sports associations, and companies have so far acquired the Mizuno Active Leader license and begun helping elderly people exercise at facilities in their own communities.

Performance of Mizuno's healthy life expectancy extension programs

Walking training sessions	
Outlin	This is a walking training program that can be enjoyed individually. The program introduces what posture one should maintain when walking, how one should walk, what rehabilitation exercises are available, and what kind of stretching exercises there are for our toes, and it is designed for the elderly who may not like exercising.
Performance	The program was offered at 27 facilities in FY 2020 and welcomed 2,866 participants.
LaLaLa Fit	
Outlin	Please refer to the descriptions under the heading “LaLaLa Fit” above.
Performance	The program was offered at 28 facilities in FY 2020 and welcomed 10,389 participants.
LaLaLa Circuit	
Outlin	Please refer to the descriptions under the heading “LaLaLa Circuit” above.
Performance	The program was offered at two facilities in FY 2020 and welcomed 1,876 participants.
Shakeen (Improving one's posture)	
Outlin	This program is designed to help people improve their posture. The program is primarily designed to help people perform core training and uses training tools developed by Mizuno.
Performance	The program welcomed 1,184 participants in FY 2020.



Walking training sessions



LaLaLa Circuit

Cultivating care prevention leaders in collaboration with the government

Mizuno collaborates with the government in offering training sessions designed to help citizens become care prevention leaders. The training sessions incorporate the ideas behind the Mizuno Active Leader program, and in addition to offering these training sessions, Mizuno provides on-the-job training at core facilities and also helps leaders who complete the training session continue to grow in their communities.

Future issues to be addressed

Mizuno currently puts effort into applying motion analysis technology, which it uses on athletes, to the development of such products as clothes and equipment for, elderly people, whose body functions have declined along with muscle weakening due to aging.

From here on, Mizuno will put effort into offering exercise programs designed to encourage people who do not like to exercise and/or who lead lives that require them to stay home to exercise by helping them find the fun in designing their own training program practicable at home and in using Mizuno's tools.

In addition, Mizuno will put effort into cultivating more Mizuno Active Leaders, who can help their community members build networks and actively enjoy performing body-building and health-building exercises in their own communities everyday.

Materiality

Improving physical fitness and athletic abilities of children

The physical strength and athletic ability of children is continually declining around the world due to the development of today's information society. The decline in children's physical strength will not only have an adverse effect on their own future health but also negatively impact the Japanese economy by causing an increase in medical bills. Therefore, to turn this situation around, measures need to be taken by all persons involved, from educational institutions to the families of today's children.

The factors causing the decline in Japanese children's physical strength and athletic ability are as follows: 1) a decrease in outdoor areas where children can play safely whenever they want, 2) the underdevelopment of basic athletic skills that should be acquired during childhood, and 3) children's belief that they are not good at sports. Mizuno puts effort into developing and offering an exercise program that aims to help children improve their athletic ability and physical strength.

The development of Mizuno's exercise program "Hexathlon"

Mizuno has developed an exercise program called "Hexathlon," which comprises play-based exercise menus that allow children, regardless of whether they like exercising, to enjoy acquiring the basic moves of sports and an athletic ability measurement test, and it currently offers the program at several kinds of facilities, including elementary schools, in collaboration with municipalities nationwide. "Hexathlon" uses Mizuno's equipment, which has been developed with attention to safety and functionality, and comprises menus that allow children to acquire the basic moves of sports at their own pace by enjoying running, jumping, and throwing things. Mizuno offers venues, the "Hexathlon" program, and services as a package, ensuring that children will be able to enjoy steadily improving their physical strength and athletic ability.

The development of Mizuno's exercise program: Other

Children need to make exercising a habit and overcome their own belief that they are not good at sports if they want to improve their athletic ability and physical strength.

Mizuno offers “Mizuno Sports School” and “Sports Day Victory School” programs across the nation with its staff, who have a vast knowledge of and experience in sports, serving as instructors. “Mizuno Sports School” and “Sports Day Victory School” programs aim to help more children come to like exercising, and they aim to do so by helping children recognize the fun of exercising by acquiring the basic moves of sports that need to be learned during childhood and doing so in a short amount of time.

In addition, Mizuno offers a play-based exercise program titled “PLAY ! CIRCUS,” which is targeted at children aged between three and five and also at their parents, and the program features basic moves that need to be learned between those ages. “PLAY ! CIRCUS” is a 60-minute program and is modeled after a typical circus. In the program, children pretend that they are members of a circus and enjoy exercising with the head of the circus and its clowns.

Performance of Mizuno's programs for improving the athletic ability and physical strength of children

Hexathlon	
(Outline)	Hexathlon comprises menus that allow children to acquire the basic moves of sports while enjoying exercising and an athletic ability measurement test.
(Performance)	Japan: Hexathlon was offered at nine schools in FY 2020, was administered 17 times, and welcomed 1,446 participants. Vietnam: A project aiming to promote Mizuno Hexathlon Exercise Program was implemented. Mizuno Hexathlon exercise program has welcomed about 320,000 participants (as of March 2021).
Mizuno Ninja School	
(Outline)	Mizuno Ninja School is a story-based exercise program, in which participants pretend that they are ninja undergoing training, and the program comprises 36 basic moves essential to the healthy growth of children, including running, jumping, and throwing things.
(Performance)	Mizuno Ninja School was offered 63 times in FY 2020 and welcomed 789 participants.

Mizuno Sports School

(Outline)	Mizuno Sports School is designed for children who believe they are not good at sports, and the program comprises mat, horizontal bar, and vaulting box exercises.
(Performance)	Mizuno Sports School was offered 182 times in FY 2020 and welcomed 1,760 participants.

Sports Day Victory School

(Outline)	Sports Day Victory School is an experience-based lesson-type program designed to help participants become able to win first prize in sports-day races, including relay races.
(Performance)	Sports Day Victory School was offered seven times in FY 2020 and welcomed 98 participants.



Hexathlon



Mizuno Ninja School



Mizuno Sports School



Sports Day Victory School



PLAY! CIRCUS



Project aimed at promoting Mizuno Hexathlon Exercise Program in Vietnam

Mizuno has been putting effort into promoting its Mizuno Hexathlon Exercise Program in Vietnam since 2015. In Vietnam, not much time was given to physical education during the country's compulsory school years compared to developed countries. In addition, the country lacked variety in its exercise programs and thereby required giving more consideration to how such basic moves as running, jumping, and throwing things could be better incorporated.

In September 2018, Mizuno concluded an agreement with the Vietnamese Ministry of Education and Training, saying that the ministry would incorporate Mizuno Hexathlon exercise program into its new curriculum guideline, and Mizuno provided 1,000 Vietnamese elementary schools with its sports equipment in exchange.

In addition, in October of the same year, Mizuno and the ministry officially concluded a memorandum of cooperation on introducing Mizuno Hexathlon exercise program into the country and ensuring that performing the Hexathlon becomes a regular practice. The memorandum of cooperation laid the foundations needed to construct models across Vietnam of how Mizuno Hexathlon exercise program could be introduced into the country's new educational curriculum guidelines and be developed into a regular practice. Subsequently, in December, Mizuno began promoting the introduction of its Hexathlon exercise program in all 63 provinces of Vietnam.

Mizuno also offers workshops designed to help elementary school teachers become Hexathlon instructors and has so far welcomed about 1,700 teachers as participants, who currently teach many students at their elementary schools how to perform the Mizuno Hexathlon in physical education classes.

Mizuno has not been offering its workshops, which require having a large number of people gather in one place, since March 2020 due to the novel coronavirus pandemic, as well as the accompanying need to prevent its spread. However, schools reopened relatively fast in Vietnam compared to other countries, and teachers who previously participated in Mizuno's workshops are teaching the Mizuno Hexathlon in physical education classes.

With help from the Vietnamese government, based on the country's new educational curriculum guidelines and when the guidelines come into effect, Mizuno will continue offering its equipment needed to teach the Mizuno Hexathlon. Through this project being implemented in Vietnam, which follows the philosophy of the UN's SDGs of leaving no one behind, Mizuno aims to help resolve social issues with the power of sports and thereby help achieve the UN's sports SDGs by helping Vietnamese children recognize the fun of playing sports and moving their bodies.



Elementary school students enjoying the Hexathlon



Mizuno receiving a letter of appreciation from the secretary of the Japan Sports Agency



A national physical education training session being held by the Vietnamese Ministry of Education and Training in November 2020

Note: The project aimed at promoting Mizuno Hexathlon Exercise Program in Vietnam received a letter of appreciation from the secretary of the Japan Sports Agency and was recognized as “Sports for Tomorrow” accreditation program in December 2019.

Promoting a Mizuno Original License named the “Mizuno Play Leader”

To help create an environment where children can play lively, Mizuno puts effort into cultivating Mizuno Play Leaders, whose job is to watch children while they play on their own initiative. Mizuno offers play-based basic exercise training programs designed to help companies, universities, governments, and educational institutions, which have many opportunities to interact with children, acquire the basic knowledge and skills needed to be certified as Play Leaders. Mizuno puts effort into promoting its training programs internally and externally, and so far it has helped about 700 people across the nation become Play Leaders. Play Leaders devote themselves to interacting with children, winning children’s trust and protecting them when necessary.



Mizuno Play Leader

Future issues to be addressed

Children today are said to lack spaces to play in, friends to play with, and time to play. In addition, parents are often heard saying that they do not know how they should play with their own children.

Mizuno puts effort into helping create an environment where children can play livelily and also puts effort into cultivating Mizuno Play Leaders, whose job is to look after children playing.

The job of a Play Leader is to come up with fun ideas and exercises that children will greatly enjoy and create an environment where children can play with one another on their own initiative. To help children grow with a healthy mentality and body through enjoying play-based exercises, Mizuno will put effort into promoting its Play Leader program internally and externally.

In addition, it will put effort into creating opportunities for Play Leaders to demonstrate their skills. In order to do so, Mizuno will put effort into having as many people as possible find out about its Play Leader program, and to do so, it will identify what issues there may be in promoting its Play Leader program and also inform parents about its Play Leader system. To have as many people as possible find out about its Play Leader system, Mizuno will promote its system by offering play-based exercise programs and events.



Materiality

Contributing to comfortable active life

In conducting business, Mizuno keeps its eye on equipment not only for competitive sports but also everyday life and business settings. To help communities develop healthily and resolve social issues, including helping people improve their mental and physical health and promoting communication between community members, Mizuno will maximize its strength it developed in the sports industry.

Moisture absorption and heat generation material “BREATH THERMO” which helps manage one’s daily physical condition

Mizuno offers a series of Breath Thermo underwear made of a moisture absorption and heat generation material called Breath Thermo ,which is not only great for improving users’ sports performance but also always warm and comfortable, regardless of what kind of purpose the underwear is worn for, including managing one’s daily physical condition.

Breath Thermo is Mizuno’s core material and is a comfortable heat insulation material that generates heat by absorbing insensible perspiration. Breath Thermo also effectively absorbs moisture and keeps the wearer warm by filling the fiber with the warm air it generates by absorbing moisture. Breath Thermo underwear prevents the wearer from feeling musty even when he/she is sweating, stays dry, and thereby brings the wearer comfort. Breath Thermo is one of Mizuno’s functional material, which is great for the winter because it keeps the wearer not only warm but also comfortable by handling sweat and ensuring comfort against the skin.

Breath Thermo was developed in 1993, and in 1994, it was officially used to make uniforms for Japanese skiing representative athletes. Ever since being developed, Breath Thermo has been supporting athletes for more than 28 years. Mizuno began selling underwear made of Breath Thermo in 1997.

Promoting the use of the functional value of sports equipment in business settings

Mizuno considers business settings as being one of its strategic domains and sells company uniforms and shoes that apply the functional value of sports equipment to workers in various industries. Companies have recently come to recognize the importance of valuing their employees' health from the perspective of company management and have begun paying more attention to the need for strategic health management. Accordingly, as part of their employees benefits, companies now place more importance on the safety and comfort of the uniforms, etc. that they ask their employees to wear.

Mizuno also puts effort into helping improve harsh working environments, such as by offering “Airy Jackets” (work clothes with fans) to help deal with the heat and “Techshield Jackets” to help deal with the cold. In addition, to help achieve the UN’s SDGs by improving productivity, Mizuno aims to develop an environmentally friendly company uniform by using thread made from recycled pet bottles.

How Mizuno came to target business settings

In 1997, Mizuno established a department devoted to designing and selling specially ordered company uniforms by applying its technology and knowledge that it acquired in the sports industry, and so far it has sold such uniforms to more than 500 companies. In response to recent needs arising from companies, in March 2016, Mizuno began full-scale sales of work shoes, and in February 2018, it began selling work apparel. In April 2019, Mizuno established the Work Business Department and began putting more effort into promoting its products in business settings.

In addition, in April 2019, to reinforce its BtoB (Business to Business) sales team and thereby enhance its sale strategy targeting companies and municipalities, Mizuno increased the number of its Corporate Sales Department employees from about 20 to 90 and also assigned Corporate Sales Department employees to all of its branches, from Hokkaido to Kyushu.

Mizuno aims to achieve sales of 15 billion yen by the end of FY 2023.

The features of Mizuno work apparel

Work apparel needs to be equipped with the functionality that will enable it to help workers work more easily and comfortably by taking into consideration environmental changes, such as outdoor and indoor temperature differences. Mizuno work apparel is equipped with the following functions needed in today's work environment: 1) "Dynamotion fit," which is designed to maximize mobility; 2) "Dry aeroflow," material which deals with sweat effectively; and 3) "BREATH THERMO," a moisture absorption and heat generation material that generates heat by absorbing body moisture.

- "Dynamotion fit," designed to maximize mobility
"Dynamotion fit" is designed to maximize mobility, based on ergonomic motion analysis. "Dynamotion fit" allows wearers to move about freely by reducing tension and pressure.
- "Dry aeroflow," designed to deal with sweat effectively
"Dry aeroflow" was developed with the aim of reducing the discomfort that occurs when sweat reduces the cloth's air permeability. "Dry aeroflow" ensures air permeability even when the wearer is sweating profusely, and it reduces the stickiness that comes from sweat and also has a cooling function. "Dry aeroflow" is great for working comfortably during the rainy season or under the burning heat during the summer.

Applying body movement technology and know-how to the medical and nursing industries

Mizuno has been conducting research into people's body movements for more than a century and has supported countless athletes with its sports equipment. Mizuno's technology and know-how, which have been accumulated by closely working with athletes in the sports industry, can be applied to the medical and nursing industries, where workers work in harsh environments to care for patients.

As part of its medical and nursing business, Mizuno sells medical shoes and apparel. Mizuno aims to expand its business by selling its Dynamotion-fit-designed "Scrub Pants," made of hydro silver titanium, which disassembles unsanitary protein.

Helping maintain good health by making exercising easily in the living room a habit

Mizuno has often heard people saying, “I want to exercise for the sake of my health, but I don’t have the time” or “I want to exercise, but I hate having to put away exercising equipment afterwards.” Therefore, in 2018, it began selling “Mizuno Healthy Interior” as part of its series of training goods that can be placed in the living room. Under the concept of adding a little exercise to everyday life in the same space, Mizuno aims to help people who are busy with work, housework, and/or childcare maintain good health by making exercising in the living room a habit.

“Mizuno Healthy Interior” is selling well because it meets people’s needs of wanting to exercise regularly alone without being affected by external factors, currently arising from the need to stay home most of the time due to the novel coronavirus pandemic. “Mizuno Healthy Interior” achieved sales of 450 million yen last year, and Mizuno aims to achieve sales of 900 million by the end of FY 2025.

Future issues to be addressed

Mizuno aims to increase the number of its customers by expanding its business with sports at its core and conducting lifestyle-related businesses that can help people lead comfortable lives at home.



Materiality

Contributing to the SDGs by applying Mizuno's technologies

To develop various innovations, Mizuno maximizes the following advantages, which it acquired in the sports industry: 1) its development capabilities for creating new functions and materials; and 2) its technological capabilities for manufacturing high-quality products. Mizuno will continue to aim at helping create a sustainable world by helping resolve social issues, including achieving the UN's SDGs.

Research into ways to apply carbon technology

Mizuno has always placed people at the center by conducting research into people's motions and forms. Mizuno will continue placing people at the center of its research efforts, and it will continue conducting research with the aim of creating new value, such as products and services that can help achieve the UN's SDGs. Mizuno will not only put effort into developing good products and services as a manufacturer but also ensure that it pursues research themes that will help achieve the UN's SDGs. As its medium- to long-term goal, it will aim at achieving carbon neutrality, and by doing so, it will aim at helping create a sustainable world.

As part of its research efforts that apply carbon technology, Mizuno currently puts effort into the following: 1) developing more products that use recycled carbon technology, 2) conducting research into thermoplastic CFRP, and 3) conducting research into ways to reinforce CFRP by using nanofillers.

- **Developing products by using recycled carbon technology**
Insoles that reduce foot fatigue are one example. Mizuno wants to support workers and elderly people through their daily work and life by caring for their feet.
- **Research into thermoplastic CFRP**
Prosthesis plate springs made of thermoplastic CFRP are used in the same way as their counterparts made of thermosetting CFRP, but the former can be molded in shorter amounts of time and are recyclable. Mizuno aims to help create a sustainable world by developing practical CFRP products with the potential to greatly reduce CO2 emissions.
- **Research into ways to reinforce CFRP by using nanofillers**
Mizuno believes that adding nano-sized ingredients will improve the material itself and enable the development of high-function sports equipment.

Research into the development of new sports and services

Mizuno puts effort into conducting research into the development of new sports and services that will allow people to enjoy sports together, regardless of their age, gender, and physical disability.

Mizuno can contact its customers with relative ease when it needs help with conducting research into the development of new services because it operates facilities, including designated management facilities, used by its customers. In conducting research into the development of new services, Mizuno also uses data it has accumulated from previous research into sports equipment with help from actual people.

Research into play-based exercise programs designed to help children make exercising a habit

Sports and other exercises, in addition to play-based exercises, need to be fun if they are to be made a habit. Experiences that we undergo during our childhood are known to last for a lifetime. Therefore, in addition to conducting research into children's physical strength and athletic abilities, when examining the effects of its play-based exercises, Mizuno conducts research into the relationship between its play-based exercise programs and children's minds. Mizuno aims to develop play-based exercise programs that will allow children who believe they are not good at sports or do not like to exercise to enjoy it with relative ease.

Research into exercise programs that aim to help elderly people improve (or prevent the decline of) their cognitive skills

The concerns that elderly people have regarding their health are as follows: 1) becoming bedridden after falling down and 2) coming to have difficulty in their daily lives due to a decline in their cognitive skills. The more elderly people become permanently bedridden or hospitalized, the higher medical bills and long-term care costs will become. Mizuno believes that extending healthy life expectancy depends on whether we can enjoy exercising throughout life. Mizuno conducts research into the development of exercise programs for elderly people based on the belief that moving our bodies rhythmically and coordinating movements of our hands and feet help prevent our cognitive skills from declining.

Research into the development of new play-based sports

Mizuno conducts research into the development of new sports in collaboration with a number of associations and universities. For instance, 500 Steps Soccer is a game where players have only a limited number of steps they can take and are monitored by a digital device. Because players need to follow the limited-step rule, the game allows people who believe they are not good at sports or believe they are inferior to others in terms of athletic ability to enjoy moving their bodies and shooting the ball into the goal.

Mizuno also puts effort into developing entertainment sports that use its pulse rate monitor "MiKuHa" and is putting effort into developing the following sports that incorporate the use of toys: 1) Train & Animal Race, 2) Exciting Bingo, and 3) Color Tag.

Mizuno will continue putting effort into conducting research into the development of new products and services by combining sports science with digital technology. In addition, it will continue putting effort into conducting research into the development of new sports by maximizing its strength of being a sports facility operator that can have its staff perform demonstrations.

Future issues to be addressed

Mizuno has expanded its definition of sports to include not only competitive sports but also everyday opportunities to move our bodies, and under this definition, it aims to develop new business models that can help achieve the UN's SDGs by helping resolve social issues with the power of sports.

Management approach for priority issues

Why are priority issues important? (reason for importance)

The Asia-Pacific region, where many of our subcontracted factories are located, is generally said to be a region of great concern in terms of human rights, labor, and the environment. The Mizuno Group promotes CSR procurement based on the belief that “good manufacturing” can be achieved by ensuring that its production process meets the international standards with regard to human rights, labor, and the environment as well as by producing high-quality, safe, and reliable products. In particular, we recognize that consideration for human rights is even more important for expanding our business globally in the future, and we will work on “responsible procurement with due consideration for human rights” as one of the materiality.

Management policy

We respect the Universal Declaration of Human Rights and the labor-related international code of conduct, including the ILO core labour standards. We comply with all labor-related laws and regulations, which govern working hours, compensation, trade union choice, collective bargaining rights, working conditions, and other job issues, of the countries where we operate, and we aim to create a workplace where individuals are treated with dignity, fairness, and respect. We have established the Mizuno Code of Conduct for Suppliers, which adopts the perspective of ISO 26000, international guidance on social responsibility, to convey our CSR approaches to suppliers, and we ask them to comply with its principles.

The Mizuno Code of Conduct for Suppliers has been translated into the language of each country where major factories are located, and we ask them to post it so that workers in the factories can understand its content.

Management system

To promote CSR procurement activities, the CREW21 CSR Procurement Committee has been established. Chaired by the Managing Executive Officer, the committee consists of representatives from the production division, the factory division, the Quality Assurance Office, and other management divisions throughout the company. It reports the progress of CSR procurement audits, promotes compliance with the Mizuno Code of Conduct for Suppliers, and discusses global CSR procurement activities.

Implementation of CSR procurement audits in Japan and overseas and improvement efforts

Our CSR procurement covers not only Mizuno Corporation but also overseas branches / subsidiaries and licensed sales agencies. CSR procurement activities are composed of two parts: CSR evaluation of suppliers before the commencement of business and regular CSR audits of suppliers doing business with us.

In a CSR evaluation before the commencement of business, we evaluate major new suppliers from the aspects of human rights, labor practices, and the environment based on the Mizuno Code of Conduct for Suppliers to ensure that we can undertake procurement from suppliers that meet our criteria for commencing business*. We also hold CSR procurement briefing sessions in Japan and overseas to explain our approach to CSR procurement. For CSR audits of suppliers doing business with us, we conduct regular audits of factories, selected based on our own criteria, on a three-year cycle.

Audits are usually conducted in the form of two-party audits, in which multiple auditors from external specialized agencies perform audits based on our criteria. Our CSR audits are conducted with the aim of preventing the occurrence of problems. If a problem is found during an audit, we discuss appropriate corrective actions to improve the situation and then ask the relevant supplier to take these actions. Thus, we place emphasis on feedback after an audit. We believe that to improve the CSR procurement status of overseas subcontracted factories, it is effective to work jointly with organizations that have knowledge in the field of CSR procurement and other companies in the same industry. Accordingly, we actively work to collaborate with outside organizations to improve the CSR procurement status of suppliers.

* Factories subject to a CSR evaluation before the commencement of business and regular CSR audits are selected based on the transaction value and our production share in each factory. In Japan and China, in-house auditors, trained by the Mizuno Group, mainly conduct audits.



CSR audit

Status of the supply chain

We seek to supply better sports products through cooperation with a variety of outside organizations. Our products, including sports shoes, sportswear, and golf clubs, are manufactured in our own factories and subcontracted factories. Major subcontracted factories are located in Japan, China, South Korea, Taiwan, Indonesia, Vietnam, Thailand, the Philippines, Myanmar, and Cambodia.

We conduct CSR procurement activities that comply with the Mizuno Code of Conduct for Suppliers and ask our subcontracted factories to understand our CSR procurement policy. If there are any problems in their operations for human rights, occupational safety and health, and the environment, we point out the problems and conduct a CSR procurement audit to correct them.

Status of the entire supply chain

The following is a breakdown of our Tier 1 suppliers by procurement category and by country / region.

Breakdown of Tier 1 suppliers

		No. of suppliers		Procurement amount ratio
Total No. of suppliers		514	100	100
By category	Apparel	308	59	43
	Shoes	29	6	36
	Equipment	177	35	21
By country / region	Japan	120	23	15
	China	214	42	21
	South Korea	10	2	0
	Taiwan	33	6	1
	Indonesia	19	4	4
	Vietnam	57	11	39
	Thailand	11	2	4
	The Philippines	4	1	2
	Myanmar	10	2	4
	Cambodia	8	2	3
	Others	28	5	6

* Since the percentage figures are rounded to the nearest whole number, the total may not be 100%.

Status of important suppliers

Suppliers that have a significant impact on our business continuity and business evaluation in terms of annual transaction value, transaction share, and the importance of procured items are considered as important suppliers. The status of important suppliers is as follows.

Status of important suppliers (Tier 1 suppliers)

Number of important suppliers	177
Percentage of important suppliers among all Tier 1 suppliers	34
Percentage of the procurement amount from important suppliers in the total procurement amount	97
Percentage of important suppliers to which Mizuno is a major customer*	54

* When the value of transactions with Mizuno accounts for at least 30% of the amount of orders received by the relevant supplier

Disclosure of supplier information

Since FY 2017, we have disclosed a factory list as part of our efforts to make the supply chain more transparent.

[List of Major Suppliers \(xlsx\) \(September 2020\)](#)

Performance highlights

■ Implementation rate of a CSR evaluation of new candidate supplier factories before the commencement of business

FY 2019:	100%
FY 2020:	100%

■ Number of domestic and overseas Tier 1 suppliers that underwent a CSR audit

FY 2019:	31 companies
FY 2020:	23 companies

■ **Results of the follow-up audits of seven factories evaluated as C or lower in an CSR audit**

Evaluation A: 4 factories; No audit implemented due to the termination of transaction: 3 factories

■ **Number of overseas Tier 2 suppliers that underwent a CSR audit**

FY 2019	6 companies
FY 2020	1 companies

Materiality

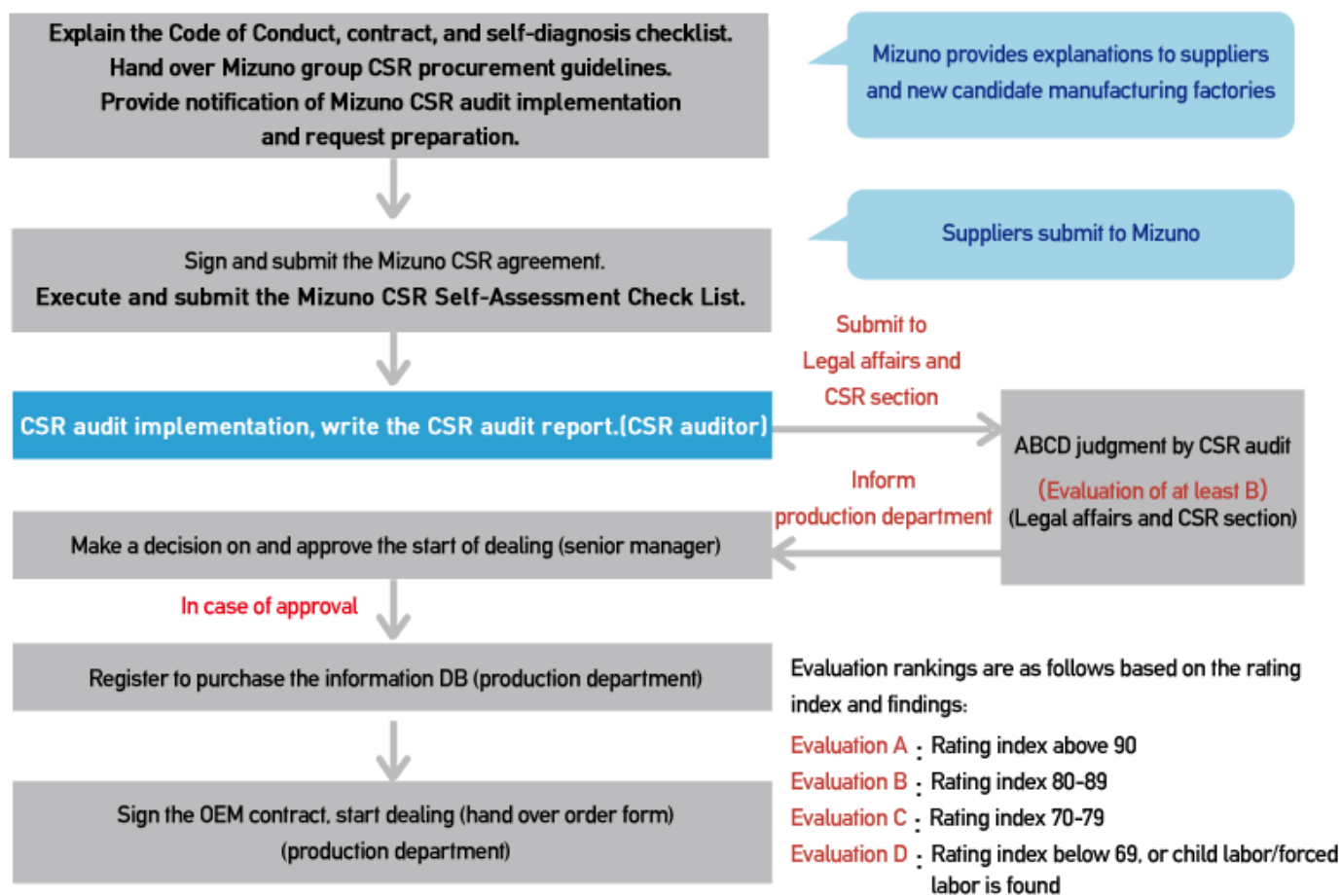
CSR evaluation of suppliers before the commencement of business

CSR evaluation of new candidate supplier factories before the commencement of business

We believe that evaluation of suppliers before the commencement of business is important to ensure CSR procurement. To this end, we have established a system for a CSR evaluation of new suppliers before the commencement of business based on the Mizuno CSR Procurement Regulations and have evaluated major new candidate supplier factories in terms of human rights, labor practices, and the environment before commencing production. Before conducting an audit for a CSR evaluation before the commencement of business, we present new candidate supplier factories with three documents – the Mizuno Code of Conduct for Suppliers, the Mizuno CSR Pledge Statement, and the Mizuno CSR Self-Assessment Check List – and ask for a signature on the CSR Pledge Statement.

In addition, we hold a briefing session using the Mizuno Group CSR Procurement Guidelines, which explain our CSR procurement policy, to seek their understanding of CSR procurement before an audit. For factories that do not reach Evaluation B (80–89) in an audit, which is requisite to commence business, we send a corrective action plan and report created based on the CSR audit report. Subsequently, we discuss with them about the content of the corrective action plan, provide corrective guidance and, in some cases, visit the relevant factories. To ensure CSR procurement, we do not start business until we confirm that they meet the conditions required by us through these corrective actions.

Flow of a CSR evaluation of new candidate supplier factories before the commencement of business



Implementation rate of a CSR evaluation of new candidate supplier factories before the commencement of business (Implementation rate of monitoring in terms of human rights, labor practices, and the environment)

In FY 2020, a prior evaluation (audit) was conducted for all five new candidate suppliers. Two suppliers were evaluated as A, and one supplier was evaluated as B. The other two suppliers were evaluated to be equivalent to B or higher by another audit program.

Corrective action when the CSR audit result is C or lower

If a supplier factory is evaluated as C or lower in a prior evaluation, the division in charge of CSR provides feedback on the audit results through the staff in charge of the relevant supplier. We also offer follow-up support, including providing advice to the supplier about specific improvement measures for items pointed out as inadequate, until the supplier reaches evaluation level B or higher, which is a prerequisite to commencing business.

Translation of the Mizuno Code of Conduct for Suppliers into the local language of the respective countries and its distribution

The Mizuno Code of Conduct for Suppliers had been prepared in three languages – Japanese, Chinese and English – to be distributed to suppliers and subcontracted factories. In 2018, it was further translated into the local language of each country where factories are located in order to promote understanding among employees working in the factories. The following languages are available as of the end of 2020: Italian, Indonesian, Urdu, English, Korean, Khmer, Spanish, Thai, Chinese (Traditional and Simplified), German, Turkish, Japanese, Bulgarian, Vietnamese, Portuguese, Bengali, Malay, Burmese, Lao, Lithuanian, Romanian (22 languages).

[Please click here for the translated versions of the Mizuno Code of Conduct for Suppliers.](#)

Future issues to be addressed

With the globalization of business, the supply chain is also being globalized. Since procurement from new suppliers is expected to increase further in the future, we will continuously make sure to conduct a CSR evaluation of new suppliers before the commencement of business.



Materiality

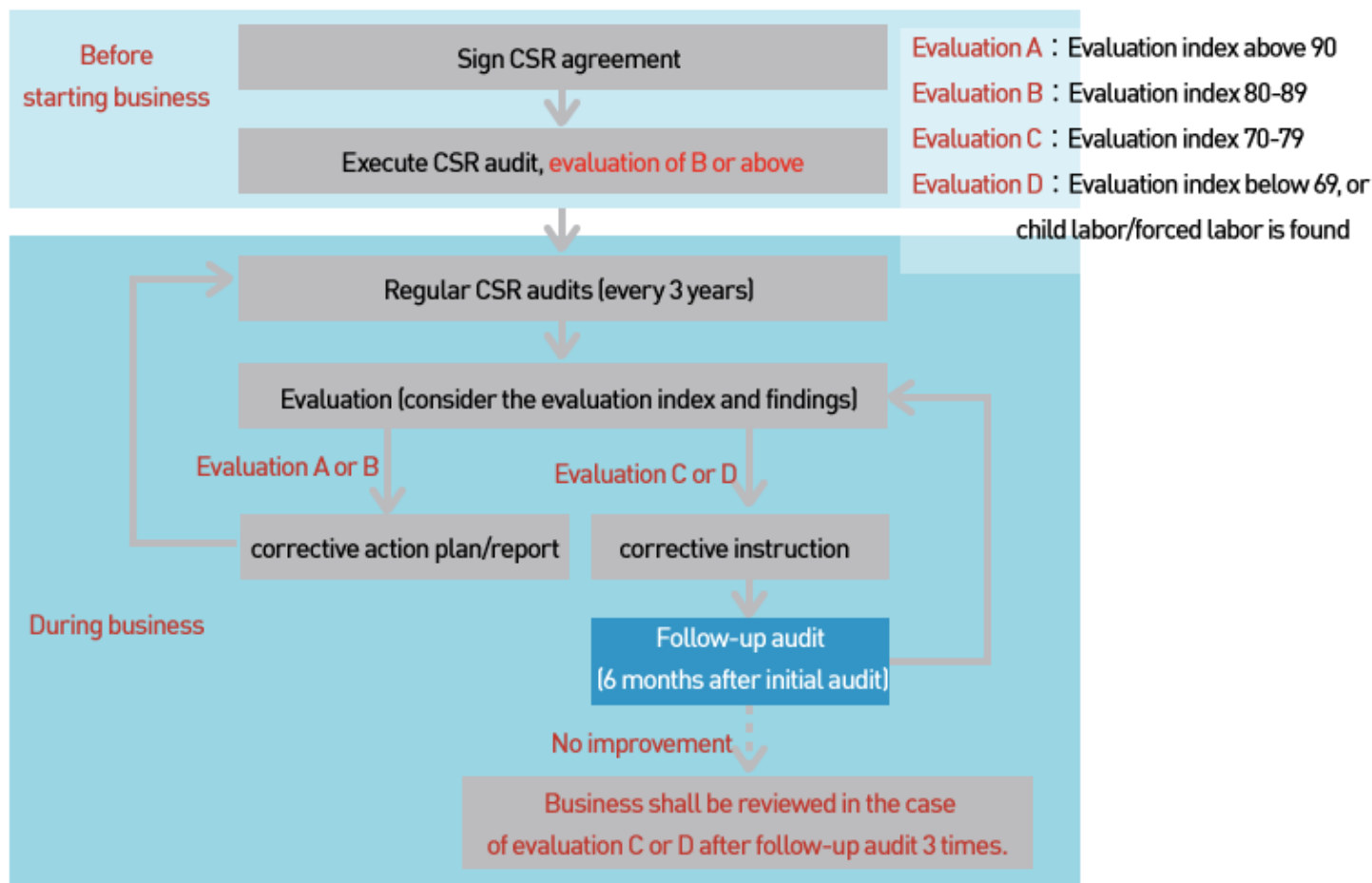
Understanding of the CSR status of suppliers and improvement efforts

Implementation of CSR audits of Tier 1 suppliers and improvement efforts

For CSR audits of suppliers doing business with us, we conduct regular monitoring (CSR audits on a three-year cycle) of compliance with the Mizuno Code of Conduct for Suppliers based on the Mizuno CSR Procurement Regulations, targeting more than 180 factories that serve as our major suppliers. In FY 2020, 22 factories were audited (Tier 1 factory: 21; Tier 2 factory: 1).

Since a CSR audit consists of on-site audits, document audits, and employee interviews, it is usually conducted by multiple auditors over one to several days. To check the compliance status of suppliers, a globally common monitoring sheet based on ISO 26000 is used. The audit items on the monitoring sheet are classified into three categories – “critical,” “major,” and “general” – depending on the degree of importance and urgency. If the item requirements are met, the points set for each category are aggregated and quantified for evaluation.

System for CSR audits and corrective actions



■ Flow of a CSR audit

1. Opening meeting	Auditors explain the purpose of the audit and the audit schedule to factory managers, the staff in charge of human resources and general affairs, labor union leaders, and others concerned, using the Mizuno Group CSR Procurement Guidelines.
2. Factory audit	Auditors inspect the factory and ask the responsible staff about unclear points as needed. In addition to the production site, they visit the cafeteria and a dormitory to check whether the safety, health, and living environment of workers are protected. *All buildings are targeted.
3. Document audit	Auditors examine documents to check whether or not child labor exists, whether working hours, wages, and social insurance are appropriate, whether there are documents proving building code and fire safety compliance, and whether the required environmental monitoring is conducted.
4. Employee interviews	Auditors ask employees about working hours, holidays, wages, health checkups, and other labor-related matters and cross-check their answers

	against statements made by management and the content of documents. They also check whether or not sexual harassment, discrimination, and abuse exist.
5. Closing meeting	Auditors summarize the results of the on-site audit and document examination to report the audit results to the factory manager, and they discuss future improvement plans. Detailed evaluation results are later informed by Mizuno.

Implementation status of CSR audits in FY 2020 (initial audit)

	Country No. of suppliers ^{*1}	No. of important suppliers	No. of audits conducted in FY 2018 (reference)	No. of audits conducted in FY 2019	No. of audits conducted in FY 2020 ^{*2}
Japan	120	51	4	2	1
China	214	59	17	12	13
South Korea	10	0	0	0	0
Taiwan	33	6	0	0	0
Indonesia	19	8	2	3	1
Vietnam	57	26	3	8	6
Thailand	11	7	1	2	1
The Philippines	4	3	0	2	0
Myanmar	10	7	3	2	0
Cambodia	8	4	0	0	1
Others	28	6	3	0	0
Total	514	177	33	31	9^{*3}

*1: As of April 2020. The conditions for CSR auditing have been changed since FY 2016.

*2: A CSR audit of main factories is conducted on a three-year cycle. For some excellent factories, however, an audit is conducted every five years.

*3: Including a CSR audit of new candidate supplier factories before the commencement of business

One of the conditions for CSR auditing

We conduct a CSR audit in countries that are considered to have high human rights risks based on the Worldwide Governance Indicators released by the World Bank as well as our own perspectives. Target countries are reviewed annually with reference to the latest Worldwide Governance Indicators.

A CSR audit is not conducted in countries that are ranked higher overall in terms of “Voice and Accountability,” “Political Stability and Absence of Violence,” “Government Effectiveness,” “Regulatory Quality,” “Rule of Law,” and “Control of Corruption.” Basically, we do not conduct a CSR audit in Japan. However, for factories that employ foreign technical intern trainees, who are potential victims of human rights violations, we conduct a CSR audit even if they are located in Japan.

[Please click here for details of the Worldwide Governance Indicators.](#) 

Survey of audited factories that employ foreign technical intern trainees

Our OEM factories in Japan total 120, 44 of which employ a total of 457 foreign workers. Of these factories, 25 factories have become subject to a CSR audit based on our criteria, where a total of 213 foreign workers are employed. In FY 2020, we planned to audit eight of these factories. However, due to the impact of COVID-19, only one factory was audited.

The factory which underwent a CSR audit in FY 2020 employed 19 Chinese technical intern trainees. We conducted interviews with two of its representatives in the audit and confirmed that there were no problems.

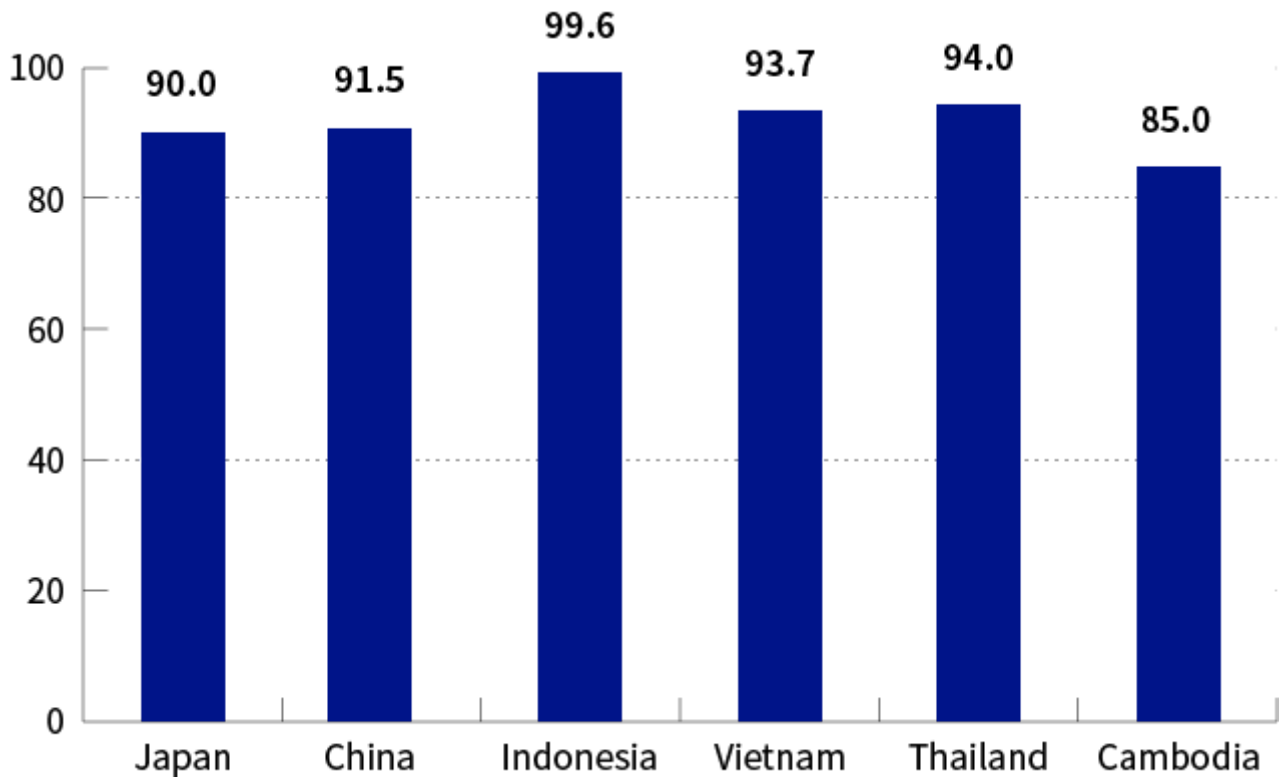
Major monitoring items

We mainly conduct an audit for the following items. The audit items are classified into three categories – “critical,” “major,” and “general” – and weighting points are assigned to each category. Since the applicable audit items may differ depending on the equipment of the factory to be audited, the total points of the applicable audit items are shown as a percentage.

Audit Items and Average Score (FY 2020)

Audit item		Average score (overall)
Human Rights	Freedom of association	94%
	Discrimination / Harassment / Gender	100%
	Child and underage workers	98%
	Slave labor / Forced labor / Migrant labor	100%
Labor Practices	Employment contract / Employment conditions	95%
	Working hours	75%
	Compensation	86%
Safety and Health	Drinking water / Wash basins / Toilets	92%
	Chemical substances	86%
	Management system	85%
	First aid	82%
	Fire safety	87%
	Kitchen	91%
	Electricity / Machinery / Equipment	100%
	Dormitory	97%
	Work environment	95%
Environment	Pollution prevention	98%
	Chemical substances (only for Tier 2 factories)	96%
	Management system	100%
	Use of resources / Climate change mitigation	89%
Others	Willingness to cooperate with the audit	100%
Average		92%

Average score by country



Non-conformities with the requirements related to human rights

The table below shows the details of non-conformities pointed out in the audits in FY 2020 concerning the following five items related to human rights – child and underage workers, forced labor, freedom of association, discrimination, and disciplinary practices – and the corrective action status for them.

Classification	Details	Corrective action status
Human rights: Child and underage workers	Are all underage workers working in the factory registered with local labor authorities?	1 non-conformity, correction completed
Human rights: Child and underage workers	Are underage workers placed on night shifts or in dangerous work environments?	1 non-conformity, correction completed
Human rights: Freedom of association	Is there an effective functioning system in which the factory management and worker representatives hold discussions to resolve worker complaints?	1 non-conformity, correction incomplete
Human rights: Freedom of association	Do workers elect their own representatives or spokespersons?	1 non-conformity, correction incomplete

Evaluation rank of the audit results

We evaluate the CSR audit results in four stages based on the evaluation index. We consider an evaluation index of 90 or higher as A, an evaluation index of 80-89 as B, an evaluation index of 70-79 as C, and an evaluation index of 69 or less, or a case where child labor or forced labor is found, as D.

The evaluation ranks of the factories subject to an audit in FY 2020 are as follows.

Evaluation rank	No. of factories
A	16
B	4
C	1
D	0
Total	21

Corrective action status of suppliers where violations were confirmed

Items with many non-conformities

In the audits in FY 2020, the following items had many non-conformities: “Safety and Health: Machinery / Equipment,” “Working hours,” “Compensation,” “Safety and Health: Fire safety,” “Safety and Health: Chemical substances,” and “Safety and Health: First aid.” Specifically, non-conformities were found related to the following: protective devices for dangerous parts of machines, long working hours such as overtime and holiday work, provision of social insurance, storage and management methods of hazardous substances, and maintenance and management of firefighting equipment.

Total

Ranking	Classification	Requirements	Percentage of non-conformities
1	Labor Practices: Working hours	Do working hours and overtime hours meet legal requirements?	62%
2	Labor Practices: Compensation	Are all workers offered social insurance that meets local legal requirements?	43%
3	Labor Practices: Working hours	Is it possible for workers to take one day off every seven days?	38%
4	Safety and Health: Chemical substances	Are the chemical substances properly labeled?	33%
4	Safety and Health: Electricity / Machinery / Equipment	Are appropriate protective devices installed for moving and rotating parts, pulleys, belts, and other dangerous parts of the machine?	33%
6	Safety and Health: Electricity / Machinery / Equipment	Are the wires properly covered and insulated?	29%
6	Safety and Health / Fire safety	Are all site buildings structurally safe, inspected, and given a building certificate / permit or the like by the local government?	29%
6	Safety and Health: Work environment	Is personal protective equipment (PPE) provided to workers?	29%
6	Safety and Health / Fire safety	Does the factory have a valid firefighting inspection certificate / permit issued by a local fire department, if required by local law or regulation?	29%
6	Safety and Health: Chemical substances	Are dangerous and hazardous substances safely and strictly stored? Is the fire extinguishing system of chemical storage appropriate? Is the fire extinguishing system of hazardous waste storage appropriate?	29%

Corrective action status for non-conformities

Total	102	100%
Corrected	45	44%
Non-corrected	57	56%

* Corrective action status as of March 31, 2021 for non-conformities identified in the CSR audits in FY 2020

Responses for Tier 2 and Tier 3 suppliers

We are advancing efforts to understand the status of human rights, labor, and environmental impacts at Tier 1 suppliers that have a direct relationship with us and to take corrective action as needed as our top priority initiatives.

For Tier 2 and Tier 3 suppliers that do not have direct transactions with us but deliver parts and materials to our subcontracted factories, we are also proceeding with efforts, focusing on areas with high risk of significant human rights and labor issues and environmental impacts. Since FY 2017, we have begun to grasp the current status of Tier 2 and Tier 3 suppliers that perform plating of iron heads for golf clubs, dyeing of textile materials, and leather tanning for baseball gloves and shoes, which are considered to be high risk.

- FY 2017: We visited a metal processing factory in Japan and fabric dyeing processing factories in Thailand to understand the actual situation of Tier 2 and Tier 3 suppliers.
- FY 2018: We conducted a CSR audit of a plating factory in China, a leather tanning factory, a shoe upper material factory, and a shoe rubber sole material factory in Vietnam.
- FY 2019: We conducted a CSR audit of a golf parts factory, an upper material factory, an upper material processing factory, and a sole material factory. (The audit results of three factories – the golf parts factory, the sole material factory, and the upper material processing factory – fell below the standards.)
- FY 2020: We conducted a follow-up audit of two factories out of the four factories that had been below the standards in FY 2018 and FY 2019. (No audits were conducted for the remaining two factories because we closed transactions with them.) The two factories that underwent a follow-up audit were evaluated as A rank due to the implementation of corrective actions. In FY 2020, we also planned to conduct an initial audit of four factories (a golf club parts factory and three shoe material factories). However, since we closed transactions with the three shoe material factories, only the golf club parts factory was audited.

Responses other than CSR audits

Currently, in Southeast Asia, where many of our subcontracted factories are located, environmental problems and labor-management disputes are more likely to occur than ever before due to the rapid economic growth of the region. Under such circumstances of social changes, it is difficult to resolve fundamental human rights, labor, and environmental issues simply by correcting non-conformities identified in CSR audits. Accordingly, we need to focus on capacity building (capacity improvement) of factories as activities other than CSR auditing in the future. In FY 2020, we were unable to implement capacity-building activities due to the impact of COVID-19.

Participation in the Japan Platform for Migrant Workers towards Responsible and Inclusive Society

It is reported that there are approximately 1.66 million foreign workers in Japan (of which approximately 380,000 are foreign technical intern trainees) and that approximately 240,000 establishments employ foreign workers*. Foreign workers have become important members of the Japanese economy and society.

Toward 2030, which is the target year for the SDGs, we have voluntarily participated in the Japan Platform for Migrant Workers towards Responsible and Inclusive Society to promote the improvement of the work and living environments of foreign workers together with companies and organizations that agree with and implement the Platform Principles of Conduct, which meet international standards. We hope that employers and organizations will accept foreign workers steadily and responsibly while complying with laws and regulations.

* As of the end of October 2019, according to a survey by the Ministry of Health, Labour and Welfare

Future issues to be addressed

- In regular monitoring through CSR procurement audits, it is important to correct issues pointed out in the audits. We will continue to work to promote corrective actions through dialogue with our suppliers.
- If one factory is entrusted to manufacture products for multiple brands, it is sometimes required to undergo an audit requested by each brand. In response to a request for the improvement of such situation, including the duplication of audits and different requirements in each audit, efforts to share information among industry groups and other initiatives are progressing. We will conduct research on efforts to improve such situation.
- Through CSR audits, we can grasp the situation at the time of an audit. However, we cannot constantly monitor the audited factory. In recent years, the establishment of a complaint-handling mechanism (grievance mechanism) has been considered effective as a means of supplementing CSR audits. We will work to build a grievance mechanism to ensure access to relief and to detect potential supply chain problems early.



Materiality

Efforts to prohibit and eliminate child labor and forced labor

Efforts to prohibit and eliminate child labor

According to the International Labor Organization (ILO) report on child labor (Global Estimates of Child Labor: Results and Trends, 2012–2016), there are 152 million child laborers worldwide. The breakdown by industrial sector is as follows: 70.9% in the agricultural sector, 11.9% in the industrial sector, and 17.2% in the service sector. By region, Africa has the highest percentage at 47.6%, followed by the Asia-Pacific region at 40.9%. Since the manufacture of sports products, such as apparel and shoes, is considered to be a labor-intensive industry, production is mainly conducted in the Asia-Pacific region, where workers' wages are relatively low. Accordingly, more monitoring of child labor is needed in the Asia-Pacific region, where many of our subcontracted factories are located.

Since we recognize that our business activities may become risk factors for child labor, we have clearly stated in the Mizuno Corporation Ethical Standards that we will not use child labor. In addition, the Mizuno Code of Conduct for Suppliers requires suppliers to respect the provisions of the Convention concerning Minimum Age for Admission to Employment (No. 138) and the Convention concerning the Prohibition and Immediate Action for the Elimination of the Worst Forms of Child Labour (No. 182) out of the eight Conventions that specify the ILO core labour standards.

If we discover child labor during a CSR audit, we will immediately consider countermeasures and take appropriate action. Meanwhile, since it is thought that the background of child labor is closely related to social circumstances, such as poverty, we will investigate the root cause of child labor and consider solutions together with our factories.

* In the audits conducted in FY 2020, there were no cases of child labor.

Responses to modern slavery (or forced labor)

According to the ILO report on modern slavery (Global Estimates of Modern Slavery: Forced Labor and Forced Marriage 2017), there were 40 million modern slaves and 25 million forced laborers worldwide in 2016. By region, the Asia-Pacific region had the highest number of such people, with 4 persons per 1,000 people. Accordingly, we need to monitor modern slavery and forced labor as well as child labor in the Asia-Pacific region.

In Japan, many factories in labor-intensive industries, such as apparel sewing, employ foreign workers through the foreign technical intern training program. We procure products from such subcontracted factories located in Japan.

Based on the Worldwide Governance Indicators, we select countries where we conduct a CSR audit, and basically we do not conduct a CSR audit of factories located in Japan. However, NGOs and other organizations have expressed concern that Japan's foreign technical intern training program and Japan's way of treating migrant workers overseas have problems in terms of human rights and working conditions. Accordingly, for factories that employ foreign workers, our CSR procurement staff directly conduct a CSR audit as an exception.

In past audits of companies, there were no cases of violations related to the keeping of workers' passports and other personal documents or to the payment of wages. Meanwhile, there were cases of serious violations related to the location of the dormitory and the emergency evacuation route. We worked together with the relevant factories to correct these violations and have already completed all corrections.

[Please click here for the actual conditions of audited factories that employ foreign technical intern trainees.](#)

Initiatives on conflict minerals

What are conflict minerals?

Conflict minerals are mineral resources mined in conflict areas mainly in African countries. Residents living near the relevant minerals are forced to engage in mining operations through the use of violence, and this is considered a human rights issue. In addition, it is seen problematic that the revenue from the mining and trading of these minerals is a source of funding for armed groups.

Under the Dodd-Frank U.S. Financial Regulatory Reform Act, in particular, the following four substances are defined as regulated mineral resources: tin, tantalum, tungsten, and gold (3TG). Listed companies in the U.S. are required to report to the U.S. Securities and Exchange Commission (SEC) on whether they manufacture or outsource products using these minerals and to disclose such information on their website.

Initiatives on conflict minerals

Unlike a U.S. listed company, we are not obliged to report and disclose information on the use of conflict minerals. In 2018, however, we investigated the use of substances defined as conflict minerals and identified the products using them. Specifically, it was found that tungsten was used for the heads of golf clubs, weights for weight balance of soft tennis rackets, and the tips of baseball carbide spikes. We have confirmed that the parts using the relevant minerals are “conflict-mineral free,” that is, do not contain minerals procured from conflict areas.

Future issues to be addressed

- The Asia-Pacific region, where our products are manufactured, needs to be monitored for child labor and forced labor. We will continue to monitor factories and promote corrections for the issues pointed out to ensure CSR procurement in the future.
- The California Transparency in Supply Chains Act (enforced from 2012), the UK Modern Slavery Act (enforced from 2015), and the Australian Modern Slavery Act (enforced from 2019) require companies to disclose their efforts to eliminate human trafficking and slave labor. We will proactively disclose information in response to legislation that respects human rights.
- Amid growing international criticism over issues such as forced labor, discrimination, and harassment against foreign workers in Japan, we will work together with companies and organizations inside and outside the industry to accept foreign workers steadily and responsibly and improve their work and living environments while complying with laws and regulations.

Management approach for priority issues

Why are priority issues important? (reason for importance)

The earth's environment faces various issues, including global warming and pollution due to waste. The world economy could become adversely affected due to climate change and suspension of manufacturing facilities caused by an increase in natural disasters. Mizuno recognizes the importance of reducing environmental burden, such as greenhouse gas, in conducting its business. It also recognizes the importance in developing and offering environmentally friendly products and services so as to help the world lead worry-free lives and pass on to future generations an environment where everyone can actively enjoy sports.

Management policy

Mizuno Environmental Policy

To create a sustainable community and environment for the future, where all of us around the world can play sports safely and vigorously, the Mizuno Group will actively help preserve the global environment through all of its business activities and actions of each and every one of its employees.

1. Prevention of environmental pollution

We will reduce the impacts of chemicals on people, the environment and the ecosystem.

We will endeavor to reduce and recycle waste.

2. Sustainable use of resources

We will endeavor to make effective use of limited resources.

3. Mitigation of climate change

We will endeavor to reduce greenhouse gas emissions.

4. Coexistence with society

We will endeavor to develop and offer products and services that take the environment into consideration.

We will broaden communications with local communities.

We will endeavor to preserve biodiversity.

To ensure realization of the above policies, we will set specific environmental objectives and targets so that systematic efforts can be made to achieve the targets.

1 July, 2021

Akito Mizuno

President

Mizuno Corporation

Management system

To promote environmental protection activities as a Group, Mizuno has established an environment management system, led by its operating officer.

[For more information on Mizuno's management system, please refer to Mizuno's Environmental Management System.](#)

Mizuno's Long-term Environmental Target

To accelerate its efforts aimed at reducing climate change, in August 2020, Mizuno reexamined its long-term environmental target and made the following decisions, which it publicized in May 2021: Achieve carbon neutrality by 2050, and to achieve this goal, pursue a newly set goal titled "Scope 3," in addition to the existing goals "Scopes 1 and 2," which are to be achieved by 2030.

- 2050
 - Aiming to achieve carbon neutrality
- 2030 (CO₂ emissions; compared to 2018)
 - Scopes 1 & 2: Reduce CO₂ emissions by 30%
 - Scope 3: Reduce CO₂ emissions by 50% (per product)

Performance highlights

■ Mizuno Global CO₂emissions (compared to the previous year)

FY 2019	Reduced CO ₂ emissions by 3.9%
FY 2020	Reduced CO ₂ emissions by 9.2%

■ Industrial-waste recycling rates of Mizuno's manufacturing bases [*c]

FY 2019	99.3%
FY 2020	98.6%

■ Sales rates of Mizuno Green Grade certified products (environmentally friendly products)

FY 2019	89.6%
FY 2020	93.4%



Environmental Management System

System for promoting environmental protection activities

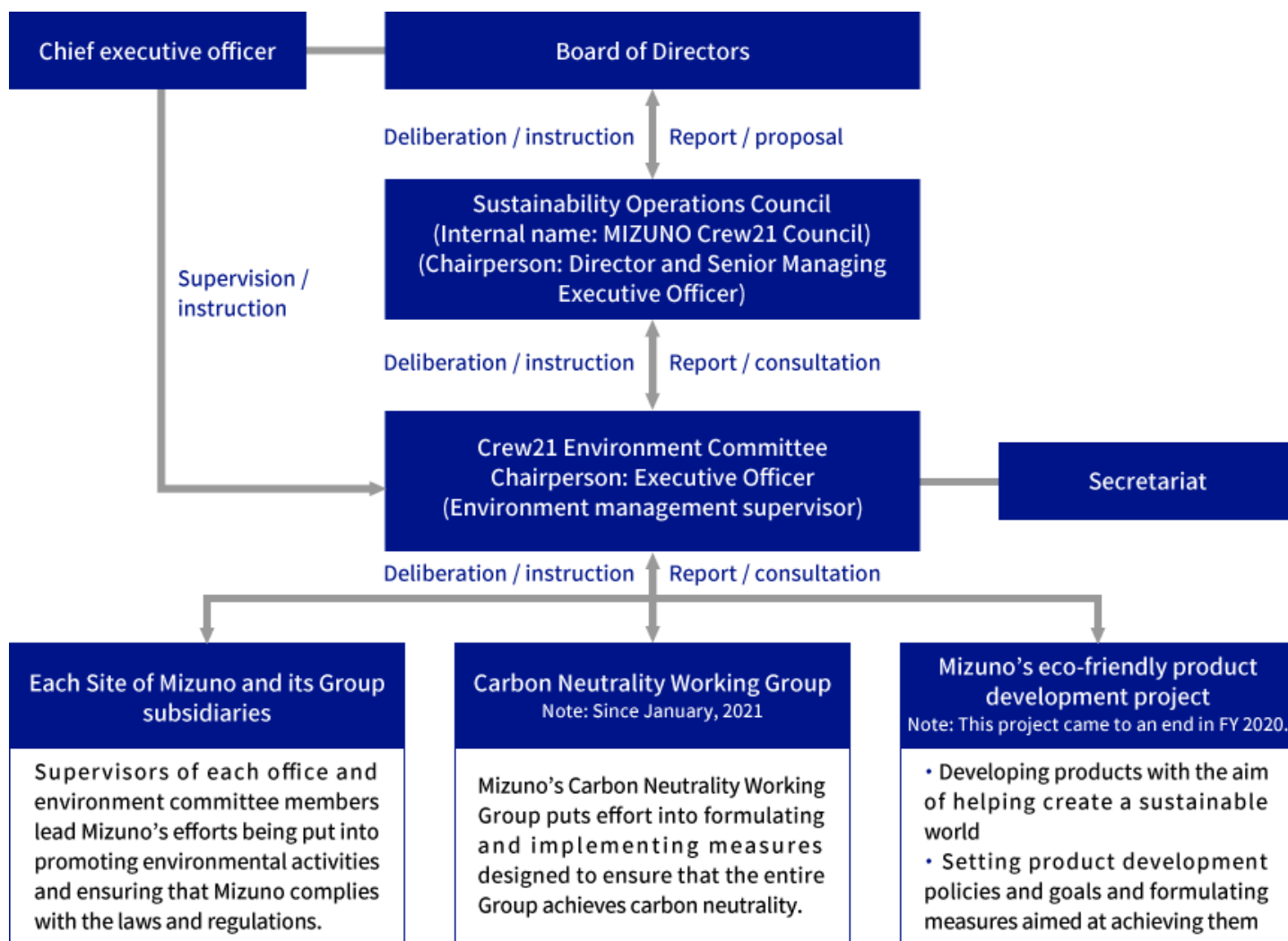
To promote environmental protection activities as a Group, Mizuno has established an environment management system, led by its operating officer.

To promote environment management activities, Mizuno has a Crew21 Environment Committee, which comprises supervisors of relevant departments, led by Mizuno's Executive Officer, who also serves as the environment management supervisor, and the committee discusses such matters as the following: 1) formulating an environmental policy and revising it, 2) setting short-term, medium-term, and long-term environmental goals, and 3) instituting measures for achieving environmental goals. To conduct environmental protection activities, the Crew21 Environment Committee meets regularly and communicates with the entire staff working at Mizuno.

In addition, the eco-friendly product development project came to an end in FY 2020, and in January 2021, Mizuno established a Carbon Neutrality Working Group.

[For information on the roles served by each organization, please refer to Management and Sustainability.](#)

Environment Operations Structure



The History of Mizuno's global environment protection activities <Crew21>

Mizuno recognizes that all business activities have the potential of adversely affecting the environment. Accordingly, to help protect the global environment, in September 1991, Mizuno established a global environment protection activity project titled "Crew21," and ever since then, it has been putting effort into conducting environmental protection activities. In celebration of the 30th anniversary since initiating the Crew21 project, in April 2021, Mizuno created the logo "MIZUNO CREW21," which symbolizes all of Mizuno's sustainability activities, including not only its environmental protection activities but also social and economic activities. Mizuno will continue putting effort into helping create a sustainable world as a crew member of the Spaceship Earth.

[The history of Crew21 \(timeline\).](#)

ISO 14001 certification

The Mizuno Yoro Factory (now Mizuno Technics Corporation), which is Mizuno's main factory in Japan, obtained ISO 14001 certification in 1997 before other companies in the sports industry, following which other offices in Japan also obtained certification. Subsequently, Shanghai Mizuno, which is Mizuno's largest manufacturing base overseas, obtained certification in 2004, followed by Taiwan Mizuno in 2008. In addition, Senoh Corporation and Senohtech Corporation, which are part of the Mizuno Group, obtained certification in 2015.

List of offices that have obtained ISO 14001 certification

Year of acquisition	Offices that have obtained certification and the scope of application* (as of March 2020)
1997	Mizuno Technics Corporation Yoro Factory of Mizuno's Head Office, Haga Factory, Yamazaki RunBird Factory, and Hikami Factory
2002	Mizuno Corporation Osaka Head Office, Tokyo Head Office, Chubu Branch, Kyushu Branch, Yodoyabashi Store, and MIZUNO TOKYO
2004	Shanghai Mizuno Corporation Ltd.
2008	Taiwan Mizuno Corporation
2015	Senoh Corporation Matsudo Head Office and Fukuoka Branch Senohtech Corporation
2020	Osaka Chayamachi Store

Note: The scope of application of ISO 14001 primarily covers offices with a greater risk of causing environmental harm.

Certification has so far been obtained by 91% of offices in Japan and 41% of offices overseas. (Based on employees as of the end of March 2021)

Environmental audit

The Mizuno Group conducts an internal audit and has the ISO 14001 certification body examine itself annually. According to the examination conducted by the certification body in FY 2020, Mizuno had no major issues. In addition, Mizuno has already completed resolving all minor issues.

	Issues pointed out by Mizuno's internal audit (No. of issues)	Issues pointed out by the certification body's examination (No. of issues)
Major issues	0	0
Minor issues	26	1
Opportunities to resolve issues	2	5

By “Opportunities to resolve issues,” Mizuno means the number of times it received advice on how it could resolve its issues, and every time it had such opportunities, Mizuno carefully examined the advice it received and applied it to resolving issues as necessary.

Complying with environmental laws and regulations

To comply with environmental laws and regulations, Mizuno maximizes its environment management system and identifies environmental risks that could be underlying its business. Whenever a risk is identified, to prevent accidents and minimize danger, Mizuno regularly performs maintenance and inspection of equipment and facilities and also conducts emergency response drills.

In FY 2020, Mizuno was not found as violating any environmental laws and regulations, did not experience any major accidents, and was not charged any penalties.

Preventive approaches and precautionary principles

Mizuno puts effort into reducing environmental burden by taking measures to prevent itself from harming the environment throughout all stages of product development, from designing/developing to manufacturing.

In FY 2018, Mizuno performed a life-cycle assessment on one of its business fields, which is its major running shoes models named Wave RIDER 21, and through the assessment, it identified the following: 1) processes comprising the product's life cycle that have a great impact on the environment and 2) environmental aspects that the product adversely affects. In FY 2020, Mizuno classified its other products into a number of categories, and based on those categories, it performed life-cycle assessments on its major products, calculated the amount of CO₂ emissions that manufacturing such products generated, and applied such findings to its future environmental protection measures.

Environmental education

The Mizuno Group provides its entire staff with environmental education to help each and every one of them improve their environmental attitude. The Mizuno Group's environmental education being provided at each of its departments deals with a large number of topics every year and aims to help employees familiarize themselves with Mizuno's philosophy and goals relating to its environmental protection activities.

In addition, the site of each department provides waste managers and organic solvent users with information on specialized education helpful in improving the skills and knowledge needed at work.



Reducing the environmental burden that products could impose

Mizuno puts effort into reducing the environmental burden that its products and services could impose by paying attention to their life cycles. In 2010, Mizuno developed its own Mizuno Green Grade standards for certifying products as being environmentally friendly, and based on them, it put effort into making all of its products environmentally friendly by the end of 2020.

Mizuno decided to develop and introduce a Mizuno Green Grade standard because it wanted to not only develop environmentally friendly products but also create an atmosphere of environmental friendliness among all members involved in the development of its products, including stakeholders.

Mizuno manufactures not only sports equipment, shoes and sportswear but also all kinds of sports accessories. In addition, those who are involved in the development of Mizuno's products comprise not only Mizuno's employees but also many other stakeholders, including material manufacturers and other suppliers. The Mizuno Group has been putting effort into reducing the environmental burden that could be imposed by not only its products manufactured in large amounts but also all other products by going environmentally friendly. In addition, with the aim of stimulating innovation relating to its products, the Mizuno Group developed a system for evaluating the efforts being made by its stakeholders involved in the development of its products.

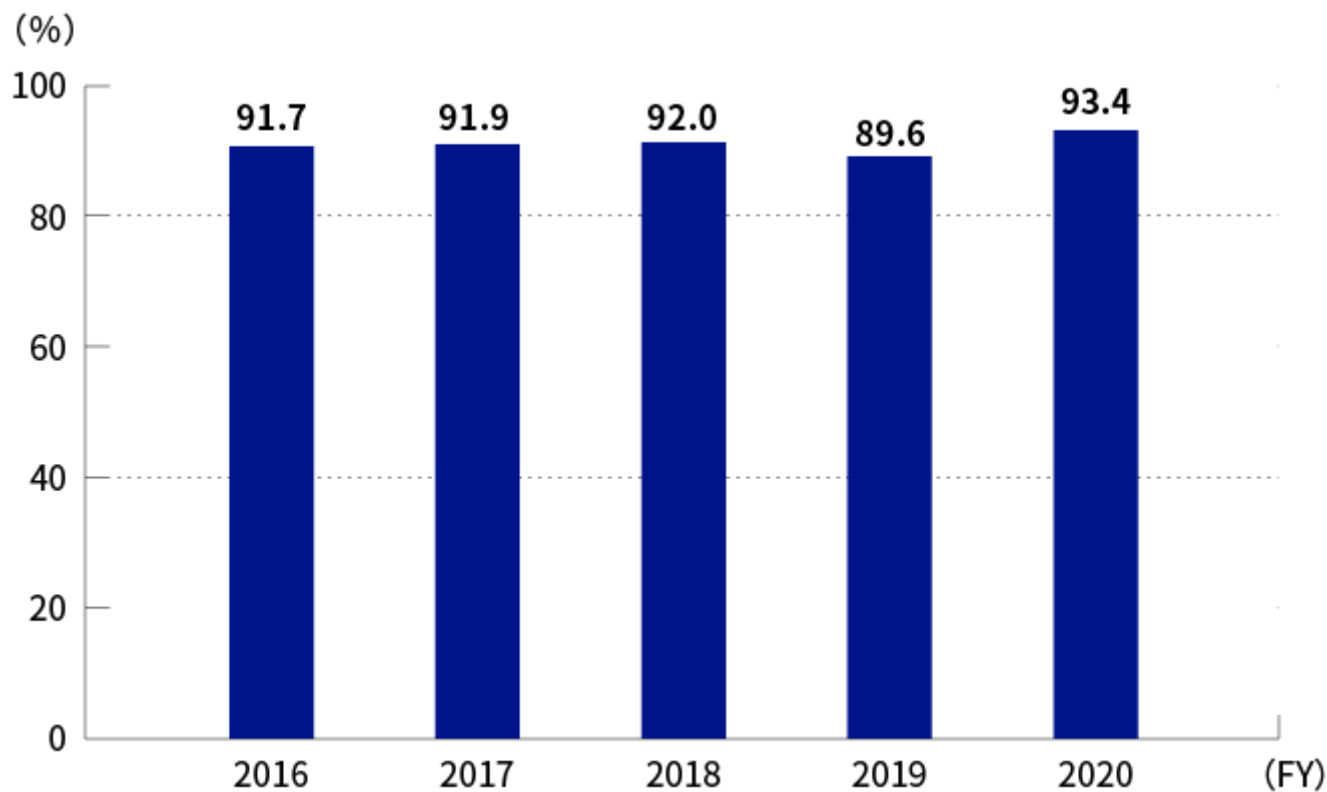
From here on, Mizuno will put effort into helping create a sustainable world and achieve the UN's SDGs, and it will do so with the aim of not only protecting the environment but also improving the world and the economy by producing sustainable products and services.

Mizuno Green Grade sales rates

The percentage of sales from environmentally friendly products in FY 2020 totaled 93.4% of all sales from all products.

Mizuno will continue putting effort into developing and selling environmentally friendly products able to help create a sustainable world.

Sales rates of Mizuno Green Grade certified products



Developing artificial turf fillers by recycling used tea leaves

Mizuno collaborated with Ito En Ltd. (hereinafter, Ito En) in developing an artificial turf filler named “Field Chip G (Greentea),” and it did so by using Ito En’s used tea leaf recycling system.^{*1}

Producing enough Field Chip G to cover an entire long pile artificial turf soccer field requires using used tea leaves worth 430,000 pet bottles of Ito En’s 525 ml sized Oi Ocha green tea. Used tea leaves contain carbon dioxide absorbed by their trees. Therefore, covering an entire soccer field with Field Chip G made from used tea leaves would enable reducing about 4.3 t-CO₂ of carbon dioxide in the atmosphere.^{*2}In addition, Field Chip G allows reducing the increase of surface temperature by about 7°C compared to that of black rubber chip fillers.



Field Chip G is currently used in the following places, helping protect the environment and making artificial turfs more comfortable: 1) the Play Ground of Mizuno’s after-school care facility “Asolete AFTER SCHOOL” (in Tokyo), 2) a part of the Tokiwabashi area currently under development (in Tokyo), and 3) Kashihara Athletic Park (in Nara Prefecture).

*1. Used tea leaf recycling system https://www.itoen.co.jp/ochagara_recycle/

*2. The carbon content was measured using Yanaco Technical Science Corporation’s Yanaco HCN Coder MT-700 HCN.

Comments from Ito En's staff member in charge of collaborating with Mizuno in this project (comments were provided in 2020)

Manufacturing a tea beverage like Oi Ocha produces about 63,200 t of used tea leaves in a year (as was produced between May 2019 and April 2020).

Ito En has always been effectively using used tea leaves by recycling them as compost. However, due to the increase in abandoned arable lands, the number of arable lands where used tea leaves could be used as compost has been decreasing. Therefore, with its eyes on 50 years or even a century from now, Ito En developed a used tea leaf recycling system that allows maximizing the functionality of used tea leaves by upcycling them as material for making tatami mats (by mixing them in the boards) and making paper products, such as envelopes.

In the earlier years, right after the used tea leaf recycling system was developed, sports equipment was not on the list of products that could be made from used tea leaves. Ito En told Mizuno that its used tea leaves, despite having the potential to be recycled into products with many possibilities, were not being used to make sports equipment that could help maintain our good health. Mizuno kindly responded with advice, and the two companies decided to jointly develop Field Chip Greentea.

The Field Chip Greentea project was a success thanks to the following factors: 1) Mizuno's corporate philosophy of "Contributing to society through the advancement of sporting goods and the promotion of sports"; 2) Ito En's philosophy behind its used tea leaf recycling system, which is to apply the functionality of tea to making everyday products; and 3) the passion that the staff of both companies had for making environmentally friendly products.

Unlike black rubber chip fillers, Field Chip Greentea does not smell like rubber and reduces the increase of surface temperature.

Ito En and Mizuno look forward to seeing their Field Chip Greentea come to be used across the nation serve as models for encouraging as many people as possible to enjoy sports comfortably, and by doing so, they also look forward to helping the world both protect the environment and maintain good health with the power of tea and sports.

Corporate uniforms

Mizuno currently helps workers in various industries, including the construction, manufacturing, and transportation industries, work comfortably by applying the functionality that it has acquired in the sports industry to offering corporate uniforms. Companies have recently come to recognize the importance of valuing their employees health from the perspective of company management and have begun paying more attention to the need for strategic health management. Accordingly, more companies now place importance on the safety and comfort of the uniforms that they ask their employees to wear. In addition, to help companies become more environmentally friendly, Mizuno uses environmentally friendly materials, such as recycled polyester and plant-derived polyester, and it also recycles used uniforms. Recycled uniforms are recycled as industrial materials, such as car interior material and polyester fiber.

Shoes using a plant-derived ingredient called Pebax® Rnew®

Mizuno has used a sustainable plant-derived ingredient called Pebax® Rnew® to develop shoes called WAVE PLATE, of which it has been developing multiple models at least over the past decade, and has so far sold more than ten million pairs of WAVE PLATE around the world.

WAVE PLATE allows reducing environmental burden and providing wearers with high functionality because manufacturing WAVE PLATE allows reducing more than 4,700 t-CO₂ of carbon dioxide emissions, compared to manufacturing shoes with petroleum-derived raw materials.



Research into the development of environmentally friendly raw material

Mizuno conducts research into the development of nonpetroleum-derived raw materials as a substitute for petroleum-derived raw materials. Mizuno currently puts effort into conducting research into the development of plant-derived raw materials, and it sees nanomaterials, such as cellulose nanofibers, as being promising candidates.

Future issues to be addressed

- Of the entire amount of CO₂ emissions that Mizuno's business activities currently generate, indirect emissions that fall into the category of Scope 3 account for about 97%. In addition, because about 80% of those indirect emissions have to do with purchased products and services, reducing Mizuno's CO₂ emissions depends on whether it can do so with its products. From here on, Mizuno will put effort into developing products with the aim of reducing CO₂ emissions.



Materiality

Reduction of energy consumption and GHG emissions

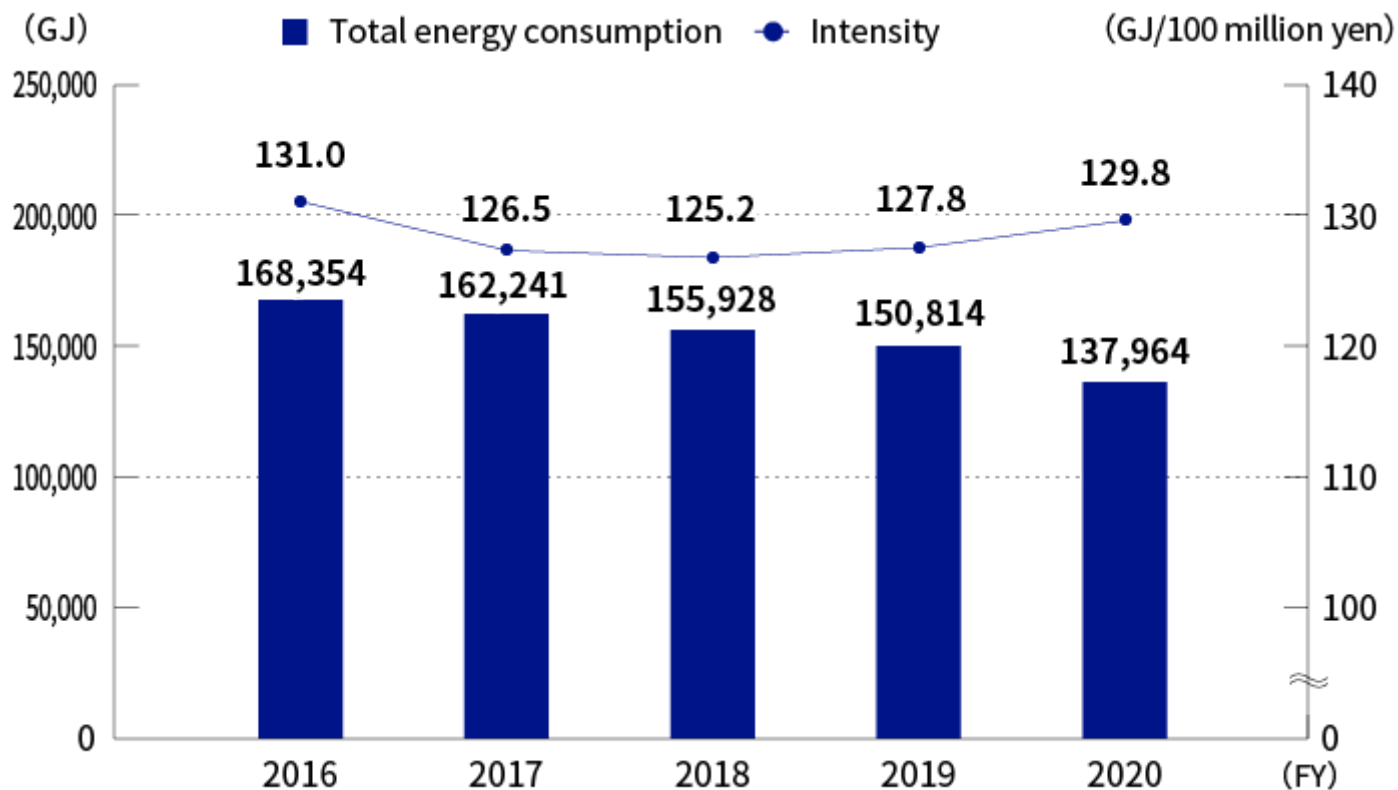
To help create a decarbonized world, the Mizuno Group will put effort into reducing energy consumption and energy-derived CO₂ emissions. In addition, since it believes that reducing CO₂ emissions effectively requires doing so in collaboration with its entire value chain, Mizuno will put effort into reducing CO₂ emissions generated when developing products.

Energy consumption

Mizuno currently makes various efforts with the aim of achieving its long-term environmental targets. One characteristic example is installing LED equipment at its offices in Japan and overseas. To reduce its energy consumption, Mizuno currently puts effort into strategically installing LED equipment at offices that have a higher risk of imposing environmental burden, such as its headquarters' buildings and factories. In addition, Mizuno currently puts effort into switching its company cars from gasoline cars to hybrid and other fuel efficient cars. Furthermore, electric cars have also been introduced and been proving to be safe and environment friendly. Mizuno's company cars are equipped with telematics, which allows visualizing how cars are being driven. This has proven to be useful in not only helping drivers pay more attention to driving safely but also improving fuel economy and reducing CO₂ emissions.

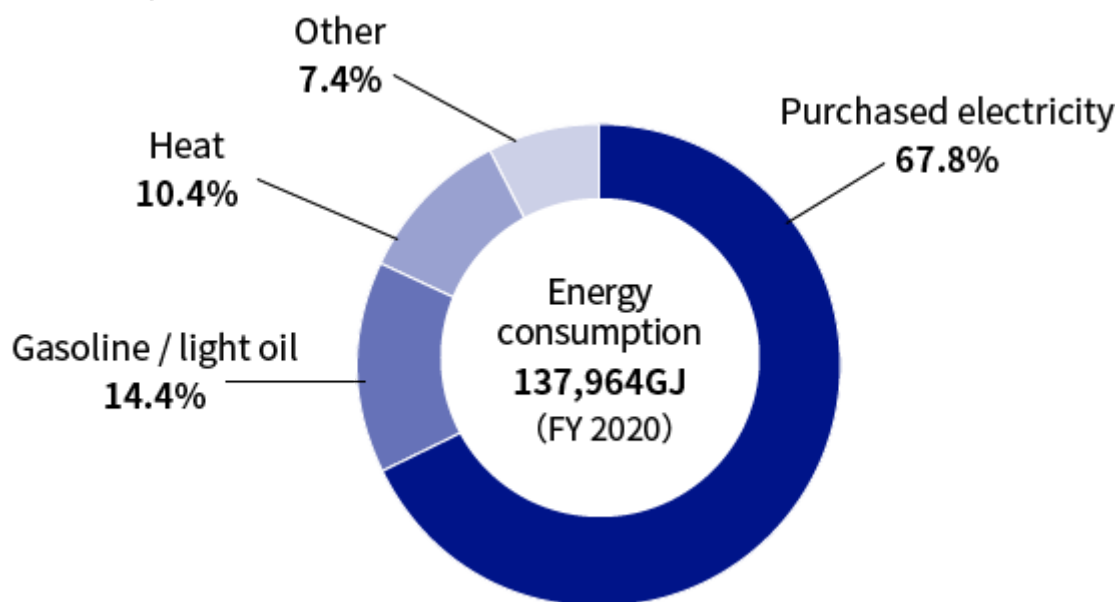
The total domestic energy consumption in FY 2020 was 137,964 GJ. Intensity* increased by two points compared to the previous fiscal year and reached 129.8.

Total energy consumption[*b]



*Intensity: Amount of domestic energy use (GJ)/Total domestic sales (100 million yen)

Breakdown of energy consumption [*b]



Energy consumption [*b]

		Unit	2016	2017	2018	2019	2020
Scope1	City gas	1,000m ³	38	41	31	30	26
	LP gas	t	94	92	78	83	85
	Heavy oil	kl	100	100	93	92	93
	Kerosene	kl	44	44	38	34	29
	Gasoline	kl	748	687	658	617	455
	Light oil	kl	163	154	156	151	111
Scope2	Electricity	1,000 kWh	11,041	10,675	10,361	10,009	9,378
	Heat	GJ	10,476	10,488	10,025	9,998	10,568

Energy-derived CO₂emissions

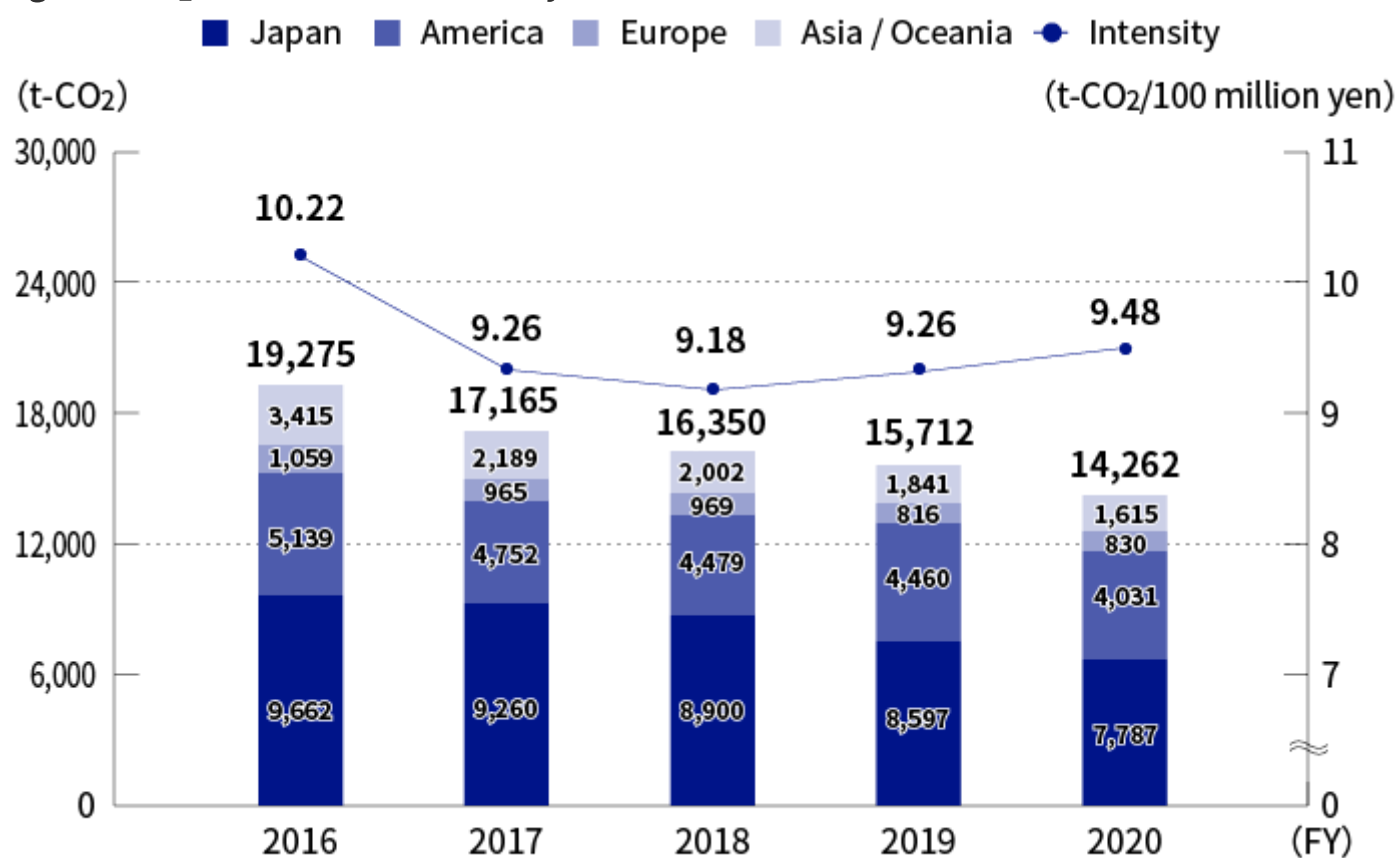
The Mizuno Group's goal of total energy-derived CO₂emissions for FY 2020 was 15,500 t-CO₂ (a 1.3% reduction compared to the previous year), and the actual total energy-derived CO₂emissions were 14,262 t-CO₂. The actual total energy-derived CO₂emissions achieved an 8% reduction against the Mizuno Group's goal and were 9.2% less than the previous year. In FY 2020, the Mizuno Group achieved a reduction in CO₂emissions due to the reduced use of electricity and gasoline, which was due to the novel coronavirus pandemic, which, in turn, caused business trips and exhibitions to be canceled and work to be carried out as telework. To continue reducing CO₂emissions, Mizuno will continue to adopt its current efficient workstyle and also try to secure renewable energy sources.

Energy-derived CO₂emissions [*a]

Unit	2016	2017	2018	2019	2020
t-CO ₂	19,275 ^{*1}	17,165	16,350	15,712	14,262
Intensity ^{*2}	10.22	9.26	9.18	9.26	9.48

*1. Distribution centers located in America came to be included in these calculations in 2016.

Regional CO₂ emissions and intensity^{*2}



*2 Intensity: CO₂ emissions (t-CO₂)/consolidated sales (100 million yen)

Energy-derived CO₂ emissions by country [*a]

(Unit: t-CO ₂)	2016	2017	2018	2019	2020
Japan	9,662	9,260	8,900	8,597	7,787
US	4,934	4,540	4,274	4,269	3,902
Canada	205	212	205	191	129
UK	555	527	538	505	447
France	238	212	155	101	103
Netherlands	-	-	-	-	126
Germany	182	145	151	130	101
Italy	84	80	80	80	53
China (factory)	2,536	1,426	1,337	1,216	1,049

(Unit: t-CO ₂)	2016	2017	2018	2019	2020
China	106	84	86	46	39
Taiwan	224	219	187	181	176
Hong Kong	180	64	78	64	54
South Korea	190	181	183	175	158
Singapore	34	35	32	33	26
Thailand	-	34	34	28	24
Australia	145	146	110	98	89
Total	19,275	17,166	16,350	15,714	14,262

Note: The total may not add up exactly because the digits after the decimal point for each country have been rounded.

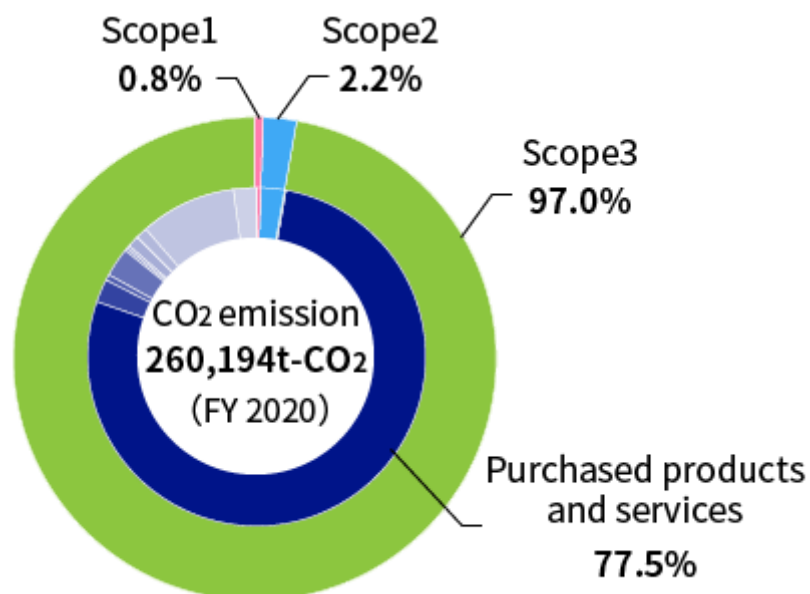
Other indirect greenhouse gas emissions

Mizuno recognizes that helping create a decarbonized world requires it not only to reduce CO₂ emissions it generates itself but also collaborate with its entire value chain in cutting CO₂ emissions. Therefore, its calculations include CO₂ emissions generated by its entire value chain based on the standards defined in Scope 3 of the GHG protocol.

The amount of CO₂ emissions that fall into the category of Scope 3 in FY 2020 totaled 97%. To reduce the amount of Scope 3 CO₂ emissions, Mizuno is currently making the following efforts: 1) collaborating with Sumitomo Warehouse, which manages Mizuno's main warehouses, in installing LED equipment at its warehouses; and 2) promoting a partial modal shift of transportation between its main warehouses located in West Japan and East Japan.

To reduce CO₂ emissions relating to category 1 "purchased products and services," which account for 80% of Mizuno's Scope 3 CO₂ emissions, in FY 2020, Mizuno classified its products into categories and performed life-cycle assessments of its main products. To enable itself to institute measures aimed at reducing CO₂ emissions relating to each of its product categories, Mizuno will begin calculating CO₂ emissions per product.

Other indirect greenhouse gas emissions generated in FY 2020 [*b]



Scope	Category	Category name	CO ₂ emissions (t-CO ₂)	Breakdown ratio
Scope1		Mizuno's direct emissions	1,980	0.8%
Scope2		Mizuno's indirect emissions	5,807	2.2%
Scope3		Others' indirect emissions	252,407	97.0%
Breakdown	Category 1	Purchased products and services	201,548	77.5%
	Category 2	Capital goods	5,840	2.2%
	Category 3	Fuel/Energy related	1,415	0.5%
	Category 4	Transportation; distribution (upstream)	7,292	2.8%
	Category 5	Waste produced during business	263	0.1%
	Category 6	Business trip	1,058	0.4%
	Category 7	Commuting	3,077	1.2%

Scope	Category	Category name	CO ₂ emissions (t-CO ₂)	Breakdown ratio
	Category 8	Leased asset (upstream)	2,624	1.0%
	Category 9	Transportation; distribution (downstream)	351	0.1%
	Category 12	Disposal of sold products	23,872	9.2%
	Category 15	Investment	5,067	1.9%
Total			260,194	

Note: Calculations of purchased electricity emissions are location based. Note: Emission intensity is calculated based on the emission intensity database Ver 3.1, which is used to calculate the greenhouse gas emissions of the organization throughout supply chains, and LCI database IDEA version 2.3.

* The calculation target is the domestic Mizuno Group.

* Scope 1: Greenhouse gas (GHG) emissions from a company's direct operations, such as the in-house use of fuel

* Scope 2: A company's indirect GHG emissions from purchased energy, including electricity, heat, and steam

* Scope 3: A company's indirect GHG emissions other than Scope 2 emissions, coming from product manufacturing and transportation and employees' business travel and commuting within the supply chain

Future issues to be addressed

- Mizuno will aim at instituting measures to reduce greenhouse gas relating to not only Scopes 1 and 2 but also Scope 3.
- Mizuno will promote measures designed to switch to renewable energy sources.

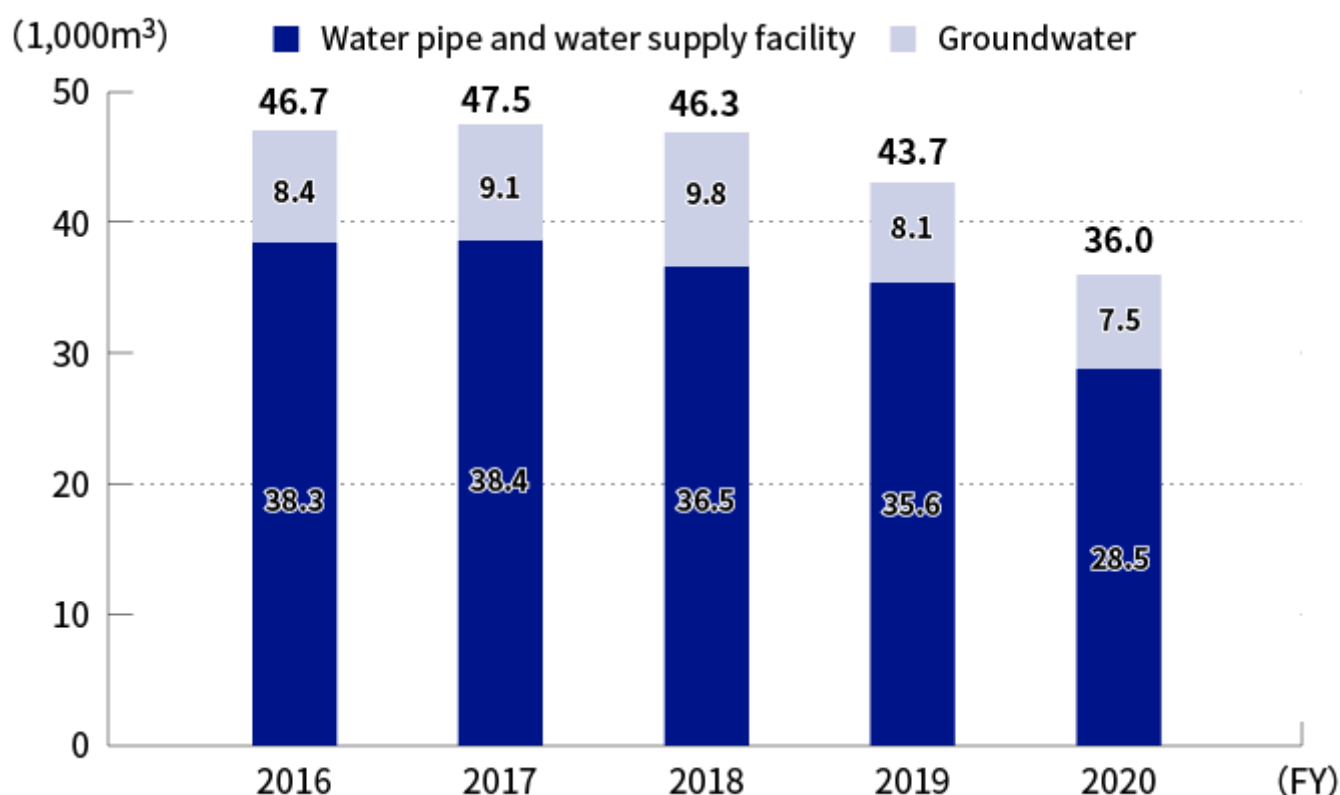
Efficient use of water

Water resources are not only essential to conducting business but also essential to everyday life and the production of food of the regional community and the maintenance of biodiversity. In the manufacturing of sports equipment, the production of raw materials and the manufacturing process of products have a great impact on water resources. Mizuno puts effort into reducing the amount of water use, including the developing of manufacturing technologies that will allow the reduction of water use.

To play its part in the circulation of water resources responsibly, Mizuno will pay even greater attention to the effluent its manufacturing bases discharge into the sewage and general rivers and also ensure that it complies with laws relating to septic tanks and water quality management.

Water intake by water source [*b]

	Unit	2016	2017	2018	2019	2020
Water pipe and water supply facility	1,000 m ³	38.3	38.4	36.5	35.6	28.5
Groundwater	1,000 m ³	8.4	9.1	9.8	8.1	7.5
Total water intake	1,000 m ³	46.7	47.5	46.3	43.7	36.0



Effluent [*b]

	Unit	2016	2017	2018	2019	2020
Total effluent	1,000 m ³	46.7	47.5	46.3	43.7	36.0

Water-resource measures taken in supply chains

Since supply chains are expanding globally, water pollution in manufacturing countries is an important issue that needs to be addressed. As part of its CSR procurement audit, Mizuno checks whether its suppliers are properly managing effluent and whether employees have safe access to water.

Future issues to be addressed

- Mizuno will take measures to find out how much water it is using as a Group globally and whether it is polluting water in any way.
- Mizuno will take measures to find out whether any water risks underlie its manufacturing countries and regions.

Materiality

Reduction of hazardous chemical substances

Mizuno puts effort into reducing its use of chemical substances that could be harmful to the human body and ecosystem, and it also puts effort into finding substitutes to replace such chemical substances. Mizuno's offices conduct risk assessments into chemical substances according to categories, based on their hazardousness and harmfulness, and put effort into finding substitutes with lower risks.

In FY 2020, there were no major cases of leakage of hazardous chemical substances from Mizuno's manufacturing factories. In addition to Mizuno's manufacturing bases, Mizuno's offices and stores also performed risk assessments of chemical substances used to repair products.

Note: Mizuno has a system for managing hazardous chemical substances to ensure that it offers safe and proper quality products. To find out more about the system, please visit Mizuno's Responsibility for Safe and High-quality Products website.

Reducing organic solvent (toluene) emissions

As a measure to reduce the adverse effect that toluene could have on the health of its employees, Mizuno puts effort into reducing toluene emissions by replacing currently used adhesives containing toluene at shoe manufacturing sites with water soluble adhesives.

Toluene emissions [*e]

	Unit	2016	2017	2018	2019	2020
Toluene emissions	kg	655	1,092	1,114	762	686

[*e] Calculations are based on data gathered from domestic manufacturing bases (excluding the Senoh Group)

Emissions of substances subject to the PRTR law [*e]

	Unit	2016	2017	2018	2019	2020
Emissions	kg	2,699	2,176	2,478	2,017	1,706

Emissions of main substances subject to the PRTR law

Emissions of main chemical substances	Unit	2016	2017	2018	2019	2020
Ethylbenzen	kg	40	61	69	30	100
Dichloromethane	kg	23	15	11	6	0
Phenol	kg	20	20	34	64	25
Toluene	kg	655	1,092	1,114	762	686
Styrene	kg	10	7	5	4	12
Xylene	kg	64	93	112	71	141
MIBK	kg	7	19	31	48	51
n Hexane	kg	190	238	219	199	136
Trimethylbenzene	kg	12	1	25	2	0
Methyl methacrylat	kg	467	463	415	563	374
2 Aminoethanol	kg	939	84	284	70	8
N, N, - Dimethylformamide	kg	64	53	42	49	28
Trichlorethylene	kg	25	28	50	74	39

[*e] Calculations are based on data gathered from domestic manufacturing bases (excluding the Senoh Group)

Storing PCB

The Law Concerning Special Measures against PCB Waste requires business operators who store PCB waste to annually report the condition under which PCB waste is being stored and to dispose of PCB waste by the end of March 2027. In FY 2020, Mizuno properly disposed of seven used fluorescent ballasts containing PCB and reported, to the relevant municipality, the conditions under which they had been stored and the fact that they were disposed of.

Future issues to be addressed

- Mizuno is determined to ensure that it uses materials that do not contain hazardous chemical substances and to do so from the designing stage of its manufacturing process.
- Mizuno aims to eventually switch to paint and adhesives that do not contain organic solvents. In cases where switching to such paint and adhesives immediately is impossible, Mizuno will switch to ones that contain solvents that are less hazardous.



Materiality

Reduction of waste

To help prevent environmental pollution and create a world that uses sustainable resources, Mizuno puts effort into reducing waste by taking into consideration its products' life cycles, from the designing and manufacturing stages to product use and disposal. In addition, Mizuno ensures that industrial waste generated at each of its offices is disposed of properly by checking manifests and regularly visiting offices. Mizuno's main offices operate based on digital manifests.

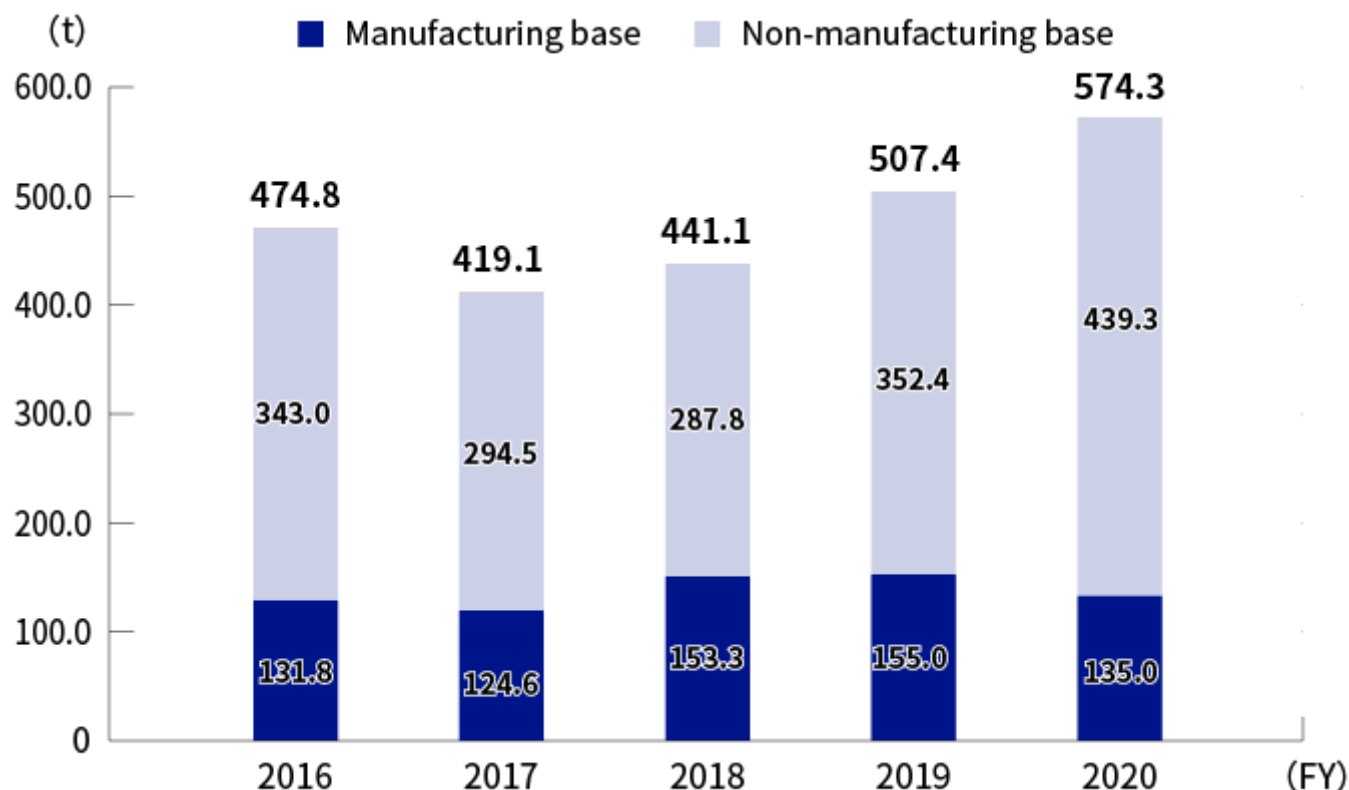
In addition, Mizuno's manufacturing bases have always been putting effort into reducing industrial waste. Mizuno's goal for FY 2020 was to reduce industrial waste to 145.5 tons, and the actual amount of industrial waste it generated was 135 tons. The actual amount of industrial waste Mizuno generated was 7.2% less than its goal and 12.9% less compared to the previous year.

Gross weight of industrial waste [*b]

	Unit	2016	2017	2018	2019	2020
Industrial waste	t	474.8	419.1	441.1	507.4	574.4
General waste	t	50.1	42.7	44.3	52.4	37.3
Total	t	524.9	461.8	485.4	559.8	611.7

Note: Waste generated by Mizuno did not contain any substances defined as hazardous in the Basel Convention.

Gross weight of industrial waste by base [*b]



Resource recycling efforts

In addition to reducing the total amount of waste, Mizuno's domestic manufacturing bases put effort into recycling resources in the following ways: 1) reusing resources and sorting them and 2) creating valuables from waste by sharing information with one another. Mizuno Technics recycles 95.8% of the industrial waste it generates. In FY 2020, Mizuno began recycling pieces of leather remaining after manufacturing gloves. The recycled leather pieces are then sold as valuables and also used at stores as DIY leather sheets.

Note: General waste is not included in Mizuno's zero emission goal.

Gross weight of waste by treatment method being adopted at Mizuno's domestic manufacturing bases (four factories) and waste sold as valuables [*e]

		Unit	2016	2017	2018	2019	2020
Industrial waste	Incinerated; landfilled	t	0.00	0.00	0.46	0.61	2.99
	Recycled	t	61.88	63.87	68.31	86.51	67.75
	Total industrial waste	t	61.88	63.87	68.77	87.12	70.74
General waste	Incinerated	t	40.64	43.84	40.32	8.45	6.17
	Landfilled	t	0.01	0.00	0.00	0.00	0.00
	Recycled	t	0.03	0.00	0.00	0.00	0.00
	Total general waste	t	40.68	43.84	40.32	8.45	6.17
Valuables	Reused	t	3.53	3.47	3.18	2.99	0.25
	Recycled	t	188.30	162.19	137.13	117.80	95.54
	Total valuables	t	191.83	165.66	140.31	120.79	95.79
Total amount of emissions		t	294.39	273.37	249.40	216.36	172.70

[*e] Calculations are based on data gathered from domestic manufacturing bases (excluding the Senoh Group)

Mizuno's plastic waste zero declaration

Mizuno puts effort into reducing plastic waste in collaboration with its entire value chain. Mizuno promotes the use of recycled plastics in its manufacturing process. Mizuno's factories and offices put effort into sorting waste and recycling plastic waste to produce solid fuel and manufacture various kinds of equipment. In addition, Mizuno's stores put effort into reducing garbage by promoting simple packaging. Furthermore, Mizuno's Osaka Head Office puts effort into helping reduce garbage in the following ways: 1) cleaning the streets of the Cosmo-square district and 2) helping the local community clean the riverbed of the Yamato River in collaboration with Kansai University.

All stores around the world directly managed by the Mizuno Group have switched to packaging purchased goods in environmentally friendly paper bags, instead of plastic bags, which are more likely to be disposed of immediately. Mizuno also aims to switch to packaging caddie bags and golf clubs, which require bags relatively more durable than regular paper bags, in environmentally friendly bags as soon as possible.

Future issues to be addressed

- Mizuno aims to not only reduce emissions generated during its manufacturing process but also reduce its use of packing material and packages, and it aims to do so by planning ahead how it could reduce waste, beginning at the designing stage of its manufacturing process.
- Up until now, efforts to reduce waste have primarily been made by manufacturing bases. However, to reduce as much waste as possible, Mizuno will apply what it has learned through such efforts to reducing waste at its non-manufacturing bases that currently generate relatively large amounts of waste.
- In addition, since the Senoh Group's branches have yet to switch to operating based on digital manifests, Mizuno will put effort into encouraging them to do so.

Environmental communication

To promote communication between itself and its stakeholders, the Mizuno Group produces sustainability reports, publicizes information through social networking services, co-hosts events held in local communities, sets up booths at such events, and gives factory tours.

Publicizing environmental information

Mizuno publicizes environmental information via its website. Mizuno's sustainability reports, which contain environmental information, is available in Japanese and English. The information that Mizuno publicizes via its website is downloadable as PDF files.

Factory tour

Mizuno's manufacturing bases, including Yoro Factory and Senohtech, offer factory tours, which introduce their manufacturing know-how and 3S efforts. In addition, since June 5 came to be designated as World Environment Day, Mizuno made June its environment month, and since 1997, it has been putting effort into cleaning up the streets surrounding its offices both domestically and internationally. However, Mizuno was not able to offer any factory tours or clean up the streets surrounding its offices in FY 2020 due to the novel coronavirus pandemic.

Risk communication

Mizuno Technics makes risk communication efforts to regularly communicate with its stakeholders. Mizuno Technics' risk communication aims to invite government and community representatives to its factory so that it can introduce the following: 1) what equipment is being used, 2) what products are being manufactured, 3) what waste is being generated, and 4) what environmental protection measures are being taken. In addition to actively publicizing the preceding types of information to local representatives, risk communication efforts aim to welcome their comments and requests so that such feedback could be applied to Mizuno Technics' business.

Environmental workshop

Mizuno offers environmental workshops to help children develop a healthy environmental attitude by seeing how Mizuno manufactures its products and puts effort into taking environmental protection measures. The workshops introduce the history of sports equipment and measures being taken at Mizuno's factories. In addition, they offer opportunities to make key chains from wood and leather remaining after manufacturing wooden bats and leather baseball gloves.

In FY 2020, Mizuno began offering environmental workshops as an event program of its experience-based program "Koto Pro."

Business activities and environmental burden

Business activities and environmental burden (input and output) [*b]

The following data shows how much energy and resources were spent on business activities domestically in FY 2020 and how much greenhouse gas and waste were generated. Mizuno puts effort into finding out how much environmental burden its business activities cause so that it can optimize its use of energy and resources.

INPUT

Energy	
Electricity	9.4 GWh
Regional air conditioning	10,568 GJ
City gas	26,000 m ³
LP gas	84.7 t
Kerosene	29.1 kl
Gasoline	454.5 kl
Light oil	111.4 kl

Water resources	
Total water intake	36,000 m ³

Resources	
Cardboard	780.1 t



Mizuno (domestic offices and manufacturing bases)

OutPUT

Energy	
CO ₂	7,787 t-CO ₂
NO ₂	5,766 kg

Effluent	
Total effluent	36,000 m ³

Chemical substances	
Emissions of substances subject to the PRTR law	1.7 t
Transportation of substances subject to the PRTR law	0 t

Waste	
Industrial waste (manufacturing bases)	135.0 t
Industrial waste (non-manufacturing bases)	439.3 t
General combustible waste	37.3 t

Note: Calculations do not include data on the Senoh Group.

Environmental accounting

Environmental protection costs

In FY 2020, 47.7 million yen was invested in environmental protection, and environmental protection costs totaled 123.24 million yen. In FY 2020, as it had been doing in the previous fiscal year, Mizuno invested in installing LED lights and switching to energy-saving air conditioners. Environmental protection costs primarily comprised the following items: 1) costs for recycling waste, 2) costs for conducting research into the development of environmentally friendly products, and 3) costs for managing the implementation of EMS activities.

Environmental protection costs incurred in FY 2020 [*b]

Unit (ten thousand yen)

Categories of environmental protection costs	Main efforts	Performance in FY 2020	
		Amount invested	Costs
(1) Business area costs		4,024	6,163
(1)-1 Pollution prevention costs	Inspection, examination, and analysis costs	0	511
(1)-2 World environment protection costs	Costs incurred for installing energy-saving equipment	4,024	990
(1)-3 Resource circulation costs	Recycling waste and using recycled material	0	4,662
(2) Upstream and downstream costs	Costs for outsourcing product recycling and green procurement costs	0	770
(3) Management activity costs	ISO 14001 management costs, external communication costs, and environmental advertising costs	0	2,760

Categories of environmental protection costs	Main efforts	Performance in FY 2020	
		Amount invested	Costs
(4) Research and development costs	Costs for conducting research into the development of environmentally friendly products	746	2,494
(5) Social activity costs	Costs incurred for cleaning up the streets surrounding offices and donating money to the Dongurinokai association	0	137
(6) Costs incurred for paying for environmental damage		0	0
(7) Other environmental protection costs		0	0
Total		4,770	12,324

Effectiveness of environmental protection measures

Effectiveness of environmental protection measures taken in FY 2020 [*b]

■ Reduction (physical effect)

Environmental aspects		Unit	Performance in FY 2019	Performance in FY 2020	Reduction	Compared to the previous year
Energy and resource conservation	Electricity	1,000 kWh	10,009	9,378	631	93.7%
	City gas	1,000 m ³	30	26	4	86.7%
	Gasoline; light oil	kl	768	566	202	73.7%
	Kerosene	kl	34	29	5	85.3%
	Heavy oil	kl	92	93	-1	101.1%
	Water supply	m ³	44	36	8	81.8%
Amount of incinerated general waste		t	52	37	15	71.2%
Industrial waste emissions		t	507	574	-67	113.2%

Data was gathered between April 2020 and March 2021

■ Reduction (monetary effect)

Unit (ten thousand yen)

Environmental aspects	Performance in FY 2019	Performance in FY 2020	Reduction	Compared to the previous
Electricity, gas, gasoline, light oil, kerosene, heavy oil, and water supply bills	43,564	37,037	6,527	85.0%

Data was gathered between April 2020 and March 2021

Management approach for priority issues

Why are priority issues important? (reason for importance)

We recognize that fair play is important in sports, and this also applies to business activities. Our motto is to conduct business activities through fair competition in consideration of compliance with laws and regulations, social norms, ethics, internal regulations and other rules, and of the adverse effects of compliance violations on society.

Management policy

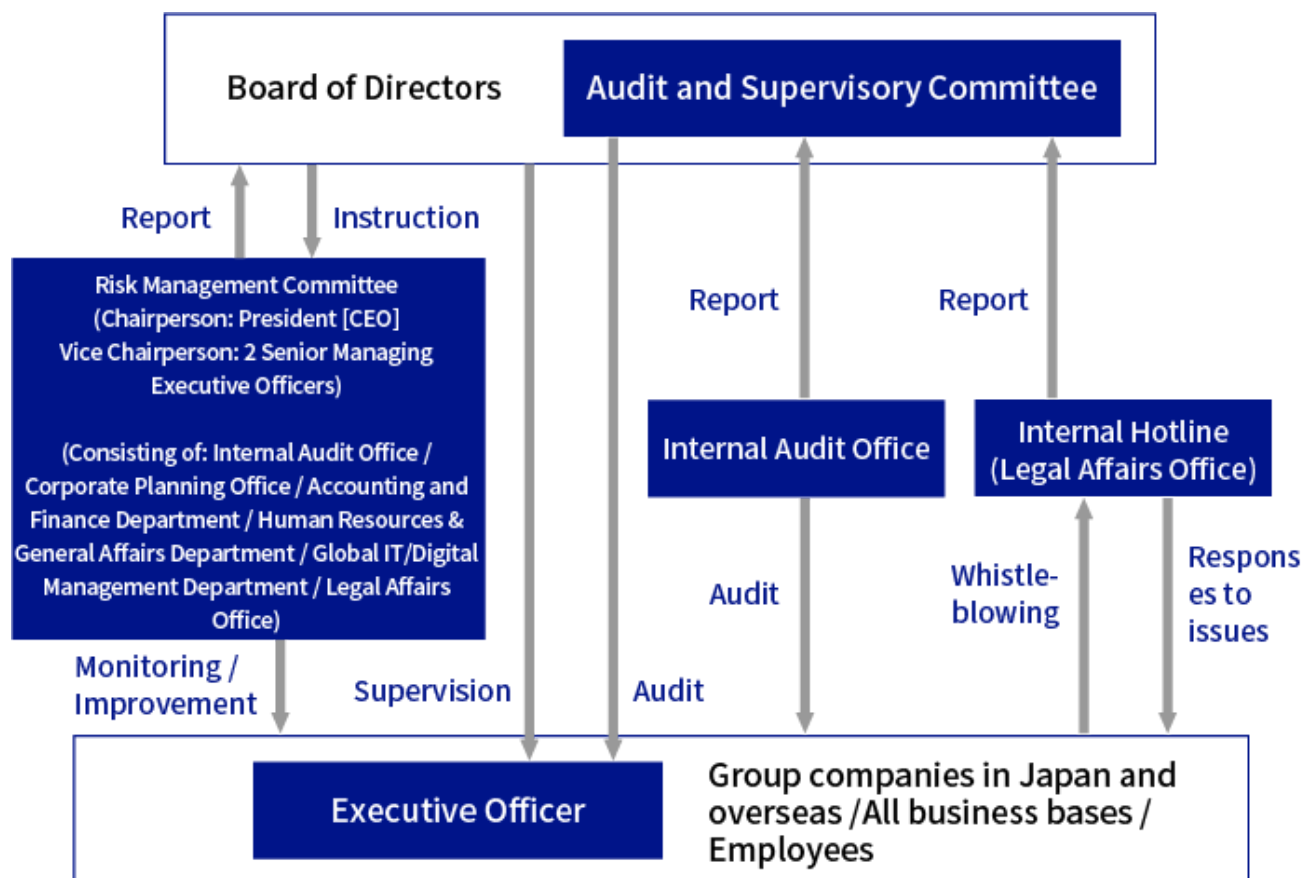
Based on the Mizuno Corporation Ethical Standards, we make company-wide efforts to ensure thorough compliance throughout the Group.

[Please click here for details of the Mizuno Corporation Ethical Standards.](#)

Management system

We have established the Risk Management Committee, chaired by the President (CEO), to implement management through which we regularly understand risks, including compliance violations, that affect our business and take remedial measures effectively and efficiently. We also audit business operations through the Internal Audit Office and work to detect fraud and misconduct in an early stage through the internal hotlines and resolve issues as needed.

Compliance risk management system



Operation system of the whistle-blowing system

We operate three hotlines under the whistle-blowing system to prevent and early detect misconduct, including legal violations, unethical behavior, and dishonest behavior, to improve the company's self-purification capability, and to ensure social trust.

1. Mizuno Fair Play Hotline
2. Compliance Hotline (Senoh Group)
3. Mizuno Global Hotline (for especially serious cases at overseas bases; The number of overseas bases covered by this system is planned to be gradually increased.)

[Please click here for details of the whistle-blowing system.](#)

Performance highlights

• Development of the electronic contract system

In addition to the recent development of the information society, the spread of the COVID-19 pandemic has increased the momentum for the widespread adoption of the electronic contract system both inside and outside the company. While streamlining the existing contract system as much as possible, we expanded the scope of application of electronic contracts in FY 2020, ensuring harmonization with governance as a responsible business entity.

Materiality

Compliance / Anti-corruption

Based on the Mizuno Corporation Ethical Standards, we make company-wide efforts to ensure thorough compliance throughout the Group. We strive to prevent compliance issues by providing education to employees to deepen their understanding of laws and regulations. We have also established the whistle-blowing system to detect and resolve issues at an early stage.

In FY 2020, there were no cases of serious compliance violations, including anti-competitive behavior, or no cases subject to legal action.

Enhancement of employee awareness

Provision of compliance education

To ensure thorough compliance, it is essential to raise the understanding and awareness of individual employees. In FY 2020, we continued to provide compliance education [*b] as part of company-wide education to help employees acquire the basics of legal knowledge and ideas related to business operations. We also provided education on legal matters to be noted by the planning and development division, the business division, and the other relevant divisions. We work to help employees acquire knowledge and awareness of compliance by providing regular compliance education.

Name of training program	Details	Target person	No. of participants
New employee training	Basic legal knowledge to be recognized by employees as members of society and the staff of Mizuno	New employees (full-time employees of the Group) [*b]	40
Compliance education	Report on our activities for fair business practices and reconfirmation of the Mizuno Corporation Ethical Standards	All employees[*b]	Approx. 3,000

Name of training program	Details	Target person	No. of participants
Whistle-blowing education	Provision of information on the whistle-blowing system (publicity activity) or report on their implementation status (feedback activity)	All employees[*b]	Approx. 3,000
Intellectual property management skill test education	Basic education related to intellectual property	Planning and development division / Business division (all employees) [*c]	15

Operation of the whistle-blowing system

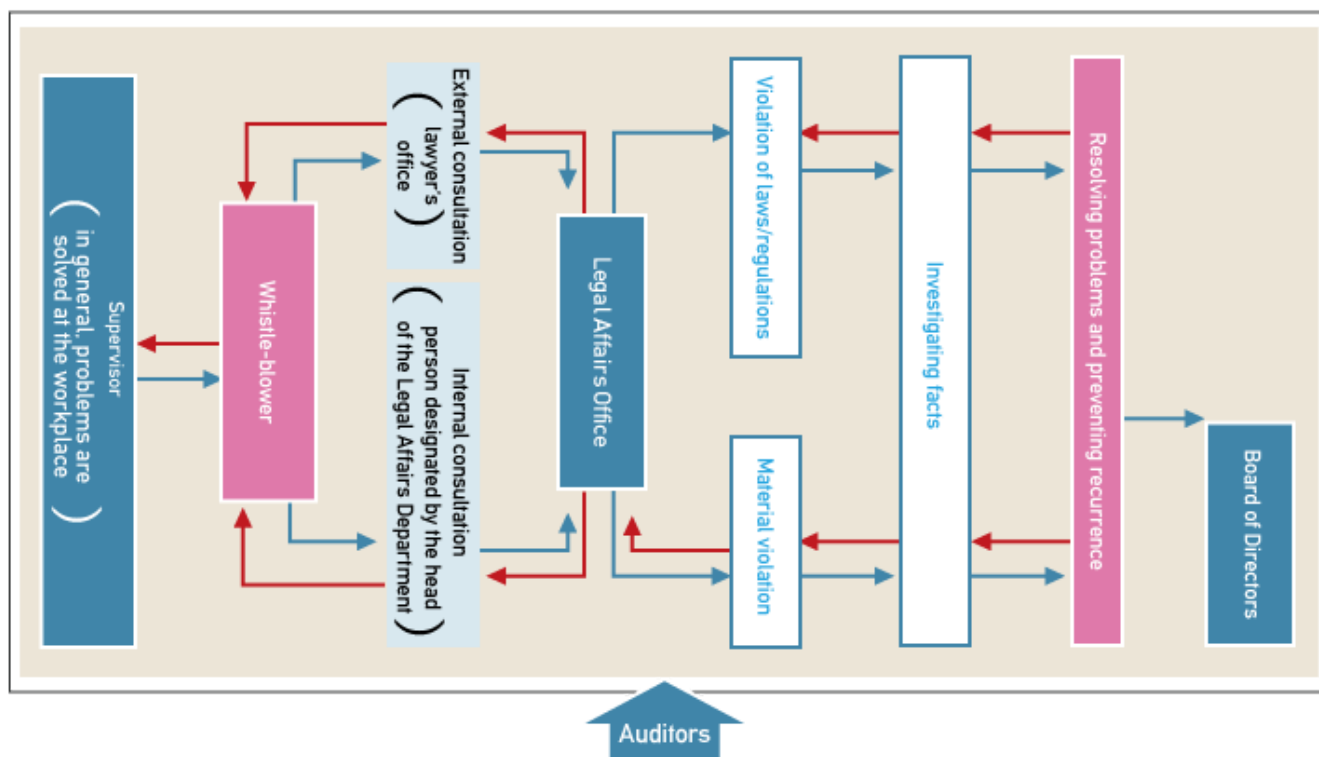
We operate the whistle-blowing system (Mizuno Fair Play Hotline [*c], Compliance Hotline*, etc.) to prevent and early detect misconduct, including legal violations, unethical behavior, and dishonest behavior, to improve the company's self-purification capability and to ensure social trust. We also continue to conduct an awareness survey to grasp the current status and issues of compliance and work to publicize the whistle-blowing system by providing company-wide education and distributing portable cards that contain detailed information on the hotlines to all employees. Thus, we strive to provide a greater understanding of the system and improve its reliability so that we can detect and appropriately respond to compliance issues at an early stage.

Aside from the internal hotline established at each overseas base for overseas employees, we established a system in January 2020 that allows employees at some overseas bases to report especially serious compliance violations directly to the internal hotline of the Head Office of Mizuno Corporation (Mizuno Global Hotline). We plan to gradually increase the number of overseas bases covered by this system in the future.

* Name of the whistle-blowing system in the Senoh Group

System for the Mizuno Fair Play Hotline

Procedures to resolve problems and prevent recurrence



Usage status of the whistle-blowing system[*b]

Our investigation in FY 2020 found no serious compliance violations.

		Breakdown of contents		
(FY)	Total No.	Environment	Human Rights	Governance/ Compliance
2014	4	0	3	1
2015	9	0	6	3
2016	11	1	6	4
2017	13	1	3	9
2018	6	0	2	4
2019	17	0	8	9
2020	11	0	5	6

System for ensuring fair trade

Many suppliers and business partners, including small factories, are involved in the manufacture of our products. To build good relationships with business partners and ensure fair trade, we provide education to inform the employees of the relevant divisions of the Act against Delay in Payment of Subcontract Proceeds, etc. to Subcontractors (Subcontract Act). In addition, the Internal Audit Office continues to check whether our business transactions are fair to major business partners. As one of the efforts to ensure fair competition, we hold a regular meeting with corporate lawyers specializing in the Antimonopoly Act every two months to receive advice on product distribution strategies and have them check whether on-site transactions are properly conducted.

We also hold a CSR procurement briefing session for all relevant suppliers of our products prior to transactions to explain our approach to fair trade so that they will comply with the Mizuno CSR Procurement Regulations, which contain anti-corruption provisions. In addition, we regularly audit our suppliers to check for corruption in transactions.

Internal regulations on anti-corruption

We have recently worked to expand sales in B-to-B and global business. Meanwhile, many countries have tightened their crackdown on corruption, which may generally occur as a result of these business activities, and global companies are required to respond to such a crackdown. We therefore need to pay attention to the risk of corruption, including bribery of public officials, in our business activities.

In January 2020, we established and put into effect the Anti-Bribery Rules for our group companies in Japan and overseas. We explained the purpose and content of the rules individually to the managers of overseas bases in a face-to-face manner and informed employees in Japan through an in-house training video that the rules had come into effect.

Enhancement of compliance throughout the Group on a global scale

In order for us to further grow globally, it is necessary to enhance compliance throughout the Group on a global scale. Assuming that the following risks are compliance risks that may have a significant impact on our overseas business continuity and business performance, we are taking measures against these risks. In FY 2020, there were no cases subject to legal action regarding bribery throughout the Mizuno Group.

Major potential risks in overseas business

- Risk of fraud and misconduct by employees and related persons of overseas subsidiaries and agents and overseas business travelers
- Information leakage risk due to inadequate IT management and information security at overseas subsidiaries (especially risk related to compliance with the EU General Data Protection Regulation (GDPR) in Europe)
- Consideration for diversity and human rights (religion, race, etc.) in global product development

Major risk countermeasures

In FY 2020, we conducted a unified and comprehensive questionnaire survey for risk inventory targeting all domestic and overseas bases as well as domestic business establishments, including our operating facilities and stores, for the purpose of risk management on a global scale, and found no significant risk. From FY 2021 onward, we plan to continue this initiative while considering refining the survey method to make it more effective as needed.

Future issues to be addressed

In response to an increase in transactions with various business partners and the growing importance of information and evidence preservation and management for unexpected legal risks and dispute resolution, we will take the following measures:

- Provision of education to improve the basic ability of employees to respond legally
- Modeling of fair and competitive transactions
- Establishment of an information system / Introduction of forensic technology

In addition, we will take the following measures based on our policy that governance should be strengthened for global efforts toward a sustainable society.

- Enhancement of the Sustainability Operations Structure in a top-down fashion
- Expansion of the application of the whistle-blowing system to overseas bases
- Review of the CSR procurement audit system

Materiality

Protection of intellectual property

Section “6. Intellectual property” of the Mizuno Corporation Ethical Standards stipulates that “1) Implementing thorough measures for protecting intellectual property created by the company” and “2) Respecting all third party intellectual property and not infringing on the intellectual property rights of others.” For our own intellectual property, we actively acquire and use intellectual property rights, including patents, utility models, designs, and trademarks, in Japan and overseas. We also strive to detect counterfeit products to ensure our brand value and user safety. For the intellectual property of others, we have established guidelines and various screening systems to prevent infringement on their intellectual property rights.

Protection of our own intellectual property

Encouragement of intellectual property acquisition

We hold various technical patents and trademarks and strive to protect them. We provide intellectual property education to employees involved in intellectual property. In FY 2020, 11 employees acquired qualification as a Certified Specialist of Intellectual Property Management.

We also encourage the active acquisition of patents and other intellectual property rights by conducting invention promotion activities in which we present an award for patent application, utility models, and designs. In FY 2020, a registration award was presented to 39 patents and seven designs.

Detection of counterfeit products

The sale of inferior counterfeit products of the Mizuno brand not only leads to the loss of the company’s social credibility but also has a great impact on the safety of users, including causing an accident.

We have requested a crackdown on counterfeit products at customs, and in the countries where such products are sold, we collect information in cooperation with our subsidiaries at each overseas base and conduct investigations to detect counterfeit products as needed. Recently, in response to changes in commercial transactions, including an increase in internet sales, we have continued to investigate the sales status of counterfeit products on major global e-commerce and social networking sites and to take measures, including requiring the suspension of listing of counterfeit products. In FY 2020, we requested the deletion of more than 1800 counterfeit products listed on sales websites.

Respect for the intellectual property of others

System for respecting the intellectual property of others

We conduct business activities using many intellectual properties, including brands, designs, patents, and portraits of famous athletes. In order not to use the intellectual property of others without permission at any stage, from development to sales, we established the Guidelines on Intellectual Properties Managed by Mizuno (Intellectual Property Guidelines) in August 2008 and posted the Mizuno Design Order Guidelines on our website in 2016. Through this, we ensure that the importance of intellectual property rights is understood by employees. We also ask our business partners to understand their importance and comply with intellectual property rights rules.

For advertising materials as well as products, we have established a system for conducting a preliminary check on compliance with various rights, including portrait rights and trademark rights, and with the Act against Unjustifiable Premiums and Misleading Presentations and other laws and regulations so that we will not commit any violations. We have established and operate a system in which all advertising materials, including magazine advertisements, web advertisements, and storefront posters, should be approved on the database by the evaluation and judgment division before being released to the public.

When entering a new product domain, we pay more attention to the scope of technology rights of others and check any violation of the rights at design review meetings at the planning and development stages.

Future issues to be addressed

- We will continue to share values on intellectual property among all employees by further making them realize how our intellectual property is involved in business activities, thereby raising their interest in intellectual property. We believe that this will lead to the effective protection of our intellectual property.
- We will expand the scope of investigation on the sales status of counterfeit products on e-commerce sites to grasp the situation in Southeast Asian countries, where our brand exposure is increasing strategically, and take measures, including requiring the suspension of shipment of counterfeit products.



Materiality

Protection of personal information

Positioning the information security management policy (security policy) as an important management issue, we have formulated basic policies and measures for information security in general and have continued to manage and operate them.

In particular, strongly recognizing the importance of the protection of personal information, we have established personal information protection regulations to strictly manage information and prevent its leakage outside of the company. The officer in charge of human resources and general affairs oversees the management of personal information and takes measures to ensure proper management, including providing educational training to the staff who handle personal information, implementing safety measures, and updating the inventory of personal information.

For the collection of personal information, we make it necessary to clarify the purpose of use, the collection method, and other matters and obtain prior approval from the responsible personnel in the company. We also specify how to manage and dispose of collected personal information and conduct a regular audit to check whether personal information is handled properly. In addition, we continue to provide training on how to handle personal information, targeting all employees.

With an increased movement toward the protection of personal information in Europe, in order to respond to the enforcement of the EU General Data Protection Regulation (GDPR), we have clarified how the Group handles personal information in Europe and transfers it outside of Europe and have made the necessary preparations, including preparing related forms and establishing and updating in-house guidelines and administrator manuals.

Since we manage a large amount of personal information and sensitive information collected through the holding of sports events, the operation of sports facilities, and the implementation of experiments by the R&D Department, we are working to establish a system that helps to prevent major accidents related to personal information.

In FY 2020, there were no cases of violations of customer privacy or loss of customer data by the Group.

Future issues to be addressed

Amid the tightening of global regulations on and growing global interest in the use of information assets, including personal information, the Mizuno Group will refine its information strategy in group management to make it more responsive to changes and will rebuild the way we use information more appropriately. Specific efforts are as follows:

- Strengthening and systematizing GDPR compliance in Europe
- Deploying these efforts horizontally to other regions

Management approach for priority issues

Why are priority issues important? (reason for importance)

“Create best products for customers.” Having cherished these words of the founder Rihachi Mizuno, we believe that it is important to manufacture and sell safe and superior products. Defects in product safety and quality may damage the trust of customers. We will endeavor to offer better products by providing information that helps customers to use our products properly and safely and by continuing efforts to use the feedback of our customers to improve our products.

Management policy

Mizuno Quality Policy

We have established the Mizuno Quality Policy based on our corporate philosophy. All employees comply with the Mizuno Quality Policy and strive to provide safe and superior products and services.

Mizuno Quality Policy

In order to gain the trust and satisfaction of customers, Mizuno Co., Ltd. and its group companies are committed to providing superior products and services, offering accurate information and humbly listening to customers' comments and continuously promoting the following initiatives.

1. We provide attractive, high-quality products and services that satisfy customers.
2. We will strive to provide, maintain and improve products of safe and appropriate quality.
3. We will provide accurate quality information in accordance with internal and external rules.
4. We will humbly listen to customers' comments and reflect them in improving the quality of our products and services.
5. We will comply with relevant laws, regulations, and internal regulations, and respect social demands.
6. We will review the quality assurance system regularly to ensure continuous improvement.

Important policies and initiatives relating to quality are discussed and decided at the quality assurance meeting, which is chaired by the officer in charge of quality assurance.

The quality assurance meeting is held regularly every six months. The three product divisions that are responsible for production and manufacturing—the Global Footwear Product Division, the Global Apparel Product Division and the Global Equipment Product Division— and Mizuno Technics Corporation and Senoh Group, which are members of the Mizuno Group, hold quality control meetings on a regular basis in an effort to verify the quality control situation, discuss measures for preventing defects, and ensure that these measures are thoroughly implemented. To ensure good quality, the Quality Assurance Office organizes quality workshops so that all Mizuno employees can have numerous opportunities to take part in workshops.

Sustainable Materials Procurement Policy

Our value creation story consists of three frameworks: “The strengths of Mizuno,” “Mizuno’s business field,” and “Social value provided by Mizuno.” For “Social value provided by Mizuno,” we have been striving to fulfill our CSR in order to respond to the expectations of our stakeholders. We will take on the challenge to contribute to sustainability and the SDGs through new business development that exceeds their expectations.

To this end, we have set the Sustainable Materials Procurement Policy as a concrete policy to address our materiality “Responsible procurement with due consideration for human rights” and “Responsibility for the global environment through product lifecycle” identified together with “Responsibility for safe and high-quality products” and “Responsible business practices.” We will formulate the guidelines for each material in the company and use them for our product manufacturing. Reviewing these guidelines if necessary, we will contribute to our manufacturing that helps to increase the social value provided by Mizuno.

Sustainable Materials Procurement Policy

We promote the use of sustainable materials, considering what impact materials used by us have on society and the environment.

Sustainable materials we use

- We will thoroughly control hazardous chemical substances that remain in products based on the Mizuno RSL (Restricted Substances List) to ensure that no hazardous substances remain in products.
- For synthetic fibers in general, we will increase the ratio of recycled synthetic fibers and adopt processing methods that can reduce the amount of water used in the dyeing process.
- For animal-derived materials, we do not use fur (real fur), and for natural leather, we use only rawhide that is a by-product of livestock and rawhide of exterminated noxious animals. We also do not use leather from endangered species or reptile leather. For feather filling for clothing and other items, we are working to use down and feather sourced from animals raised in an animal-friendly manner (e.g. We use materials procured from suppliers that are certified by RDS [Responsible Down Standard]).

- Our maple and white ash lumbers for bats are procured from North American producers who care about forest conservation.
- We do not use so-called conflict minerals for metallic materials.
- For tags used for clothing and other items, we use recycled paper or environmentally friendly materials.
- All major shoe boxes are made from 100% recycled paper, and the printed portion of the logo is made with environmentally friendly water-based ink.

Management system

We have established the following four rules to ensure product quality in each process, from planning to sales.

- **Quality Assurance Regulations**

As overall quality management of Mizuno Corporation and its group companies, we have set compliance rules for ensuring product quality and safety, including the establishment of a quality policy and a quality system and the implementation of educational training on product quality.

- **Design Development Regulations**

With the aim of clarifying the work performed by the division in charge of design and development and carrying it out smoothly, we have established procedures for developing materials and parts, designing the structure and specifications of products, evaluating these materials and products, and checking their quality before shift to full-scale production.

- **Manufacture Control Regulations**

The Manufacture Control Regulations have been established to ensure product quality by clarifying work procedures and control methods for maintaining product quality in the manufacturing process. These regulations apply to the manufacturing processes of all products handled by us and persons in charge of these processes. They also apply correspondingly to the manufacturing processes of suppliers, in principle. They clearly state that the responsibility for controlling the in-house manufacturing process lies with the head of the product division in charge of producing and manufacturing the relevant products and that the responsibility for managing suppliers lies with the head of the division in charge of purchasing the relevant products.

- **Customer Service Regulations**

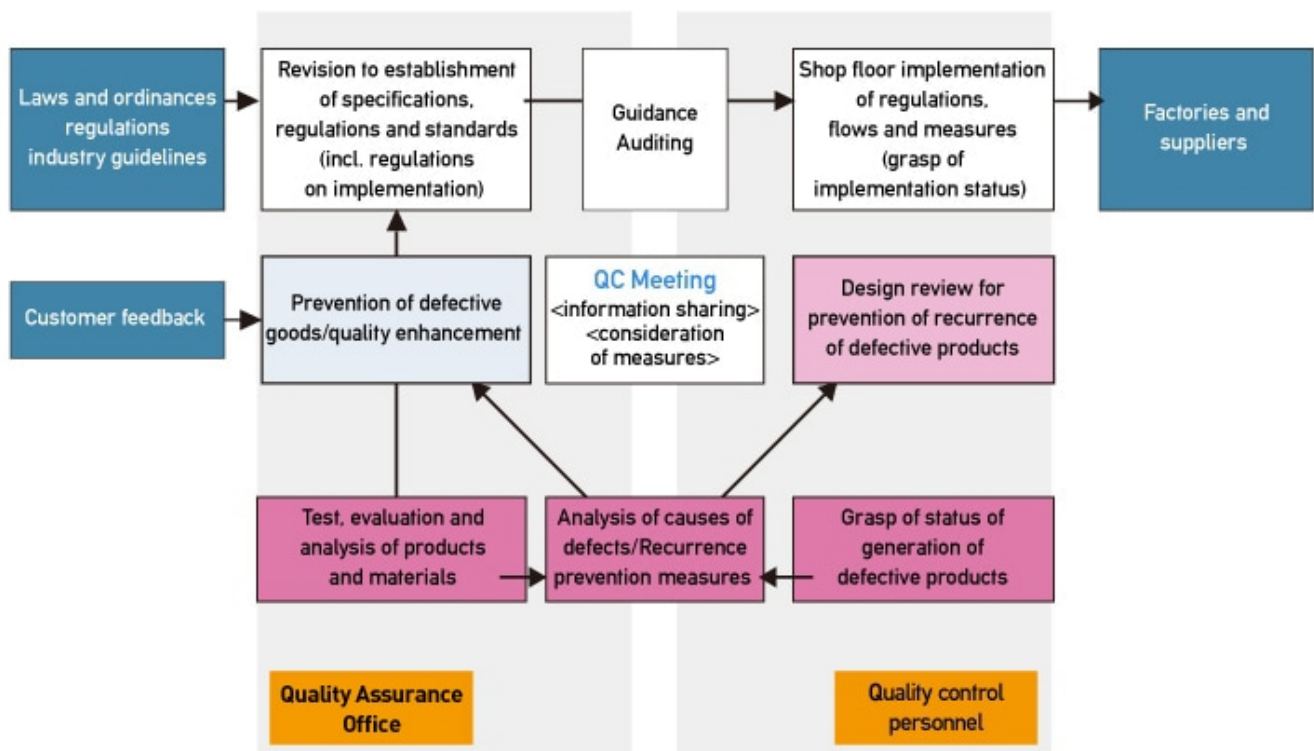
We have clarified the procedures for selling to customers and responding to customer requests after sales and have established a system for determining the cause of requests and preventing their recurrence. We deal with customer requests promptly and reliably to gain customer satisfaction and trust, and work to increase and improve customer satisfaction.

Based on these regulations, each product division strives to ensure higher quality by establishing and enforcing its own rules and procedures for its products to respond to customer requests in more detail. We also conduct a regular maintenance of documents related to product quality and revise or withdraw them, or establish new documents as needed.

Flow of quality control and assurance from planning to sales

Planning	Design & Development	Procurement	Manufacturing	Sales • Customer service
Trial and verification of proposals for planning	Practical use test, evaluation of prototypes, and design review	Material inspection	QC patrol and product inspection	Providing information by advertising and labelling/ Customer support at Mizuno Customer Service Center

Quality control system chart



Performance highlights

■ Implementation status of training on product quality [*d]

FY 2019	A total of 129 times / 3,389 participants
FY 2020	A total of 30 times / 1,116 participants

■ Number of occurrences of serious defective products and accidents that require a company announcement through a newspaper or other means

After FY 2005: 0

Materiality

Ensuring of the safety and quality of products

System for product safety and quality control

We conduct various reviews and inspections to ensure product safety and quality control. Through reviews, we check various items related to product quality, including product design, materials to be used, safety during use, and labeling. In design reviews before the start of manufacturing of new products, we check their structure and materials as well as technical aspects based on the checklist. After products are manufactured, we conduct a pre-shipment inspection before they are shipped from a factory to make a final check for defects in individual products.

We ensure the quality of all products according to the product standards and the material quality standards created for each item. These product and material quality standards are based on laws, standards, and other rules of each country as well as the know-how that we have cultivated through manufacturing over many years and the feedback of our customers.

Since many of our products are manufactured in external subcontracted factories with which we have signed an OEM contract, it is important to ensure product quality in these factories as well. For subcontracted factories with which we enter into a new contract, the person in charge in each product division diagnoses their ability to guarantee product quality to ensure that products manufactured there will meet the quality specified by us. We sign an OEM contract only with factories that satisfy our criteria. As a QC patrol activity, we also regularly visit factories that have already signed a contract and have been involved in producing our major items to check the quality control status and provide guidance. In FY 2020, we conducted a patrol and audit of overseas manufacturing factories using a web conferencing system. In addition, at regular QC meetings, we check the quality status of our products in the market and discuss and thoroughly implement measures to prevent the recurrence of defective products.

In the event of a serious defect, we report it to the relevant administrative bodies, including the Ministry of Economy, Trade and Industry and the Consumer Affairs Agency, and, if necessary, we widely announce it to the public and voluntarily recall the relevant products to prevent the circulation of defective products. No serious defects that require company announcement through a newspaper or other means have occurred since FY 2005.

In FY 2021, we will continue to work to provide safe and high-quality products through the improvement of our quality assurance system from a global perspective and the development of human resources.

Example of Design Review Before Starting to Manufacture New Products (Shoes Division)

	Description	Check items
Safety Review	Technological review of new structures, new materials and new technologies	• Quality (formability, productivity, etc.) • Functionality, safety • Schedule • Patents • Check of whether or not outside verification data are required
Pre-Design Review	Determination of whether or not to adopt a new structure, new materials and new technologies	• Check of the items on the checklist • Determination of whether or not to adopt a new structure, new materials and new technologies
Design Review 1	Check of the items on the checklist. Judging of the need for a second design review. Judging of the necessity of actual wearing test, etc.	• Check of functionality labeling (Act against Unjustifiable Premiums and Misleading Representations,)
Design Review 2	Study and determination of specifications with a view to placing an order for samples	• Check of the items on the checklist • Check of the points about which remarks were made in the previous review • Check of notes in the event of mass production
Design Review 3	Study and determination of specifications with a view to placing an order for samples	

Operation of the certification system for inspectors at overseas group companies

We implemented a certification system for inspectors (Mizuno Footwear Test Instructor Certification System) to enable inspectors of overseas group companies located at subcontracted factories to conduct inspections and make judgments at a certain level.

ISO 9001 certification

The Mizuno Group has acquired and continuously maintained ISO 9001 certification, the international standard for quality management systems, to ensure product safety and quality.

Year of acquisition	Company certified ISO 9001
2001	Senoh Corporation
2004	Shanghai Mizuno Corporation Ltd.
2006	Mizuno Technics Corporation
	Taiwan Mizuno Corporation

Management of restricted chemical substances in our products

Mizuno has established and implemented the Chemical Substances Control Regulations. This set of regulations specifies the rules which must be observed to ensure that restricted chemical substances are well managed in the products we manufacture and sell, thereby keeping our products safe and of the appropriate level of quality. Based on these regulations, we make a list of chemical substances^{*1} that are banned or restricted by national laws and ordinances, and its acceptable standard. Before commercializing products, we refer to this list to research and check them.

The Quality Assurance Office and the Legal Office formulate the regulations and procedures that are necessary for the control of chemical substances and provide education and guidance to the relevant departments in charge of different product lines, such as equipment, apparel and shoes. The Quality Assurance Office coordinates annual targets for the individual product divisions and carries out regular checks of control activities. For certain types of chemical substances that may be used, we require suppliers to fill in and submit a chemical substance questionnaire and/or a written pledge not to use the chemical substances in question. We also have sampling inspection^{*2} conducted by third-party testing bodies of some of the products and materials in a bid to verify their safety. If any substance that raises concern is identified in a report on a chemical substances inspection and in the results of analyses, we request that suppliers reduce the environmental impacts. We also propose remedial action to ensure the proper treatment of chemical substances used at the production site of OEM factories and to replace them with chemical substances with lower environmental impacts.

^{*1} Typical examples of restricted chemical substances with particularly high risks include those specified in the POPs Convention, those designated as Class I Specified Chemical Substances in the Act on the Evaluation of Chemical Substances and Regulation of Their Manufacture, etc., those specified in the Act on Control of Household Products Containing Harmful Substances, and those specified in Annexes XIV and XVII of the European Union's REACH regulation.

^{*2} Such tests include a check to confirm that there is no content of specified azo dyes that generate specified aromatic amines and a test to verify the compliance of products for Europe with the REACH regulation.

Participation in the Apparel and Footwear International RSL Management Group (AFIRM)

In January 2019, we joined the Apparel and Footwear International RSL Management Group (AFIRM) *, an international organization that manages the Restricted Substances List (RSL), to simplify the operation of restricted chemical substances and strengthen the management of them.



Based on information from AFIRM, we have created a restricted chemical substances list, which meets the international standards, to manage the risk of chemical substances remaining in products in the supply chain. We will also promote information sharing and collaboration within the industry to improve compliance.

In cooperation with ASICS Corporation, we have unified the names of restricted chemical substances in Japanese. This can be expected to facilitate the management of restricted chemical substances in the supply chain in Japan. We have also jointly created the Japanese version of various materials issued by AFIRM and have published them on the AFIRM website. These materials can be viewed and used freely also by any non-member of AFIRM. We will continue to contribute to improving the management level of residual chemical substances in products in Japan.

In FY 2020, we created the Mizuno Restricted Substances List 2020, which meets the international standards, based on AFIRM materials and distributed it to our suppliers.

* AFIRM : Apparel and Footwear International RSL Management Group (RSL=Restricted Substances List)
Representative member companies of AFIRM: adidas, Amazon, ASICS, Descente, Decathlon, Esprit, Fast Retailing, Hugo Boss, Lacoste, New Balance, NIKE, Pentland, PUMA, Skechers, and Under Armour

Commitment to enhancing employee awareness

Providing education on quality

Mizuno believes that the safety and quality of Mizuno products depend on the awareness and conduct of each employee of the Mizuno Group. Mizuno has formulated the Mizuno Quality Education Outline with the aim of helping the spirit of founder Rihachi Mizuno, best expressed in his own words as “Create the best products for customers,” firmly take root inside the company. Following this outline, we also intend to build a system for systematically and unfailingly providing employees with training on quality control. Mizuno believes that quality control is something that must be undertaken by the Mizuno Group as a whole, not just one specific division.

Quality Assurance Office carries out company-wide quality education and department-specific quality education conducted in each department.



Major training courses on quality control[*d]

Company-wide Quality Control Course	
(Outline)	Acquiring knowledge of basic rules regarding quality control [Target] Planning, production, sourcing, development, business, sales, and indirect departments, etc.
(Performance)	FY 2020: a total of 2 courses / 194 participants In the past, it was mainly held in the form of group education at the Osaka Head Office. In FY 2020, however, an online format was used concurrently, which also allowed participants to join the course by viewing the recorded course. Consequently, the course was joined by participants from various divisions at domestic and overseas bases.
Study Course for the QC Test	
(Outline)	Implemented to promote self-development in order to improve quality control skills [Target] Planning, production, sourcing, development, business planning, and sales departments, etc.
(Performance)	245 QC certificate holders as of March 2021
Product Division Quality Control Education Course	
(Outline)	Organized by each of three product divisions to enhance quality-related expertise [Target] Planning, production, sourcing, and development departments, etc.
(Performance)	FY 2020: a total of 28 courses / 922 participants The course was held in a combined format of on-site group education, online education, and education through the recorded course.

Handing down of skills that support product quality

Our commitment to quality is supported by the presence of craftsmen with outstanding skills. With the aim of improving and handing down craftsmanship that supports our product quality, the Mizuno Technics skill testing system has been established by Mizuno Technics Corporation, which is engaged in manufacturing many of our products, to train craftsmen with excellent skills, revitalize technical employees, and improve their technical level. Employees who possess craftsmanship are awarded the titles of “Meister” and “Craft” and are provided with allowances. As of the end of March 2021, there are two employees with the title of “Meister” and 23 employees with the title of “Craftsman”.

Mizuno Technics Corporation – System for improving product quality

The manufacturing technology and know-how of Mizuno Technics Corporation are highly trusted by professional sports athletes and teams. To continue to meet their expectations, it is essential for all employees to further improve their skills and pass on their skills. To this end, Mizuno Technics has built and operates a system for improving product quality based on ISO 9001 as described below.

1. Quality Management System (QMS) Operations Committee meeting held every two months: Reporting and providing education on QMS matters to QMS Operations Committee members appointed from each section
2. Mizuno Technics Quality Education program held every two months: The Quality Assurance Section prepares materials and provides education.

Quality month initiatives

We have designated each November as Quality Month, in which we conduct various activities related to product quality, targeting all Group employees. In FY 2020, we provided quizzes about quality and a special course on quality, and a total of 543 employees joined the activities.

These activities provide employees with an opportunity to reconsider the quality of our products and services, leading to improved quality and customer satisfaction.

Future issues to be addressed

- We will continue to improve the accuracy and efficiency of design reviews to prevent the occurrence of defective products.
- To respond to the global movement toward tightening regulations on chemical substances, we will promote the establishment of a global management system in cooperation with overseas group companies.
- To realize quality stability, we will steadily promote quality education based on the Mizuno Quality Education Outline according to the annual plan.

Materiality

Communication related to products

Provision of product information

We believe that it is important to provide sufficient product-related information so that customers can select our products appropriately. We actively disclose product-related information through in-store POP materials and our website, in addition to labeling on products and instructions for use.

For the content of disclosed information, we comply with laws, regulations, and industry rules related to labeling and confirm the accuracy and appropriateness of the information in accordance with the labeling control regulations. Specifically, when describing the superiority of a product, we use accurate and easy-to-understand expressions so that there is no misunderstanding, and when expressing functionality, we make it a requirement that there be supporting materials, such as test and experiment results. To ensure that all relevant departments, including the Quality Assurance Office and the Legal Affairs Office, can check and judge the content of disclosed information effectively and efficiently, a workflow application system is used. We are also developing a self-confirmation system before application so that regarding the expression of functionality, the applicant can confirm the appropriateness of expressions prior to application to avoid misleading representations. [*c]

In addition to the development of these systems, we work to develop human resources, including providing educational training on product labeling to the staff involved in the creation of labels. In FY 2020, 104 employees participated in the educational training on product labeling.

In FY 2020, although we conducted two recalls due to inadequate labeling, we identified the problems and reorganized the relevant processes.

Communication concerning defects and the collection of defective products

When a defect occurs, we announce it promptly and accurately on our website. In FY 2020, we made three announcements.

■ **Total number of cases announced as an “Important Notice Regarding Mizuno Products” on the website due to product defects, incorrect quality display, or other reasons**

2016	2017	2018	2019	2020
2	5	9	5	3

Communication for the safe use of products

For the use of sports equipment, it is also essential for customers to use it properly and to have safety awareness when playing sports. We provide product information to customers through various means, such as catalogs, user’s manuals, advertisements, news releases, in-store flyers, and customer services through Mizuno Customer Service Center.

To convey information on the safe use of our products in as easy-to-understand manner as possible, we try to avoid the use of technical terms when possible and provide easy-to-understand explanations with illustrations in our user’s manuals.

We also analyze customer inquiries made to Mizuno Customer Service Center and take measures, including adding user’s manuals to products for which usage instructions are difficult to understand. On our website, we have set up the section “Frequently Asked Questions (Q&A / user’s manuals)”, where we provide tips on how to select and care for our products by product category, such as shoes and sportswear, and by sporting event. For products that may lead to an accident if used incorrectly, we provide more specific instructions on how to use them, including representations based on the Product Liability Act, and other necessary information.

Ensuring safety in the use of our products

All of our sports shoe items come with a user’s manual. To allow for the longer and safer use of sports shoes, we asked JASPO (Association of Japan Sporting Goods Industries) to help with the good use of the Sports Shoes Guidebook, a leaflet used by 11 sporting goods manufacturers that are affiliated with JASPO. The Guidebook is also available on Mizuno’s website. The Guidebook has easy-to-understand explanations and illustrations providing tips for trying shoes on before purchase, choosing the right shoes, putting them on and taking them off, and ensuring they can be worn for a long time.

In 2020, the Guidebook was reviewed through cooperation among the 11 member companies to make its content easier for users to understand.

New Measure

Although we provide a user manual that describes how to set up and handle our training instruments and health-enhancing instruments, for some products we have started to attach a DVD and publish a video on our website to share detailed information with customers.

Future issues to be addressed

- We will enhance in-house education so that individual employees can surely acquire the basic knowledge necessary for the planning, designing, development, and manufacture of products.
- To respond to the diversification of products handled by us and the complexity of the supply chain due to entry into new markets, we work to create a system for sharing information on product planning and development internally from an early stage.
- We will carry out regular maintenance of our website so that we can provide the latest information in frequently asked questions posted on the section of Mizuno Customer Service Center



Materiality

Customer service

System for customer service

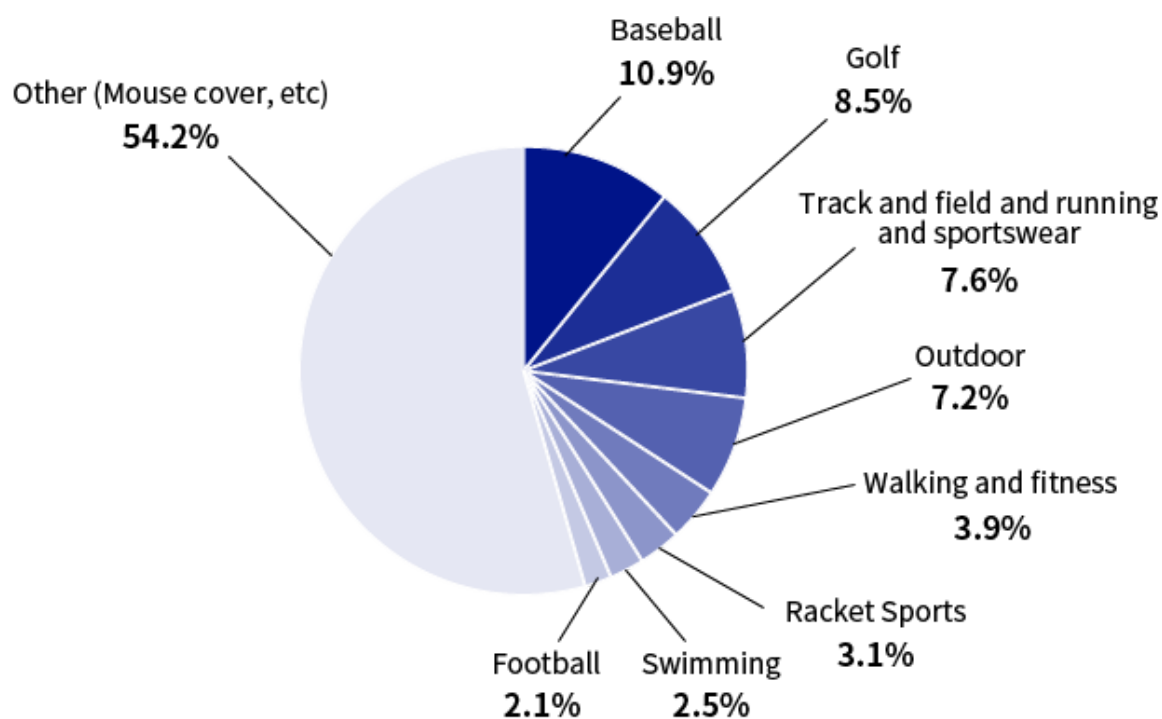
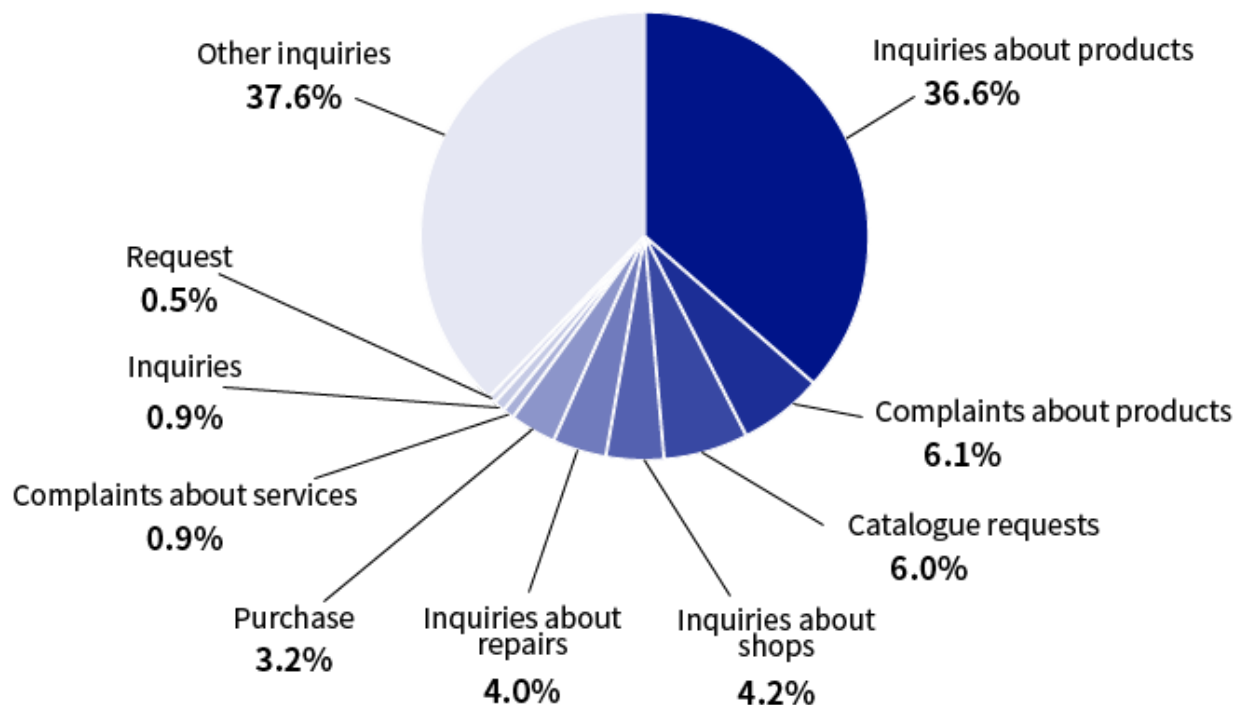
To ensure the safety and quality of our products and services, we have established a system that complies with ISO 10002, a complaint management system, and that allows us to respond appropriately to customer feedback and complaints. A variety of kinds of feedback from customers is collected at, Mizuno Customer Service Center where we respond to inquiries and service complaints in cooperation with the relevant departments. Product complaints are forwarded to the Quality Assurance Section, which in turn provides feedback on them to the relevant departments as important information necessary to improve products and systems.

The Quality Assurance Office, which consists of Mizuno Customer Service Center and the Quality Assurance Section, is responsible for building the quality management system and also serves as a liaison to customers.

Customer feedback and major actions

In FY 2020, Mizuno Customer Service Center received 38,156 calls, of which approximately 37% were inquiries regarding products, and approximately 6% were complaints about products.

■ Details of calls from customers in FY 2020



■ Number of calls by content

	FY 2018	FY 2019	FY 2020
Inquiries about products	12,885	11,652	13,948
Other inquiries	4,715	4,585	14,357
Complaints about products	3,394	3,521	2,340
Catalogue requests	2,205	2,068	2,303
Inquiries about shops	2,353	1,885	1,595
Inquiries about repairs	2,570	2,052	1,513
Purchase	783	729	1,230
Complaints about services	251	200	358
Inquiries	2,718	2,527	337
Request (included in “Inquiries” until FY 2020)	-	-	175
Total	31,874	29,219	38,156

■ Number of calls by sporting event

	FY 2018	FY 2019	FY 2020
Baseball	5,033	4,897	4,172
Golf	3,605	3,677	3,268
Track and field and running and sportswear	3,956	3,415	2,924
Outdoor	3,186	2,802	2,757
Walking and fitness	1,947	1,654	1,495
Swimming	1,952	1,480	964
Racket Sports	1,481	1,376	1,028
Football	869	1,233	798
Other	9,845	8,685	20,246
Total	31,874	29,219	38,156

Responses in the event of a product accident

In the event of a product accident, we will take prompt and appropriate action to resolve the problem in accordance with the Customer Service Regulations. We consult with and report to the relevant organizations, including the Consumer Affairs Agency, the Ministry of Economy, Trade and Industry, JASPO (Association of Japan Sporting Goods Industries), and NITE (National Institute of Technology and Evaluation), and take prompt measures. If a defect that may lead to a product accident is found, we quickly determine measures to prevent the occurrence of an accident.

[Please click here for details of the Customer Service Regulations.](#)

Future issues to be addressed

Recently, the number of inquiries from overseas customers has increased. However, we do not have a sufficient system in place to respond to them, and there are still areas for improvement. We will work to create a system that provides better services to our customers and ensures customer satisfaction both domestically and overseas.

Employment and human resource utilization

Mizuno places importance on the three Fs, namely Fair play, Friendship and Fighting spirit, in an effort to create an environment and climate where each employee has a fair attitude and high motivation, recognizes the differences of others, respects diversity, and shares joy with colleagues. By encouraging taking on challenges for innovation, Mizuno aims to achieve a corporate culture in which its people remain energetic and have a purpose in life.

Basic policy

On the assumption that the labor-related laws of different countries are observed, Mizuno includes “considerations for working conditions and the environment” in Article 9 of the Mizuno Ethical Standard in an effort to create an environment where people can work safely and energetically. Article 10 of the Mizuno Ethical Standard, “Respecting human rights,” prohibits all acts that may be considered to be discriminatory treatment and/or harassment. Mizuno also guarantees employees’ rights to join a labor organization and group negotiations, and it secures equal opportunities in employment.

In accordance with the Human Resources Development Policy, Mizuno supports the personality improvement and skill development of every employee. We are working to improve employee expertise, respond to management issues, and foster a culture of independent learning. We are developing and using human resources who can expand Mizuno.

Performance highlights^{*}

■ Female employee rate[*c]

FY 2019	28.0%
FY 2020	27.6%

■ Female manager rate[*c]

FY 2019	8.3%
FY 2020	6.3%

■ New female employee recruitment rate[*d]

FY 2019	36.1%
FY 2020	35.3%

* Calculations are based on data on full-time employees.

Mizuno has obtained the Health and Productivity Enterprise 2021 (White 500) Certification for four consecutive years.



Creation of the ideal
working
environment

Promoting and
respecting diversity

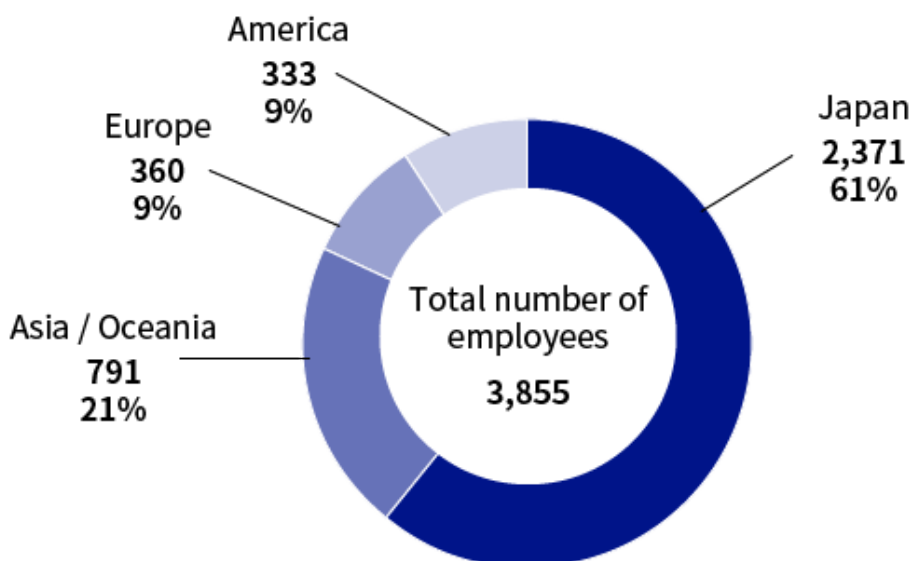
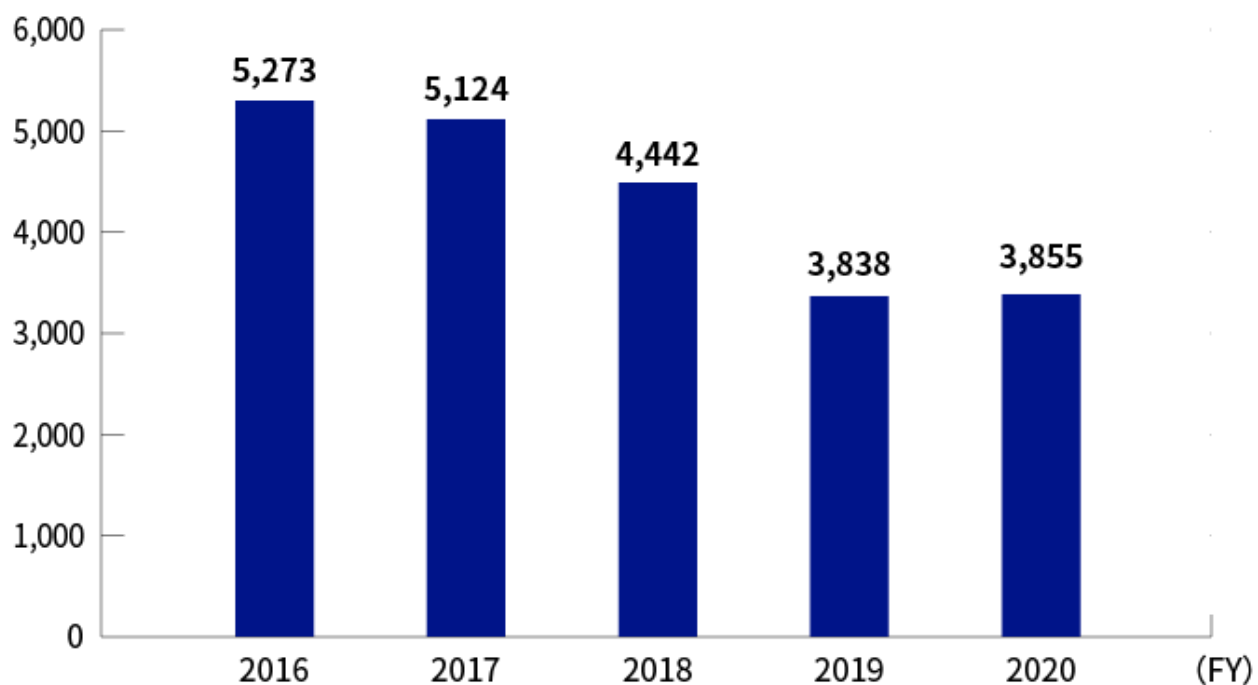
Employment and
human resource
utilization

Creation of the ideal working environment

Mizuno ensures health and safety in all workplaces and pursues an environment in which it is easy for employees to work and find job satisfaction.

Employment status

Mizuno Group
(no. of people)



Mizuno's employment status[*d]*

		2016	2017	2018	2019	2020
Employees (no. of people)	Male	1,187	1,164	1,138	1,105	1,101
	Female	423	433	434	450	449
	Total No.	1,610	1,597	1,572	1,555	1,550
Average age (years old)	Male	44.9	44.9	45.1	45.1	45.1
	Female	39.0	39.2	39.9	40.6	41.0
	Total	43.4	43.4	43.7	43.8	43.9
Average length of service (years)	Male	21.3	21.3	21.3	21.0	20.8
	Female	16.2	16.4	16.7	17.2	17.6
	Total	20.0	20.0	20.0	19.9	19.9
Turnover (no. of people)	Male	13	17	24	23	10
	Female	10	12	12	16	11
	Total No.	23	29	36	39	21
New graduate employees (no. of people)	Male	15	26	23	22	11
	Female	23	13	13	12	8
	Total No.	38	39	36	34	19
Mid-career recruitment (no. of people)	Male	4	5	11	19	18
	Female	3	0	9	8	2
	Total No.	7	5	20	27	20
International employees (parent company; no. of people)	Total No.	3	6	5	6	6
International employees (consolidated; no. of people)	Total No.	2,921	2,788	2,091	1,455	1,455

		2016	2017	2018	2019	2020
Temporary employees (no. of people)	Total No.	458	380	374	349	388
Physically challenged employees (no. of people)	Total No.	32	30	34	34	34

* Calculations are based on data on full-time employees.

Employees' ages [*d]*

	Total	Male	Female
Younger than 30 (no. of people)	204	124	80
30 to 39 (no. of people)	386	255	131
40 to 49 (no. of people)	378	237	141
50 to 59 (no. of people)	579	483	96
60 or older (no. of people)	3	2	1

* Calculations are based on data on full-time employees.

Work hours; overtime work hours[*d]*

	Unit
Annual work hours per employee	1,665 hours/year
Monthly average overtime work hours per employee	4.39 hours/month
Monthly average overtime work payment per employee	16,331 yen/month

* Calculations are based on data on full-time employees.

Support system for creating a worker-friendly work environment

Mizuno offers various support systems to help employees balance work with personal life.

As for the childcare support offered at Mizuno, the employment patterns of female employees from pregnancy / childbirth to childcare period has been mostly implemented and used and comprises the following: 1) paid holidays available at an hourly-use basis from the day of pregnancy (40 hours a year), 2) prenatal and postnatal leave, childcare leave and extended leave (up to 2 years old if over 1 year and 6 months) 3) short working hours after returning to work (up until the day the child completes his/her third year of elementary school), and 4) flexible working hours (up until the day the child completes his/her third year of junior high school).

In addition, to enable itself to secure talented employees, Mizuno offers a reentry system that welcomes employees back to work after they have unwillingly left due to personal reasons, such as marriage and childbirth. Furthermore, Mizuno actively encourages its male employees to participate in childcare, and to do so, it allows its male employees to also use its childcare and maternity leave and flexible working hour systems.

Mizuno also puts effort into helping its employees provide their family members with nursing care, and to do so, it asks its employees to answer a survey so that it can provide them with support systems that best match their needs.

Childbirth and childcare support systems

Childcare leave systems[*d]*	
Details	This systems aims to improve Mizuno's welfare system by allowing employees to devote themselves to childcare for a certain period without having to give up their status as an employee at Mizuno.
Performance	In FY 2020, 64 employees used this system.
Childcare short-working-hour system[*d]*	
Details	This system defines the details relating to allowing employees to work shorter hours to care for their children who are at ages subject to protection under the childcare leave system up until their children complete their third year of elementary school.
Performance	In FY 2020, 65 employees used this system.
Childcare flexible working hour system[*d]*	
Details	This system aims to help employees balance childcare with work (up until their children complete their third year of junior high school).
Performance	In FY 2020, 127 employees used this system.

Pregnancy disability leave [*d-b]*	
Details	This system aims to protect the mother during her pregnancy by allowing her to take leave from work due to poor physical condition during pregnancy, such as morning sickness and anemia.
Performance	In FY 2020, no employees used this system.
Childbirth and childcare leave system[*d]*	
Details	This system understands employees need to balance childbirth and childcare with work and aims to help them do so, and in order to therefore encourage employees to take childcare leave, it grants childbirth and childcare leave.
Performance	In FY 2020, 29 employees used this system.
Transferable annual paid holiday system[*d]*	
Details	This system allows employees to accumulate annual paid holidays that have not been used over the past two years and use them as paid holidays for childbirth and childcare reasons.
Performance	In FY 2020, no employees used this system (as paid holidays for childbirth and childcare reasons).
Regulations relating to childcare under the cafeteria plan system[*d]	
Details	These regulations define what expenses relating to childcare will be covered by the cafeteria plan system.
Performance	Of all cafeteria points used in FY 2020, those relating to childcare accounted for 1.5%.
Reentry system[*d]	
Details	This system aims to increase the chances that employees who left for certain personal reasons (including childbirth and nursing) have of returning to Mizuno, and it does so by providing them with information on job openings at Mizuno.
Performance	In FY 2020, no employees used this system.

Note: The data given above was gathered from Mizuno Corporation and a number of Mizuno Group subsidiaries in Japan.

Number of employees who took childbirth/childcare leave and number of people who returned to Mizuno after once leaving[*d]

		2016	2017	2018	2019	2020
Number of employees who took childcare leave (no. of people)	Male	13	5	4	1	11
	Female	31	31	27	37	53

		2016	2017	2018	2019	2020
Percentage of employees who took childcare leave (percentage)	Male	12	10	10	10	12
	Female	100	100	100	100	100
Percentage of people who returned to Mizuno after once leaving (percentage)	Male	100	100	100	100	100
	Female	95	100	94	100	100
Retention rate (percentage)	Male	100	100	100	100	100
	Female	100	100	100	100	100

Nursing support systems

Nursing leave system[*b]*	
Details	This system defines the details relating to allowing employees to take leave to care for family members who require nursing care.
Performance	In FY 2020, no employees used this system.
Short-working hour system for nursing care[*b]*	
Details	This system defines the details relating to payment and other conditions when employees request to work shorter work hours than the regular work hours due to the need to care for family members who require nursing care.
Performance	In FY 2020, no employees used this system.
Transferable annual paid holiday system [*b]*	
Details	This system allows employees to accumulate annual paid holidays that have not been used over the past two years and use them as paid holidays for nursing care reasons.
Performance	In FY 2020, no employees used this system (as paid holidays for nursing care reasons).
Regulations relating to nursing care under the cafeteria plan system	
Details	These regulations define what expenses relating to nursing care will be covered by the cafeteria plan system.
Performance	Of all cafeteria points used in FY 2020, those relating to nursing care accounted for 0.07%.

Note: The data given above was gathered from Mizuno Corporation and a number of Mizuno Group subsidiaries in Japan.

Annual paid holiday system

Mizuno provides full-time and contract employees with the following number of annual paid holidays: 1) 10 days immediately after joining the Company and 2) 20 days after working six years. In FY 2014, Mizuno decided to operate and promote a system that allows employees to take annual paid holidays on an hourly basis (five days; 40 hours at maximum/year). In addition, Mizuno puts effort into improving employee welfare and has established a transferable annual paid holiday system, where employees, for personal reasons, such as injury and illness, nursing, welfare activities (including volunteer work), and sports promotion activities, are allowed to use annual paid holidays that have expired.

Mizuno Corporation's annual paid holiday user rate for FY 2020 was 43.6% [*d].

Annual paid holiday usage status[*d]

	Unit	2016	2017	2018	2019	2020
Number of annual paid holidays available	Days	18.7	18.9	18.9	19.0	18.9
Number of annual paid holidays taken	Days	8.6	9.1	9.9	10.8	8.2
Usage rate	%	46.0	48.3	52.4	56.6	43.6

Welfare systems

Mizuno takes employee requests into consideration in deciding what welfare systems to offer and currently offers a number of unique systems, including the following: 1) defined contribution pension plan, 2) long service leave system, 3) club activity promotion system, and 4) self-training support system.

Welfare systems[*b] the Mizuno Group (domestic)

Defined contribution pension plan[*b]*	
Details	This system allows employees to decide what kind of pension plan they want based on the premiums the Company will pay. To help employees improve their CSR attitude, the pension plans that Mizuno allows employees to choose from are funds that invest in companies that actively promote CSR activities.
Performance	Mizuno has invited experts as instructors to provide defined contribution pension subscribers with investment education. As it did the previous year, Mizuno promoted the use of its matching contribution system (where the Company's premiums are added to premiums paid by employees). Matching contribution subscriber rate: 61.2%

	Adoption rate of DC Good Company, an investment product targeting companies that actively promote CSR activities: 1.4%
Employee stock ownership association [*b]	
Details	To encourage independent and strategic accumulation of the Company's shareholding association reserve by employees, Mizuno contributed 10%. This is a system for helping employees build assets
Performance	Number of subscribers as of the end of March 2021: 724 (those with eligibility: 3,281)
Long service leave system[*b]*	
Details	This system offers special leave and travel subsidies to employees every five years with the aim of helping employees take long-term leave and travel around to feel refreshed.
Performance	In FY 2020, 282 employees were eligible for this system (no. of users: 39; user rate: 13.8%) Note: Mizuno will allow those who were eligible for this system in FY 2019 and FY 2020 to use the system in FY 2021 because the novel coronavirus pandemic practically rendered the system unavailable in those years.
Cafeteria plan system[*b]	
Details	This system aims to cover part of the expenses incurred by employees by giving the same number of points to all employees and allowing them to choose how to use them from a number of menus so that they can use their points in ways that best match their lifestyle
Performance	The Mizuno Group's employees used a total of 400,000 points.
Promoting club activities and in-house sports events[*b]	
Details	To help employees maintain their good health and to enliven the Company, Mizuno promotes and supports in-house sports and cultural activities.
Performance	About 30 clubs are currently active in the entire domestic Group, which comprise the following types: 1) athletic clubs (including baseball, soccer, and rugby teams); and 2) cultural clubs (including popular music bands). In addition, Mizuno held an online walking event in FY 2020, which welcomed more than 800 employees nationwide.
Self-training support[*c]	
Details	This system aims to help employees increase their knowledge and become motivated to learn new things by creating an environment that will stimulate employees to train themselves willingly through self-study and training sessions outside their work time, and it aims to do so by paying for textbooks and light snacks.
Performance	In FY 2020, there were two requests to use this system and 50 employees participated in self-study and training sessions.

Note: The data given above was gathered from Mizuno Corporation and a number of Mizuno Group subsidiaries in Japan, excluding the Senoh Group.

Communicating with employee representatives

Mizuno and Mizuno Technics have concluded a union-shop agreement as part of a labor agreement with Mizuno Union (comprising 1,561 union members as of March 31, 2021). To create a worker-friendly workplace environment by sharing thoughts on business conditions, checking whether working conditions are fair, and ensuring that necessary welfare systems are being offered, monthly meetings are being held multiple times by the following committees: 1) the Central Labor Management Council and Block Labor Management Councils, led by top management officers of Mizuno and Mizuno Technics, the Human Resources Department, the Labor Union Chairman, and other Labor Union officers; 2) the Labor Wage Study Group; and 3) the Health and Safety Committee.

In addition, Mizuno's labor agreement stipulates the following rules when relocating employees: 1) employees must be informed one month ahead before being relocated to a subsidiary or being transferred to another region and 2) employees must be informed one week ahead before being transferred to another department.

Occupational safety and health

To discuss what safety measures need to be taken in order to prevent occupational accidents, help employees maintain and improve their health, and prevent employees from becoming sick, all Mizuno offices hold Safety and Health Committee meetings, attended by labor and management representatives. In FY 2020, the Safety and Health Committees carried out the activities provided below, under the following themes: 1) compliance with the law, 2) promotion of risk management, and 3) development of CSR activities (including health improvement, environmental protection, and earthquake measures).

In addition, Mizuno puts as much effort as possible into taking disaster prevention measures, such as by handing out safety management manuals to employees before they go on business trips. Consequently, all employees who went on business trips returned safely without becoming involved in major accidents.

Report on Mizuno's safety and health plan for FY 2020

Building and equipment management	Number of accidents due to problems with buildings and equipment (including facility collapse, damage, electric leakage, and fire): none
Health management	Health management includes preventing employees from leaving work due to mental health problems, helping lower the smoking rate, helping improve medical checkup results, and helping detect diseases as early as possible.
Risk management	Number of accidents due to disasters: none. Risk management includes continually improving measures against disasters and emergencies.

Vehicle management	Vehicle management includes reducing the number of traffic accidents, encouraging employees to maintain sufficient inter-vehicle distance so that they can avoid rear-end collision, reducing the number of accidents that occur in parking lots, and improving driving manners.
Cafeteria management	Number of food poisoning accidents, accidents due to cafeteria equipment, and industrial accidents in the cafeteria: none

Number of industrial accidents [*d] Mizuno Corporation (parent company)

	2016	2017	2018	2019	2020
Number of industrial accidents (no. of accidents)	8	10	11	11	9
Deaths due to industrial accidents (no. of deaths)	0	0	0	0	0
Frequency rate^{*1}	1.58	1.79	2.57	3.04	2.46
Severity rate^{*2}	0.002	0.002	0.006	0.005	0.002

*1. Number of deaths due to industrial accidents/total work hours

*2. Number of labor loss days/total work hours

Efforts to help employees improve their health

Mizuno believes that helping employees maintain their good physical and mental health and helping them balance work with personal life will lead to its own development and enable it to uphold its corporate philosophy.

Therefore, to promote Mizuno's efforts to help employees maintain their good health, the president issued a health management declaration. Based on this health management declaration, Mizuno has set goals for the following items and promoted measures aimed at primarily helping employees improve their health by playing sports: 1) reducing the percentage of employees who are on the verge of suffering from lifestyle-related diseases, 2) helping detect major diseases as early as possible, 3) reducing the number of employees absent from work due to mental health problems, and 4) lowering the smoking rate.

The preceding efforts were rewarded with the following certifications: 1) Tokyo Sports Promotion Company, 2) Sports Yell Company, and 3) 2021 Health & Productivity Management Outstanding Organizations (large enterprise category; White 500).

[For more information on these efforts, please refer to the following section of Mizuno's website: Health Promotion Initiatives](#)



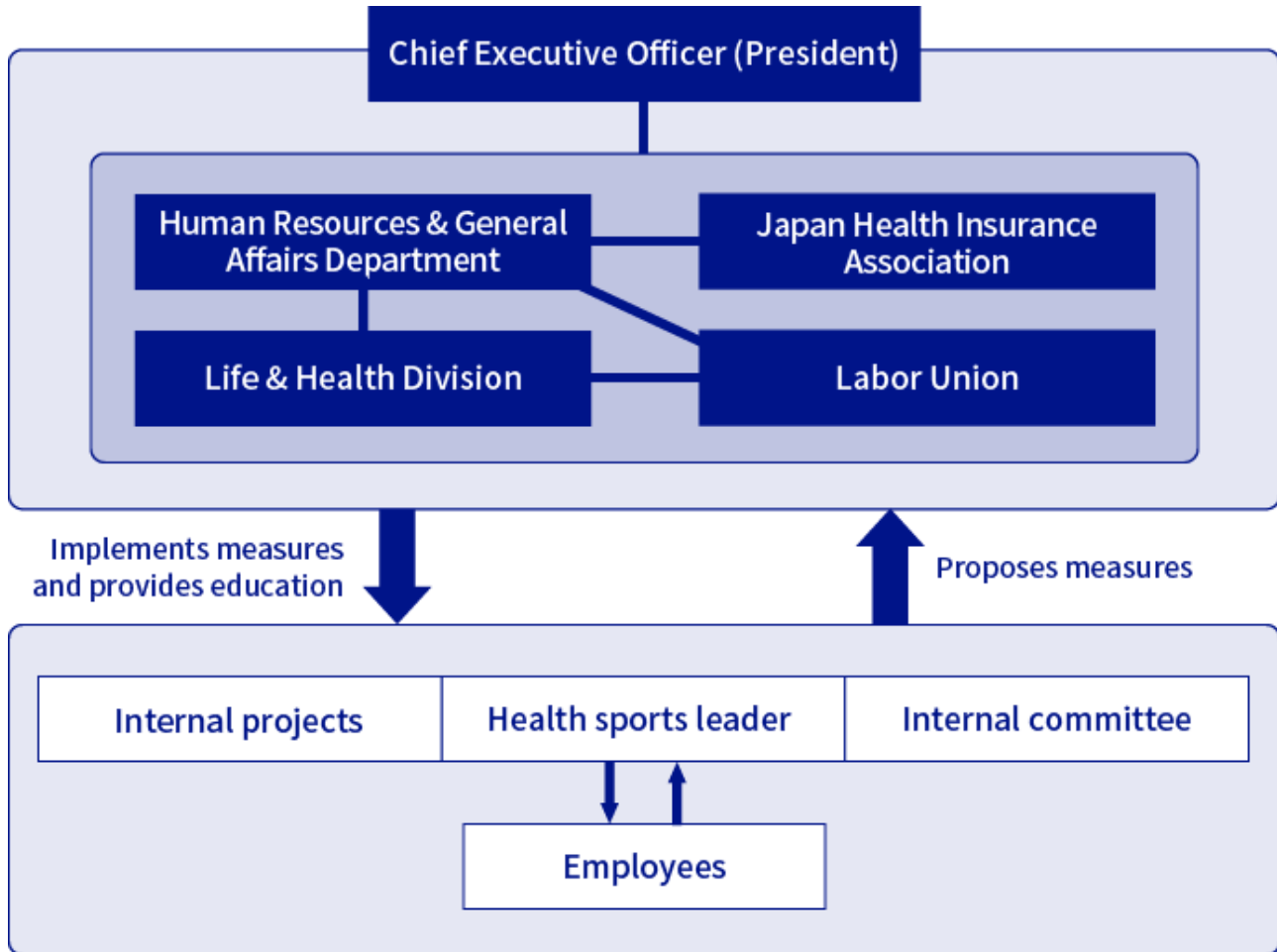
<Health management declaration (entirety)>

The Mizuno Group believes that a company is its employees and recognizes that the health of its employees forms the basis of its management. Therefore, the Mizuno Group hereby declares to put more effort into helping its employees improve their health.

Mizuno believes that helping employees maintain their good physical and mental health and helping them balance work with personal life will lead to its own development, enable it to uphold its corporate philosophy, and help its employees lead fulfilling lives.

Mizuno looks forward to seeing that its employees have understood this declaration and begun willingly putting effort into conducting activities that will improve their health together with their families so that they can enjoy balancing work with personal life. 」

<System for helping employees improve their health>



Future issues to be addressed

- **Supporting the balancing of work with personal life**

Mizuno will continue putting effort into helping employees balance work with childcare and nursing because doing so will not only prevent employees from leaving the workplace but also provide employees with various ways to work and thereby help the Company itself grow stronger.

- **Paid holidays**

Mizuno believes that all employees should take at least five paid holidays. Accordingly, Mizuno will put effort into encouraging employees to do so by creating a workplace environment that encourages employees to take paid holidays.

- **Safety and Health**

To create a safe and comfortable workplace environment, Mizuno will put effort into not only ensuring that it complies with the law but also reviewing its system for promoting safety and health. In addition, Mizuno believes that safety and health measures must incorporate risk management. Accordingly, Mizuno will revise its business continuity plan to reflect this belief.

- **Health management**

To help employees maintain and improve their health, Mizuno will review its PDCA cycle every year, designed to help employees improve their health, and also implement measures designed to promote sports in doing so, as is expected of a sports manufacturer.

Promoting and respecting diversity

Mizuno will put more effort into promoting and respecting diversity as a basis for its Group's growth strategy aimed at helping its diverse employees achieve their potential in helping the Company's organizations and the Company produce good results.

Promoting female participation

Mizuno has been promoting and will continue to promote female participation. To support employees who are particularly eager to work and are talented, Mizuno will put effort into laying software and hardware foundations, including providing career development support, improving the workplace atmosphere, and designing systems for supporting diverse workstyles. In FY 2020, Mizuno implemented the following measures.

Measures to increase the percentage of female employees

As it did in the previous year, in FY 2020, Mizuno ensured that one third of its 35 new graduate employees would be female by employing 12 female employees [*d].

Career development support

The Diversity West Japan Study Session, which comprises about 50 companies, held a career design forum, which was attended by five female Mizuno employees, who all held different positions. At the forum, Mizuno's female employees had the opportunity to participate in a round-table discussion with female leaders representing other companies, which helped them develop their own future visions by considering their future career paths from medium- to long-term perspectives.

Female employee rates and female manager rates[*c]

	2016	2017	2018	2019	2020
Female employee rates (percentage)	26.0	26.8	27.4	28.0	27.6
Female manager rates (percentage)	7.8	8.4	8.1	8.3	6.3

(Reference) Mizuno Corporation (parent company)[*d]

	2016	2017	2018	2019	2020
Female employee rates (percentage)	26.3	27.1	27.5	28.9	29.0
Female manager rates (percentage)	5.4	5.5	5.5	5.5	5.2

Welcoming diverse workers

The essence of diversity is the maximization of different qualities. Mizuno aims to welcome diverse workers able to create new value by achieving their potential and developing innovation.

Employing physically and mentally challenged workers

The percentage of physically and mentally challenged workers employed at Mizuno as of March 2020 reached 2.45% [*d], surpassing the legal employment rate of 2.2%.

	2016	2017	2018	2019	2020
Number of physically and mentally challenged employees (no. of people)	32	30	34	34	34
Percentage of physically and mentally challenged employees (percentage)	2.29	2.28	2.41	2.47	2.45

Employing elderly people

Mizuno has a re-employment system, which employs former employees who retired at the retirement age of 60 but wanted to continue working until 65.

In FY 2020, 59 employees retired due to the mandatory retirement system and 46 of them used the re-employment system.

Changing employees' attitude toward promoting and respecting diversity and creating an atmosphere that encourages diversity

To help employees familiarize themselves with Mizuno's aim to promote and respect diversity and create an in-house atmosphere that encourages diversity, at the beginning of FY 2020, the president conveyed a message during the policy briefing session. Mizuno will continue taking measures to help employees change their attitude toward promoting and respecting diversity.

Promoting employees' understanding of LGBTQ+

As part of its education program for all employees, Mizuno provided employees with diversity education, which featured LGBTQ+ as one type of diversity.

Improving Mizuno's workplace environment and promoting the growth of Mizuno's employees

To help employees continue to grow, Mizuno will put effort into improving its workplace environment in ways that will promote and respect diversity and help diverse employees achieve their potential and find their work to be rewarding.

Future issues to be addressed

Mizuno considers promoting and respecting diversity as being an important issue concerning its management. Accordingly, it will actively employ diverse workers. In addition, Mizuno will put effort into changing its employees' attitude toward welcoming diversity by identifying and resolving issues its employees may have in welcoming diversity.

Employment and human resource utilization

Contributing to society through the advancement of sporting goods and the promotion of sports” is Mizuno’s corporate philosophy, and to uphold this philosophy, Mizuno continually puts strategic long-term effort into cultivating human resources and helping workers grow.

To help employees find their work to be rewarding, Mizuno helps employees improve their skills and develop new skills so that they can apply such skills to their daily work.

Measures to help workers grow

To help employees develop new skills, Mizuno takes the following approaches based on the philosophy education program that requires employees to learn about Mizuno’s corporate DNA: 1) stratified training, which helps employees acquire the skills and ability needed at the stage of their careers they are currently at; 2) purpose-based training, which helps employees acquire specialized skills needed to resolve specific individual management issues; and 3) self-training support, which helps employees train themselves.

In FY 2020, due to the novel coronavirus and accompanying need to prevent its spread, Mizuno had to cancel many of its education and training programs that were scheduled to be implemented face-to-face. However, it was able to offer some of its programs online. Note that some of the figures provided below are based on data gathered in FY 2019.

Human resources achieving Mizuno's growth

① Level-specific education

[Purposes] Raising the capacity level of employees

Providing basic knowledge and skills common to all employees that are expected from personnel at different levels

② Purpose-specific education

[Purposes] Response to specific management issues

Imparting abilities and skills that are necessary for the resolution of specific management issues

③ Support for self-learning

[Purposes] Creation of a climate for proactive learning

Positive support for employees who learn by themselves

Education of philosophy (corporate ethos)

[Purposes] Development of Mizuno personnel

Ensuring employees' profound understanding of Mizuno's corporate ethos based on (1) entrepreneurship, (2) management philosophy and (3) the three F's

	Details	No. of participants
Philosophy education (Mizuno's corporate DNA)	To help employees understand and share globally Mizuno's corporate DNA, with others which is based on the founder's philosophy, the management philosophy, and the three Fs	About 5,000 participants [*c]
Stratified training	To help employees acquire the basic ability and skills that all employees need at the point they are at in their careers.	About 180 participants Note: FY 2019 [*d]
Purpose-based training	To help employees acquire the ability and skills needed to resolve specific individual management issues.	About 140 participants Note: FY 2019 [*d]
Self-training support	To actively support employees who are willing to undergo self-training.	About 250 participants [*d]

About 250 participants [*d]

Systems for helping employees take up challenges

Details

To help employees achieve self-realization, motivate employees to take up challenges, and enliven the workplace, Mizuno accepts the following types of free-agent applications: 1) job offer, 2) proposal, and 3) registration.

	• Job offer: Different departments make job offers and employees apply for jobs that interest them. • Proposal: Employees propose ways to change the way work is being conducted or make new business proposals as individuals or groups. • Registration: Employees who want to perform jobs offered by the Company register as candidates for such jobs.
Performance	FY 2020—job offer: none; proposal: none; registration: 3 employees
Technical job meister/craft system[*e]^{*1}	
Details	To help employees grow into talented craftsmen, activate employees performing technical jobs, help technical workers improve their skills, and pass on the great skills of technical workers to future generations, Mizuno awards the titles of “meister” and “craft” to employees who have great craftsmanship and grant them an allowance.
Performance	FY 2020—Baseball: 5 employees; golf: 5 employees; apparel: 3 employees
Employee invention reward system[*b]^{*2}	
Details	The employee invention reward system aims to stimulate employees to continually come up with innovative and unique product development ideas. The system complies with patent law and aims to stimulate employees to actively put effort into coming up with inventions by properly evaluating work-related inventions made by employees (employee inventions) and granting rewards. There is no upper limit to the amount of reward that could be granted, and the amount is based on the level of contribution the inventor and invention makes to the Company’s sales.
Performance	FY 2020—rewarded inventions: 13 (22 inventors; excluding employees who have retired)
Overseas training and work system[*d]	
Details	The overseas training and work system aims to help employees acquire specialized knowledge and skills relating to their job by working overseas and also aims to cultivate human resources able to lead the Company’s efforts to expand overseas by helping young employees broaden their perspective. The country and region where employees will be sent is based on their requests, career backgrounds, and personnel plans, and employees will be sent to Mizuno’s overseas branches or subsidiaries, where they will work for two years.
Performance	FY 2020 (Plans to send employees overseas had to be postponed due to the novel coronavirus pandemic.)
System for helping employees pursue an MBA (Master’s degree in business administration) at a graduate school in Japan as a working member of society[*d]	
Details	The system aims to help employees acquire specialized knowledge of business in general, build networks, acquire logical thinking skills, and broaden their perspective. The Company will lend employees the money to pay their tuition, and employees who continue working at Mizuno for three years after obtaining their MBA will be exempt from paying back the money they were lent.

Performance	FY 2020—Employees newly pursuing an MBA: 2; number of employees who had already been pursuing an MBA since the year before: 9
System for helping employees attend external business schools	
Details	The system aims to help employees acquire logical thinking skills, which Mizuno considers to be basic skills needed in business, and also aims to help employees build networks and broaden their perspective. In general, the Company will pay half of the tuition. However, if employees complete their business schools with outstanding grades, the Company will pay the total amount of their tuition.
Performance	In FY 2020, Mizuno had to refrain from sending its employees to external business schools due to the novel coronavirus pandemic.
System for helping employees receive online English communication lessons[*d]	
Details	The system aims to help employees improve their English communication skills through self training. Employees will receive English communication lessons from native speakers of English online, and the Company will pay half of their tuition based on how often employees take English communication lessons.
Performance	FY 2020—number of employees who used this system: 88
System for helping employees take online video-based, business-related lessons [*d]	
Details	The system aims to help employees improve their knowledge related to business and also create an environment that encourages willingly learning about business. Employees will be able create an environment that will allow them to view business-related videos wherever they are whenever they want to online, and to encourage employees to willingly learn about business, the Company will pay the fees needed to do so.
Performance	FY 2020—number of employees who used this system: 175

*1. The data given above was gathered from Mizuno Corporation and Mizuno Technics.

*2. The data given above was gathered from Mizuno Corporation and a number of Mizuno Group subsidiaries in Japan.

Award incentive

Creator of the year

Mizuno calls its sales representatives, including wholesale, corporate sales, and sports facilities sales representatives, who institute various measures to help clients resolve their issues “creators.” Creators who greatly help promote the sales activities of any given year are given a Creator of the Year award to encourage other creators to follow their example. In FY 2020, two creators were given the Creator of the Year award.

Mizuno award system

To motivate employees to work harder and help them grow, employees who produce good results any given year and thereby contribute to the growth of the Company are given awards at the Founding Effort Commemorative Ceremony. In FY 2020, awards were given to 95 projects (247 employees).

System for evaluating employees fairly

System for evaluating employees fairly

Mizuno's human resources evaluation system is not based on age or length of service. Instead, it is based on the following items: 1) ability demonstrated through daily efforts, 2) roles played, and 3) degree of contribution made to the Company's performance. In addition, to evaluate the ability of each employee and analyze their aptitudes from multiple perspectives, in FY 2017, Mizuno introduced a human resources assessment system. In evaluating employees' ability being demonstrated and performance, to ensure that they will be satisfied with their evaluation, employees are asked to meet with their supervisors before being evaluated. To ensure that evaluating employees will help them grow, Mizuno has employees meet with their supervisors after they receive their evaluations so that they can be provided with feedback.

FY 2020—percentage of employees who have received human resources evaluation [*c]

	Target person	Percentage
Male	Full-time, contract, part-time, and temporary employees	100%
Female	Full-time, contract, part-time, and temporary employees	100%

Future issues to be addressed

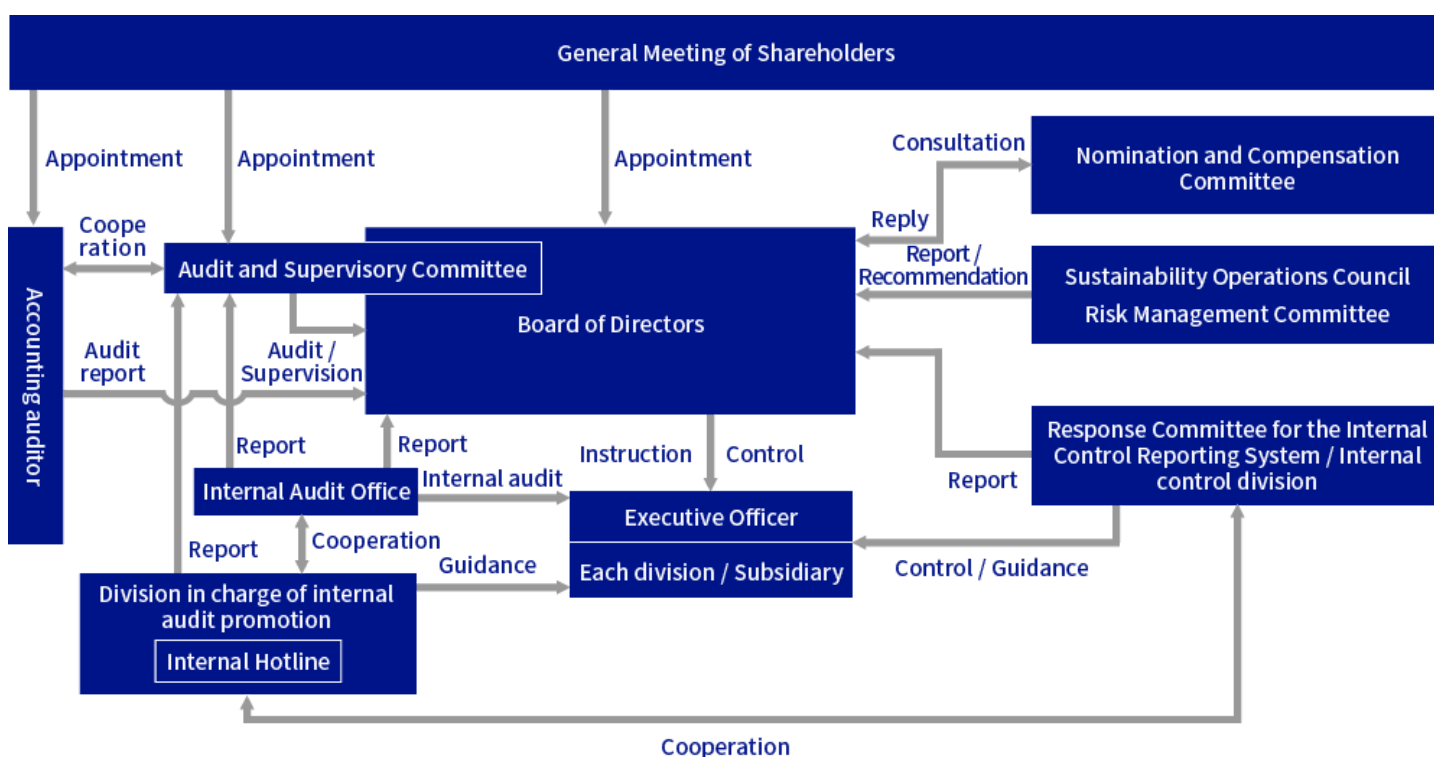
A decade has passed since Mizuno introduced its current human resources assessment system, and the system has been working successfully, proving to be based on clear human resources standards and proving to be producing transparent evaluation results. From here on, Mizuno will put effort into ensuring that employees will be satisfied with their evaluations and developing a system for motivating employees and improving the way they work.

Corporate governance

Based on the corporate philosophy of “Contributing to society through the advancement of sporting goods and the promotion of sports” and our belief that the rationality and objectivity of management decisions and the swiftness and transparency of decision making are important to improve the corporate value of the Group, we strive to build and strengthen a corporate governance system that can realize them.

[Please refer to the Financial Report for details of our corporate governance.](#)

Corporate governance system



With a resolution of the 103rd Ordinary General Meeting of Shareholders held on June 23, 2016, the corporate governance system has been transferred to a company with an audit and supervisory committee. Directors serving as Audit and Supervisory Committee members have voting rights on the Board of Directors and are expected to help improve the effectiveness of audits and supervision compared to corporate auditors. We believe that this leads to the enhancement of corporate governance.

Our Articles of Incorporation stipulate that the number of directors shall be seven or less (excluding directors serving as Audit and Supervisory Committee members) and that the number of directors serving as Audit and Supervisory Committee members shall be three or less. As of July 1, 2021, we have five directors (excluding directors serving as Audit and Supervisory Committee members) and three directors serving as Audit and Supervisory Committee members.

Of the five directors (excluding directors serving as Audit and Supervisory Committee members), four are directors who execute business, including the President (CEO), and one is an outside director.

Of the three directors serving as Audit and Supervisory Committee members, one is a full-time Audit and Supervisory Committee member and two are part-time outside directors. The Audit and Supervisory Committee uses the internal control system to audit and supervise the status of business execution throughout the Group, including the execution of duties by directors. In addition, Audit and Supervisory Committee members work with accounting auditors to improve the efficiency of audits.

Outside directors are expected to express their opinions with an open mind from an objective and neutral standpoint at the Board of Directors meetings without being bound by industry practices and business relations. We believe that they help improve the rationality and transparency of decision making and management decisions of the Board of Directors. Currently, the ratio of outside directors on the Board of Directors is 37.5%.

We have also introduced an executive officer system. Under this system, the Board of Directors fulfills the function of strategy formulation and management supervision, and executive officers are responsible for business execution, thereby aiming to ensure management transparency and speed up decision making. Executive officers are in charge of each management area, including business divisions (products handled and sporting events), sales channels, sales areas (including overseas), and subsidiaries, and are responsible for business execution in their management area throughout the Mizuno Group.

[Please refer to the Sustainability Operations Structure for details of the management system related to sustainability.](#)

Board of Directors

[Please refer to “Board of Directors” in the section “About Mizuno Group” for a list of directors and officers and their responsibilities.](#)

Analysis and evaluation of the effectiveness of the Board of Directors

We conduct a self-evaluation of the effectiveness of the Board of Directors through an anonymous questionnaire for all directors and analyze and evaluate the results of the questionnaire to ensure the effectiveness of the entire Board of Directors. The main evaluation items are the composition of the Board of Directors, the culture of the Board of Directors, the agendas of the Board of Directors meetings, the monitoring of business execution of the Board of Directors, and the operation of the Board of Directors. As a result of the questionnaire, it was confirmed that the effectiveness of the Board of Directors was generally ensured.

Training of directors

With the aim of having directors appropriately fulfill their expected roles and duties, we provide and mediate opportunities for them to acquire the knowledge necessary to deepen their understanding of matters related to their roles and duties. Directors are mainly provided with the opportunity to attend workshops organized by third-party organizations, and their costs are borne by the company. When a new director is appointed, a briefing session is held by the Corporate Planning Office, the Human

Resources & General Affairs Department, the Legal Affairs Office, and the Accounting and Finance Department so that the new director can acquire the necessary knowledge on the company's business, finance, organization, and other matters.

Status of internal audits and audits by the Audit and Supervisory Committee

The Internal Audit Office of Mizuno Corporation conducts internal audits of the Mizuno Group in cooperation with the legal division, the accounting and finance division, and the human resources and general affairs division, which collect information and conduct investigations. The Internal Audit Office conducts internal audits to ascertain the validity and legality of business execution and procedures and reports the audit results to executive directors in charge of internal control and the Board of Directors as needed. To ensure the effectiveness of the Audit and Supervisory Committee, the Board of Directors requests the Internal Audit Office to collect the necessary information and conduct investigations and closely cooperates with it by exchanging information and opinions.

For the purpose of grasping the status of development and operation of internal control, internal auditors attend meetings and inspect documents as appropriate and ask for explanations from the relevant divisions as needed to check the appropriateness of transactions and the decisions that are made in the process of transactions. Thus, we work to improve the effectiveness of internal audits.

Internal control system

Mizuno Corporation is involved in the development and operation of the internal control system of the Mizuno Group, including its subsidiaries, in accordance with the “system for ensuring the appropriateness of business” (basic policy on the development of the internal control system) established by a resolution of the Board of Directors. It has clarified that subsidiaries should perform their business activities and operate their risk management system under the same policy management as Mizuno Corporation.

In addition, to ensure the reliability of financial reports related to the consolidated financial results, the Response Committee for the Internal Control Reporting System, chaired by the executive director in charge of accounting and finance, develops, operates, and evaluates the internal control system across all organizations of the Mizuno Group based on the Internal Control Regulations.

To promptly announce information that should be disclosed in a timely manner, such as important facts related to the Mizuno Group, upon decision of the Board of Directors, the executive director in charge of accounting and finance thoroughly manages information as the person responsible for handling information. In particular, stock trading by officers and other insiders is tightly controlled through monitoring and is strictly supervised to prevent the occurrence of insider trading.

Executive compensation

Based on our basic policy on how to determine the compensation of officers or its calculation method, we have established a compensation system that can motivate directors (excluding Audit and Supervisory Committee members) to contribute to improving corporate value with the aim of appointing and securing talented human resources as managers. In this compensation system, we have ensured the transparency, fairness, rationality, and objectivity of the calculation method of compensation based on the average level of compensation at companies of the same size listed on the First Section of the Tokyo Stock Exchange in order to ensure accountability to stakeholders.

For the maximum amount of compensation for directors (excluding Audit and Supervisory Committee members), the amount of basic compensation and the amount of performance-linked compensation are determined by the Board of Directors within the range of compensation resolved at the 103rd Ordinary General Meeting of Shareholders, held on June 23, 2016, according to an examination and report by the Nomination and Compensation Committee, composed of a majority of independent officers.

For the maximum amount of stock-based compensation for directors (excluding Audit and Supervisory Committee members and outside directors), the amount of transfer-restricted stock-based compensation is determined by the Board of Directors within the range of compensation resolved at the 105th Ordinary General Meeting of Shareholders, held on June 21, 2018, according to an examination and report by the Nomination and Compensation Committee.

The defined amount of basic compensation for directors (Audit and Supervisory Committee members) is determined separately for full-time and part-time Audit and Supervisory Committee members with reference to the average level of compensation at companies of the same size listed on the First Section of the Tokyo Stock Exchange with the aim of appointing and securing human resources with a wide range of experience and deep insight who can submit useful proposals at the Board of Directors meetings and appropriately fulfill their duties in auditing and supervising the business execution of the Board of Directors.

For the maximum amount of compensation for directors (Audit and Supervisory Committee members), the amount of basic compensation is determined within the range resolved at the 103rd Ordinary General Meeting of Shareholders, held on June 23, 2016, by a resolution of the Audit and Supervisory Committee.

Unit (million yen)

	Total amount of compensation, etc.	Total amount of compensation, etc. by type			No. of target persons(person[s])
		Fixed compensation	Performance-linked compensation	Transfer-restricted stock-based compensation	
Directors(excluding Audit and Supervisory Committee members) (excluding outside directors)	189	152	33	3	4

	Total amount of compensation, etc.	Total amount of compensation, etc. by type			No. of target persons(person[s])
		Fixed compensation	Performance-linked compensation	Transfer-restricted stock-based compensation	
Outside directors(excluding Audit and Supervisory Committee members)	6	6	-	-	1
Directors (Audit and Supervisory Committee members) (excluding outside directors)	17	17	-	-	1
Outside directors(Audit and Supervisory Committee members)	13	13	-	-	3

Risk management system

To clarify the responsibility system for risk management, we have established the Risk Management Committee, chaired by the President (CEO). The Risk Management Committee is responsible for identifying and evaluating all types of risks associated with business activities and overseeing risk management concerning the implementation of countermeasures and information disclosure throughout the Mizuno Group based on the Risk Management Regulations.

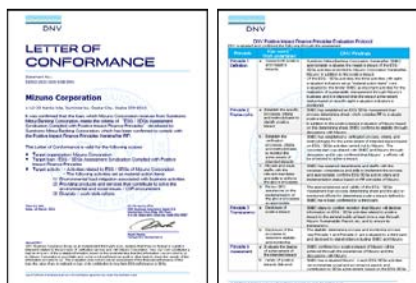
Each department and subsidiary of Mizuno Corporation conducts training and prepares manuals on risk management to ensure a system that can respond to various foreseeable risks in each field. We have also prepared the Crisis Management Manual, which explains how to foresee and respond to natural disasters, sabotage from outside the company, and fraud.

About the report

How Mizuno is evaluated by external reviewers

Evaluation of activities relating to ESG/SDGs

Mizuno concluded a loan contract with Sumitomo Mitsui Banking Corporation after being evaluated positively regarding its ESG activity, information disclosure, and business aimed at helping achieve the UN's SDGs based on Sumitomo Mitsui Banking Corporation's Positive Impact Finance-Based, Principle Compliance-type ESG/SDGs Syndicated Loan Program. The Positive Impact Finance-Based, Principle Compliance-type ESG/SDGs Syndicated Loan Program does not only evaluate companies based on Sumitomo Mitsui Banking Corporation's own evaluation standards for evaluating ESG/SDGs but also complies with the principles for positive impact finance of DNV BUSINESS ASSURANCE JAPAN K.K., which is an independent third-party body. The principles for positive impact finance aim to promote the idea of increasing the positive impact that finance can have on the world while decreasing its negative impact, and they were developed by the United Nations Environment Program - Finance Initiative (UNEP FI) in January 2017.



Conformity letter issued by DNV

[To view the conformity letter issued by DNV, please click here.](#) 

Evaluation of Mizuno's system for helping employees improve their health

Mizuno's system for helping employees improve their health was rewarded with the following certifications: 1) Tokyo Sports Promotion Company, 2) Sports Yell Company, and 3) 2021 Health & Productivity Management Outstanding Organizations (large enterprise category; White 500).



Reporting Policy

Mizuno maintains transparency on information regarding the Mizuno Group's environmental and social impact and explains the Mizuno Group's sustainability activities to stakeholders through the Sustainability Report.

Reporting Scope of Organization

In principle, the Mizuno Group (Mizuno Headquarters and domestic/overseas group companies) is our target. But as the target organization differs according to data and descriptions of entry contents, the report target organization is indicated by the letters below in each part of the report.

[*a]	Mizuno Group (Domestic / Overseas)
[*b]	Mizuno Group (Domestic)
[*c]	Mizuno Group, Domestic (Excluding Senoh Group)
[*d]	Mizuno Corporation (Non-consolidated)
[*e]	Others : Described individually

Report Target Period

Although focusing on activities during the period of 2020/4/1-2021/3/31, some activities from the previous and most recent activity reports are included.

Issuing Period

July 2021 (Next : July 2022, previous : July 2020)

Reference Guidelines

- GRI (Global Reporting Initiative) Sustainability Reporting Standard
- Ministry of Environment 「Environmental Reporting Guideline 2018 edition」

External Assurance

As of June 2021, Mizuno had not obtained external assurance on the contents of the Sustainability Report. However, it will consider it in the future.

Contact

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Table of Correspondence with the GRI Standard

General Disclosures

Topics	Disclosure		Position of reference
102 : 1. Organizational profile	102-1	Name of the organization	Corporate Philosophy
	102-2	Activities, brands, products, and services	Mizuno Homepage Financial Summary
	102-3	Location of headquarters	Corporate Philosophy
	102-4	Location of headquarters	Corporate Philosophy
	102-5	Ownership and legal form	Corporate Philosophy
	102-6	Markets served	Global Office Locator
	102-7	Scale of the organization	Corporate Philosophy Global Office Locator Financial Summary
	102-8	Information on employees and other workers	Employment and human resource utilization > Creation of the ideal working environment Financial Summary
	102-9	Supply chain	Responsible procurement with due consideration for human rights > Management approach for priority issues
	102-10	Significant changes to the organization and its supply chain	Financial Summary
	102-11	Precautionary Principle or approach	Responsible business practices > Compliance / Anti-corruption
	102-12	External initiatives	Management and Sustainability > Stakeholder engagement
	102-13	Membership of associations	Management and Sustainability > Stakeholder engagement

Topics	Disclosure		Position of reference
102: 2. Strategy	102-14	Statement from senior decision-maker	Message from the President
	102-15	Key impacts, risks, and opportunities	Financial Summary
102: 3. Ethics and integrity	102-16	Values, principles, standards, and norms of behavior	Corporate Philosophy Management and Sustainability Responsible procurement with due consideration for human rights>CSR evaluation of suppliers before the commencement of business
	102-17	Mechanisms for advice and concerns about ethics	Responsible business practices>Compliance / Anti-corruption
102: 4. Governance	102-18	Governance structure	Management and Sustainability>Sustainability promotion system Corporate Governance Financial Summary
	102-19	Delegating authority	Management and Sustainability>Sustainability promotion system Corporate Governance Financial Summary
	102-20	"Executive-level responsibility for economic, environmental, and social topics"	Management and Sustainability>Sustainability promotion system Corporate Governance Financial Summary
	102-21	"Consulting stakeholders on economic, environmental, and social topics"	Management and Sustainability>Sustainability promotion system Management and Sustainability>Stakeholder engagement Corporate Governance Financial Summary
	102-22	Composition of the highest governance body and its committees	Management and Sustainability>Sustainability promotion system Corporate Governance Financial Summary】
	102-23	Chair of the highest governance body	
	102-24	Nominating and selecting the highest governance body	Financial Summary
	102-25	Conflicts of interest	Financial Summary

Topics	Disclosure		Position of reference
	102-26	"Role of highest governance body in setting purpose, values, and strategy"	Management and Sustainability>Sustainability promotion system Financial Summary
	102-27	Collective knowledge of highest governance body	Corporate Governance
	102-28	Evaluating the highest governance body's performance	
	102-29	"Identifying and managing economic, environmental, and social impacts"	Management and Sustainability>Sustainability promotion system Management and Sustainability>Materiality (priority issues)
	102-30	Effectiveness of risk management processes	
	102-31	Review of economic, environmental, and social topics	Management and Sustainability>Sustainability promotion system
	102-32	Highest governance body's role in sustainability reporting	Management and Sustainability>Sustainability promotion system Management and Sustainability>Materiality (priority issues)
	102-33	Communicating critical concerns	Management and Sustainability>Sustainability promotion system Corporate Governance Financial Summary
	102-34	Nature and total number of critical concerns	
	102-35	Remuneration policies	Corporate Governance Financial Summary
	102-36	Process for determining remuneration	Corporate Governance Financial Summary
	102-37	Stakeholders' involvement in remuneration	
	102-38	Annual total compensation ratio	
	102-39	Percentage increase in annual total compensation ratio	

Topics	Disclosure		Position of reference
102: 5. Stakeholder engagement	102-40	List of stakeholder groups	Management and Sustainability>Stakeholder engagement
	102-41	Collective bargaining agreements	Employment and human resource utilization>Creation of the ideal working environment Financial Summary
	102-42	Identifying and selecting stakeholders	Management and Sustainability>Stakeholder engagement
	102-43	Approach to stakeholder engagement	Management and Sustainability>Stakeholder engagement
	102-44	Key topics and concerns raised	Responsibility for Safe and High-Quality Products>Customer service
102: 6. Reporting practice	102-45	Entities included in the consolidated financial statements	Financial Summary
	102-46	Defining report content and topic Boundaries	About the report>Reporting Policy Management and Sustainability>Materiality (priority issues)
	102-47	List of material topics	Management and Sustainability>Materiality (priority issues)
	102-48	Restatements of information	Not Applicable
	102-49	Changes in reporting	Management and Sustainability>Materiality (priority issues)
	102-50	Reporting period	About the report>Reporting Policy
	102-51	Date of most recent report	About the report>Reporting Policy
	102-52	Reporting cycle	About the report>Reporting Policy
	102-53	Contact point for questions regarding the report	About the report>Reporting Policy
	102-54	Claims of reporting in accordance with the GRI Standards	Not Applicable
	102-55	GRI content index	Table of Correspondence with the GRI Standard (This page)
	102-56	External assurance	About the report>Reporting Policy

Economic

material topics

topics	Disclosure		Position of reference
201 : Economic Performance	201-1	Direct economic value generated and distributed	
	201-2	"Financial implications and other risks and opportunities due to climate change"	
	201-3	Defined benefit plan obligations and other retirement plans	Financial Summary
	201-4	Financial assistance received from government	Not Applicable
202 : Market Presence	202-1	"Ratios of standard entry level wage by gender compared to local minimum wage"	
	202-2	Proportion of senior management hired from the local community	
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Contributing to the multi-dimensional values of sports>Management approach for priority issues
	103-2	The management approach and its components	Contributing to the multi-dimensional values of sports>Management approach for priority issues
	103-3	Evaluation of the management approach	Contributing to the multi-dimensional values of sports>Management approach for priority issues
203 : "Indirect Economic Impacts"	203-1	Infrastructure investments and services supported	Contributing to the multi-dimensional values of sports
	203-2	Significant indirect economic impacts	Contributing to the multi-dimensional values of sports
204 : "Procurement Practices"	204-1	Proportion of spending on local suppliers	Responsible procurement with due consideration for human rights>Management approach for priority issues

topics	Disclosure		Position of reference
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsible business practices>Management approach for priority issues
	103-2	The management approach and its components	Responsible business practices>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsible business practices>Management approach for priority issues
205 : Anti-corruption	205-1	Operations assessed for risks related to corruption	
	205-2	"Communication and training about anti-corruption policies and procedures"	Responsible business practices>Compliance / Anti-corruption
	205-3	Confirmed incidents of corruption and actions taken	Responsible business practices>Compliance / Anti-corruption
206 : "Anti-competitive Behavior"	206-1	"Legal actions for anti-competitive behavior, anti-trust, and monopoly practices"	Responsible business practices>Compliance / Anti-corruption
207 : Tax	207-1	Approach to tax	
	207-2	Tax governance, control, and risk management	
	207-3	Stakeholder engagement and management of concerns related to tax	
	207-4	Country-by-country reporting	

Environment

The specified material items are shaded in light blue.

Topics	Disclosure		Position of reference
301 : Materials	301-1	Materials used by weight or volume	
	301-2	Recycled input materials used	
	301-3	Reclaimed products and their packaging materials	
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues
	103-2	The management approach and its components	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues
302 : Energy	302-1	Energy consumption within the organization	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	302-2	Energy consumption outside of the organization	
	302-3	Energy intensity	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	302-4	Reduction of energy consumption	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	302-5	Reductions in energy requirements of products and services	

Topics	Disclosure		Position of reference
303 : Water and Effluents	303-1	Interactions with water as a shared resource	
	303-2	Management of water discharge-related impacts	
	303-3	Water withdrawal	Responsibility for global environmental issues throughout the product lifecycle>Efficient use of water
	303-4	Water discharge	Responsibility for global environmental issues throughout the product lifecycle>Efficient use of water
	303-5	Water consumption	Responsibility for global environmental issues throughout the product lifecycle>Efficient use of water
304 : Biodiversity	304-1	"Operational sites owned, leased, managed in, or adjacent to, protected areas and areas of high biodiversity value outside protected areas"	Not Applicable
	304-2	"Significant impacts of activities, products, and services on biodiversity"	
	304-3	Habitats protected or restored	
	304-4	"IUCN Red List species and national conservation list species with habitats in areas affected by operations"	
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues
	103-2	The management approach and its components	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues

Topics	Disclosure		Position of reference
305 : Emissions	305-1	Direct (Scope 1) GHG emissions	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	305-2	Energy indirect (Scope 2) GHG emissions	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	305-3	Other indirect (Scope 3) GHG emissions	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	305-4	GHG emissions intensity	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	305-5	Reduction of GHG emissions	Responsibility for global environmental issues throughout the product lifecycle>Reduction of energy consumption and GHG emissions
	305-6	Emissions of ozone-depleting substances (ODS)	
	305-7	"Nitrogen oxides (NOX), sulfur oxides (SOX), and other significant air emissions"	
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues
	103-2	The management approach and its components	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsibility for global environmental issues throughout the product lifecycle>Management approach for priority issues

Topics	Disclosure		Position of reference
306 : Waste	306-1	Waste generation and significant waste-related impacts	Responsibility for global environmental issues throughout the product lifecycle>Reduction of waste
	306-2	Management of significant waste-related impacts	Responsibility for global environmental issues throughout the product lifecycle>Reduction of waste
	306-3	Waste generated	Responsibility for global environmental issues throughout the product lifecycle>Reduction of waste
	306-4	Waste diverted from disposal	Responsibility for global environmental issues throughout the product lifecycle>Reduction of waste
	306-5	Waste directed to disposal	Responsibility for global environmental issues throughout the product lifecycle>Reduction of waste
307 : "Environmental Compliance"	307-1	Non-compliance with environmental laws and regulations	Responsibility for global environmental issues throughout the product lifecycle>Environmental Management System
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-2	The management approach and its components	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsible procurement with due consideration for human rights>Management approach for priority issues
308 : "Supplier Environmental Assessment"	308-1	New suppliers that were screened using environmental criteria	Responsible procurement with due consideration for human rights>CSR evaluation of suppliers before the commencement of business
	308-2	Negative environmental impacts in the supply chain and actions taken	Responsible procurement with due consideration for human rights>Understanding of the CSR status of suppliers and improvement efforts

Social

The specified material items are shaded in light blue.

Topics	Disclosure		Position of reference
401 : Employment	401-1	New employee hires and employee turnover	Employment and human resource utilization>Creation of the ideal working environment
	401-2	"Benefits provided to full-time employees that are not provided to temporary or part-time employees"	Employment and human resource utilization>Creation of the ideal working environment
	401-3	Parental leave	Employment and human resource utilization>Creation of the ideal working environment
402 : "Labor/Management Relations"	402-1	Minimum notice periods regarding operational changes	Employment and human resource utilization>Creation of the ideal working environment
403 : "Occupational Health and Safety"	403-1	Occupational health and safety management system	Employment and human resource utilization>Creation of the ideal working environment
	403-2	Hazard identification, risk assessment, and incident investigation	
	403-3	Occupational health services	
	403-4	"Worker participation, consultation, and communication on occupational health and safety"	
	403-5	Worker training on occupational health and safety	
	403-6	Promotion of worker health	Employment and human resource utilization>Creation of the ideal working environment
	403-7	"Prevention and mitigation of occupational health and safety impacts directly linked by business relationships"	

Topics	Disclosure		Position of reference
	403-8	"Workers covered by an occupational health and safety management system"	
	403-9	Work-related injuries	
	403-10	Work-related ill health	
404 : "Training and Education"	404-1	Average hours of training per year per employee	Employment and human resource utilization>Employment and human resource utilization
	404-2	"Programs for upgrading employee skills and transition assistance programs"	Employment and human resource utilization>Employment and human resource utilization
	404-3	"Percentage of employees receiving regular performance and career development reviews"	Employment and human resource utilization>Employment and human resource utilization
405 : Diversity and Equal Opportunity	405-1	Diversity of governance bodies and employees	Employment and human resource utilization>Promoting diversity
	405-2	Ratio of basic salary and remuneration of women to men	
406 : Non-discrimination	406-1	Incidents of discrimination and corrective actions taken	
407 : "Freedom of Association and Collective Bargaining"	407-1	"Operations and suppliers in which the right to freedom of association and collective bargaining may be at risk"	Responsible procurement with due consideration for human rights>Understanding of the CSR status of suppliers and improvement efforts
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-2	The management approach and its components	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsible procurement with due consideration for human rights>Management approach for priority issues

Topics	Disclosure		Position of reference
408 : Child Labor	408-1	"Operations and suppliers at significant risk for incidents of child labor"	Responsible procurement with due consideration for human rights>Efforts to prohibit and eliminate child labor and forced labor
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-2	The management approach and its components	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsible procurement with due consideration for human rights>Management approach for priority issues
409 : "Forced or Compulsory Labor"	409-1	"Operations and suppliers at significant risk for incidents of forced or compulsory labor"	Responsible procurement with due consideration for human rights>Efforts to prohibit and eliminate child labor and forced labor
410 : Security Practices	410-1	Security personnel trained in human rights policies or procedures	
411 : "Rights of Indigenous Peoples"	411-1	Incidents of violations involving rights of indigenous peoples	
412 : "Human Rights Assessment"	412-1	"Operations that have been subject to human rights reviews or impact assessments"	
	412-2	Employee training on human rights policies or procedures	
	412-3	"Significant investment agreements and contracts that include human rights clauses or that underwent human rights screening"	

Topics	Disclosure		Position of reference
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Contributing to the multi-dimensional values of sports>Management approach for priority issues
	103-2	The management approach and its components	Contributing to the multi-dimensional values of sports>Management approach for priority issues
	103-3	Evaluation of the management approach	Contributing to the multi-dimensional values of sports>Management approach for priority issues
413 : Local Communities	413-1	"Operations with local community engagement, impact assessments, and development programs"	Contributing to the multi-dimensional values of sports>Developing communities based on sports
	413-2	"Operations with significant actual and potential negative impacts on local communities"	Contributing to the multi-dimensional values of sports>Developing communities based on sports
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-2	The management approach and its components	Responsible procurement with due consideration for human rights>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsible procurement with due consideration for human rights>Management approach for priority issues
414 : "Supplier Social Assessment"	414-1	New suppliers that were screened using social criteria	Responsible procurement with due consideration for human rights>CSR evaluation of suppliers before the commencement of business

Topics	Disclosure		Position of reference
	414-2	Negative social impacts in the supply chain and actions taken	Responsible procurement with due consideration for human rights>CSR evaluation of suppliers before the commencement of business
415 : Public Policy	415-1	Political contributions	
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsibility for Safe and High-Quality Products>Management approach for priority issues
	103-2	The management approach and its components	Responsibility for Safe and High-Quality Products>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsibility for Safe and High-Quality Products>Management approach for priority issues
416 : "Customer Health and Safety"	416-1	"Assessment of the health and safety impacts of product and service categories"	Responsibility for Safe and High-Quality Products>Ensuring of the safety and quality of products
	416-2	"Incidents of non-compliance concerning the health and safety impacts of products and services"	Responsibility for Safe and High-Quality Products>Ensuring of the safety and quality of products
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsibility for Safe and High-Quality Products>Management approach for priority issues
	103-2	The management approach and its components	Responsibility for Safe and High-Quality Products>Management approach for priority issues
	103-3	Evaluation of the management approach	Responsibility for Safe and High-Quality Products>Management approach for priority issues
417 : "Marketing and Labeling"	417-1	Requirements for product and service information and labeling	Responsibility for Safe and High-Quality Products>Communication related to products

Topics	Disclosure		Position of reference
	417-2	"Incidents of non-compliance concerning product and service information and labeling"	Responsibility for Safe and High-Quality Products>Communication related to products
	417-3	Incidents of non-compliance concerning marketing communications	
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsible business practices >Management approach for priority issues
	103-2	The management approach and its components	Responsible business practices >Management approach for priority issues
	103-3	Evaluation of the management approach	Responsible business practices >Management approach for priority issues
418 : Customer Privacy	418-1	"Substantiated complaints concerning breaches of customer privacy and losses of customer data"	Responsible business practices >Protection of personal information
103 : Management Approach	103-1	Explanation of the material topic and its Boundary	Responsible business practices >Management approach for priority issues
	103-2	The management approach and its components	Responsible business practices >Management approach for priority issues
	103-3	Evaluation of the management approach	Responsible business practices >Management approach for priority issues
419 : "Socioeconomic Compliance"	419-1	"Non-compliance with laws and regulations in the social and economic area"	Responsible business practices >Compliance / Anti-corruption



Modern Slavery Act

2019

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2019](#) 

2018

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2018](#) 

2017

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2017](#) 

2016

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2016](#) 

2015

[MIZUNO CORPORATION MODERN SLAVERY STATEMENT FY2015](#) 



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